

Manorama Inds (MANORAMA)

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Call: Aug 2024

Manorama Industries Limited
KHASRA No. 2449-2618
Nr. IIDC, Birkoni
Mahasamund (C.G.)
Pin : 493445

August 03, 2024

To,

The Manager

Listing Department

BSE Limited,

Phiroze Jeejeebhoy Towers,

Dalal Street, Fort,

Mumbai -400001

SCRIP CODE: 541974

ISIN: INE00VM01036 To,

The Manager

Listing Department

National Stock Exchange of India Limited

'Exchange Plaza', C-1, Block-G,

Bandra Kurla Complex

Bandra (East), Mumbai -400051

SYMBOL: MANORAMA

ISIN: INE00VM01036

Subject: Disclosure under Regulation 30 of SEBI (Listing Obligations, and Disclosure Requirements) Regulations, 2015 - Transcript of Q1 FY25 Earnings Conference Call held on Wednesday, July 31, 2024.

Dear Sir/Madam,

In continuation to our letter dated July 27, 2024, the Company had organised a 01 FY25 Earnings Conference Call with the Investors/Analysts on Wednesday, July 31, 2024 at 12:30 pm (1ST). A copy of transcript of 01 FY25 earnings conference call is enclosed herewith and the same has also been uploaded on the Company's website at [https://manoramagroup.co.in/investors-companv-announcements#analyst meet](https://manoramagroup.co.in/investors-companv-announcements#analyst%20meet)

This is for your information and records.

Yours Faithfully,

Thanking You.

For Manorama Industries Limited

Deepak Sharma

Company Secretary and Compliance Officer

Membership No. A48707

Corporate Office:

F-6, Anupam Nagar,

Raipur - 492007, Chhattisgarh, INDIA

E-mail : infogmanoramagroup.co.in

Tel.: +91-771-2283071, 2282579, 2282457

Telefax: +91-771-4056958

CIN: 115142MH2005PLC243687

GSTIN: 22AAECM3726CIZI Certifications:

FSSC 22000, ISO 14001, RSPO, Halal, Kosher,

Fairtrade, Organic, FSSAI

A Government of India Recognized Star Export House. Registered Office :

Office No. 701, 7th Floor, Bonanza Building,

Sahar Plaza Complex,

Andheri Kuria Road, Andheri East,

Mumbai, Maharashtra - 40005

Tel. 022 22622299, 49743611, 022 67088148

www.manoramagroup.co.in

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"Manorama Industries Limited

Q1 FY '25 Earnings Conference Call"

July 31, 2024

MANAGEMENT : MR. ASHISH SARAF – PRESIDENT – MANORAMA INDUSTRIES LIMITED
M R. GAUTAM KUMAR PAL – MANAGING DIRECTOR – MANORAMA INDUSTRIES LIMITED
M R. ASHOK JAIN – CHIEF FINANCIAL OFFICER – MANORAMA INDUSTRIES LIMITED
M RS. EKTA SONI – ASSOCIATE VICE PRESIDENT , INVESTOR RELATIONS – MANORAMA INDUSTRIES LIMITED

MODERATOR : MR. VIKASH VERMA – E&Y LLP

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Moderator: Ladies and gentlemen, good day and welcome to Manorama Industries Q1 FY25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing (*), then zero on your touch-tone phone.

Please note that this conference is being recorded. I now hand the conference over to Mr. Vikash Verma from EY LLP. Thank you and over to you, sir.

Vikas Verma: Thank you, Laiba. Good afternoon, everyone. On behalf of Manorama Industries Limited, I welcome you all to the company's Maiden Earnings Conference Call. To discuss the performance of the company and to answer the questions, we have with us the management team, comprising of Mr. Ashish Saraf, President, Mr. Gautam Kumar Pal, Managing Director, Mr. Ashok Jain, CFO, Ms. Ekta Soni, AVP, Investor Relations, and the Company's Secretary team.

Before we proceed with this call, I would like to draw your attention to the fact that today's discussion may contain forward-looking statements that are subject to various risks, uncertainties, and other factors which will be beyond management control. We kindly request that you bear in mind there may be uncertainties when interpreting such statements. Please note that this conference is being recorded. We will now start the session with opening remarks from the management team. Afterwards, we will open the floor for an interactive Q&A session.

I will now hand over the conference over to Mr. Ashish Saraf for his opening remarks. Thank you and over to you, sir.

Ashish Saraf: Good afternoon, gentlemen, friends and Manorama family members. I thank you and invite you to this conference. I heartily welcome everybody in our Manorama Industries maiden earning call. Before I dwell deeper into the results and performance, I would like to spend few minutes to explain the business model of Manorama Industries in brief for the benefit of all.

Established in 2005, Manorama Industries is a unique global pioneer in manufacturing of cocoa butter equivalent, specialty fats and butters and exotic products from plant based tree borne seeds like sal seeds, mango kernel, kokum, mowrah seeds which are sourced from India, and one of our, shea nuts which are sourced from West African countries, from Ghana, Burkina, Togo, Benin, Nigeria.

The company, Manorama, has carved a niche in manufacturing of this exotic Sal based cocoa butter equivalent, Shea based cocoa butter equivalent, stearin, mango, and other exotic fats and butters. Manorama Company offers customized solutions to the particular and specialized needs for various food products, especially in the confectionery, chocolate and cosmetic industry for all the Fortune 500 companies in the world.

We are the leading exporter of the seed from India, especially, sal and mango. Additionally we enjoy the numero uno status for all these specialty fats in the world.

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We are the only company in the world which has all these exotic fats in one basket. We are a tailoring company which tailors the needs of the specialty fats as per the requirements of each product all over the world. The key raw materials for Manorama's products like Sal seeds available in India, mango seeds available in India, and Shea nuts are available in West Africa. These seeds grow spontaneously in the deepest forests of their respective regions. Manorama has a multi-decade-long strong network of millions of tribals and forest dwellers for collection of these seeds across more than thousands of collection centers during the collection seasonal periods in India and West Africa.

According to the government reports, India produces 15 lakh metric tons of sal seeds annually.

Manorama procures around 80,000 to 1 lakh metric tons of sal seeds accounting for less than 10% of the available supply. As the leading consumer of sal seeds in India, Manorama faces no major risk in the raw materials even though these raw materials are seasonal and vary from season to season depending on various factors.

Similar, Africa produces around 17.6 lakh metric tons of raw shea nuts annually as per reports of the government and the market report, Manorama procures around 40,000 to 80,000 metric tons of shea nuts annually and does not foresee any major risk in the availability of these raw materials. Whether it is sal seeds or shea nuts or other seeds, the procurement volumes may vary year to year, but as per our sales and supply, we manage the scenario.

Now we would like to discuss the manufacturing process of CBE, Cocoa butter equivalent and other exotic specialty fats and butters involve three major stages; solvent extraction, refining, fractionation and interestification. Manorama operates a fully integrated state-of-the-art manufacturing facility in Birkoni, near Raipur. It covers all these key processes from origin to the market, from start to finish.

With an initial fractionation capacity of 15,000 metric tons in the year 2020-21, Manorama has successfully expanded its operations, reaching a current fractionation capacity of 40,000 metric tons. The latest expansion of 25,000 metric tons was commissioned in July 2024.

To date, the company has invested around INR212 crores in the capital expenditures, including a significant expansion of 25,000 metric tons capacity. Manorama's Milcoa Research and Development Centre is affiliated with the Government of India's Department of Scientific Research, DSIR certificate. In our in-house world-class research and development unit at Birkoni plant near Raipur, we continue to work on new products and applications and most of these applications and products working is done with our customers' needs required for their specific products and this research all goes on in continuous working with them, with our customers.

The company is committed to continuously technologically upgrade and capacity expansion, supported by an advanced in-house quality control and research and development centre led by our Dr. Krish Bhaggan, who is a world-class scientist and equally, we have a very highly capable team with a proven track record of decades of reliable, high-quality product supply to all our

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customers all around the world, which are mostly the top gods of chocolates and confectionery. And Manorama has a visionary management team.

Manorama is well positioned to be a preferred sustainable supplier for international chocolate producers. Manorama is a visionary company which procures the wasted seeds from the floor of the forest, then uses scientific techniques and world-class technology to upgrade it to food-grade products which the children of all over the world consume. And we are proud to convert our wasted products into wealth.

As per the industry's business size, the global CBE and specialty fat butter market is likely to surpass USD 2,030 million by 2032, growing at a 6.1% CAGR. Manorama enjoys decades of strong customer relationships with the global chocolate and confectionery manufacturers.

To name a few, Ferrero, Mondelez, Nestle, Hershey, Mars, Body Shop, Barry Callebaut and all the who's who of the chocolate and confectionery world, most of them are Manorama's customers in the global market and also in the Indian market.

Manorama has been accredited with more than 100 national and international awards by governments and non-government entities. Furthermore, Manorama has achieved numerous esteemed national and international certifications in areas such as research and innovation, quality control, standard processes, sustainable procurement, and ESG practices.

Thes

e accolades and recognitions, reflect Manorama's commitment to an environment-friendly, employment-generating, sustainable, growth-oriented business model with global recognition and presence since many decades.

As we look to the future of our company is committed to driving innovation and excellence in the chocolate, confectionery, and cosmetic industry. We are focused on expanding our product range with premium ethically sourced ingredients while also enhancing our production capabilities to meet growing global demand.

Our products are scientifically produced, which requires very high technology and continuous monitoring and research-based production. Our strategic investments in sustainable practices and advanced technology will enable us to deliver high-quality products more efficiently and responsibly.

With a strong emphasis on customer satisfaction and market expansion, we are poised to capture new opportunities and set new standards in the manufacturing sector. With the expansion of the fractionation capacity to 40,000 per ton, we anticipate a significant surge in our revenues. Thus, we are upgrading our guidance to INR 750 crores plus for the fiscal year 2025 along with an increase in profitability due to the economies of scale, margin improvements and multiple other efficiencies which we are achieving. We are excited to continue our journey towards sustainable growth, creating world-class products which are coming from most certified ethically sourced crops who are our customers worldwide.

I would now like to invite our CFO, Mr. Ashok Jain, for his comments.

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Ashok Jain: Good afternoon everyone and a warm welcome to Manorama Industries Q1 FY24-25 Earnings Conference Call. Financial performance for Q1 FY24-25, revenue growth. Manorama Industries achieved a notable 19.6 year-on-year increase in its revenue, reaching [INR 133] crores. This growth is attributable to robust demand across the company's product portfolio in both domestic and international markets.

Revenue breakdown. Exports contributed INR97 crores, making up 73% of total revenue. This indicates strong international market performance. Domestic sales for the remaining revenue shared. EBITDA performance, EBITDA increased. The company's EBITDA surged by 43.6% year-on-year to INR 26.8 crores. EBITDA margin expanded by 335 basis points and year-on-year at 20.1% in Q1FY25. This margin improvement reflects effective cost management strategies and operational efficiencies.

PAT, profit after tax: PAT growth increased by 17.2% year-on-year at INR 13.5 crores. PAT margin stood 10.2%, reflecting a solid profit performance in relation to revenue. Highlighting our Long-term performance for FY20-24 track record, revenue registered 25% CAGR. EBITDA clocked 14% CAGR. PAT had 15% CAGR during the period. Thank you for your attention to our financial performance. We now open the floor for the question-and-answer session.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Nitin Gosar from Bank of India Mutual Fund. Please go ahead.

Nitin Gosar: Hi, team. Congrats on a good set of numbers. A couple of questions. I'm just trying to understand how to look at the new capacity which has got commissioned. So, how should one see the sales volumes in terms of fractionation for the quarter that has gone by? So, June quarter which we ended with, what was the actual sales? If I were to monitor it from fractionation capacity point of view. And second linked question is going forward for FY '25 when we will have 40,000 tons fractionation capacity, what should we see or how should we see it scaling up and end up for FY '25? And hopefully, if you can also answer for FY '26, how should we see the utilization level on fractionation capacity basis?

Ashish Saraf: So, the capacity for the current quarter of CBE was

750 metric tons and 1150 metric tons for the scaling. The new capacity which was commissioned on 1st of July has not contributed in this quarter's results. And we expect in the current going forward season the CBE should be around 5,000 metric tons.

Management: So, current capacity utilization for SF2 fractionation will be 60%-70% in the coming quarter.

Ekta Soni: And sir, for the existing plant, we have utilization of around 100% for our existing capacity. And we expect our capacity utilization to be around in the range of 50%-70% in the financial year FY '25. And we expect it to increase it to 80%-85% in the financial year FY '26.

Nitin Gosar: Got it. So, just to put it in context, 15,000 tons was the fractionation sales or utilization for the quarter which has gone by. And thereafter, on total 40,000, we are expecting utilization to be around 60%-70% for the year. Or only for the new capacity, we are expecting 60%-70%.

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Ekta Soni: For the new capacity, we expect our utilization to be around 60%-70%. And for the existing capacity, we expect 100% utilization.

Nitin Gosar: Got it. And similarly, I think Ashishji did allude to the value-added products versus the other products. So, I wanted to understand the share of breakup between value-added and non-value-added that we have today. How is that going to change once the new capacity gets commissioned? So, let's say between FY '25 and FY '26, how should one think through that CBE share or value-added share to shape up?

Ekta Soni: So, as of now, if you see, for example, all our products are very niche products because they are all value-added products. But what we categorize, if you want to hear of like for example Cocoa Butter Equivalent is a value-added product for the company. For example, the stearin part which we receive from fractionation is a value-added product for the company. So, around 50%-60% whatever the company currently produces is the value-added product. So, of course, we have actually increased our wallet share for our value-added products. Currently, it is 50%-60% combining both CBE and stearin. So, we aim to increase our wallet share of CBE to 20%-30% for the current financial year. And we expect to increase it further in the coming financial year, FY '26. So, maybe current year it would be 30% and going forward we may increase to 50% the wallet share of Cocoa Butter Equivalent.

Nitin Gosar: Got it. And remaining would be the stearin portion. So, right now when we say value-added share is 50%-60%, we include CBE and stearin. And going forward, CBE alone could be 50%.

Ekta Soni: No, combining both and going forward alone could be stearin. See, basically the CBE is made out of stearin only. For example, if we intend to increase the volume of our Cocoa Butter Equivalent the stearin component selling will be less from that. So, combining the value-added product will be around 70% combining both CBE and stearin.

Nitin Gosar: Got it. Perfect. And if time permitting, I have two more questions, if I can continue.

Ekta Soni: Yes, please.

Nitin Gosar: The third question is with regard to the realization. If one were to understand from, I completely understand the competitive reason for which there is limitation to share the pricing. But on broad basis it can help us understand what kind of realization we see for a value-added product versus non- or limited value-added product. And how should one see this shaping up because there are certain contracts which are priced at earlier value.

And the realizations could be or would have shaped up on the higher side. So, if I were to take a starting point as April or let's say start of this year versus last year, how should one believe or how should one read the value-added piece realization, how they have shaped up. And ongoing basis or looking forward basis, does it seem to be on the improving trend or are the

current

numbers factoring in the improved version of those realizations already?

Ekta Soni: So, sir, yes. if you -- we talk on the realization part first. So, we take that question first. So, on the realization part, CBE, for example, what we use to -- so, the average price for our Cocoa Butter Equivalent-- Of course, you have seen all the global situations regarding the products of Manorama Industries Limited

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Cocoa Butter Equivalent that is rising surge in demand. So, of course, we are booking it our capacity at a much good rate compared to what we have booked in the last year. So, on average, we can take on a jump of around 10% to 15%.

On the pricing chart, we have initiated our booking accordingly and we are taking our contracts as per the revised price for our new products. And all these things, of course, that are going to attribute to our margins because there is not just the price realization benefit that company is going to get in the coming quarters, in the coming years, but there are several other factors which will attribute to the margins.

For example, the economies of scale, the operating leverage, what we are going to get. Out of this capacity once we have started utilizing our capacity at the optimum level, we are going to get the benefit of operating leverage, economies of scale and whatever backward integration we have done and we have made all the process integrated at one plant under the premises. So, that seamless operation will also attribute to the margins. Besides that, we expect better customer mix also and going forward, we expect better product mix also for our portfolio.

So we expect our margins to be sustainable. As you have seen, we have reported 20% EBITDA margin this quarter attributed to our significant cost efficient management system and the efficiency. So the company will try to maintain this margin in the range of 20% to 22% in the coming financial year and it could of course can surpass more, but the company will be in a better position to guide it further beyond 20% to 22 % as the quarter passes by.

Nitin Gosar: Sir, the quarter which we saw, which has gone by, we had reported 20% margin. It didn't see a material benefit coming out of new facility. And going forward, as new facility contributes,

value-added products improve and obviously certain degree of realization changes. The margins are trending upwards and it should get reflected partly in this year and hopefully full benefit in the coming year, that is FY'26. Is that the conclusion I should take?

Ekta Soni: Yes, you correctly put it.

Nitin Gosar: Okay. Thank you.

Moderator: Thank you very much. The next question is from the line of Jeevan Patwa from Sahastra Capital. Please go ahead.

Jeevan Patwa: Congratulations for good set of numbers. My question is we have expanded our capacities from 15,000 tons to 40,000 tons. So how do you see the global demand? So, do you think the market is good enough to absorb this additional capacity?

Ekta Soni: Thank you, Sir, for the question. So, yes, the global exotic butter and fat industry is more than 2 million tons and it is growing at 7% per annum. Secondly, in the last few years, there has been no new capacity, less capacity, which has been added globally. Additionally, there are newer and newer applications that are getting developed which increases the demand for our specialty exotic fats and cocoa butter equivalent.

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Speaking specifically about the Manorama, in FY'25, we were supplying to very few major clients and the export was not that great as it is now currently. Today, we have more than 80 global clients. We also have -- we have expanded our business to US, Europe, Russia, Middle East, Turkey, and various other countries. So this is the market where you need to have specific applications for specific clients. And also it takes two to t

hree years for any new player to

onboard a new client. In last three years, we have worked with multiple clients and able to develop specific products for their applications.

Jeevan Patwa: Okay, great. And secondly, how do you see yourself competitively positioned in the global scenario? So in terms of competition, how do you see yourself positioned in the global scenario?

Ekta Soni: Firstly, as you know that Manorama is the leading company which can process any of these specialty fats and butters coming of the seeds like sal, shea and the mango kernel and us against the majority players who are there, but they are based out of more on the shea nut part. Secondly, we are one of the very few companies who supply to global confectionary giants like Mondelez, Ferrero, Mars, Nestlé, Hershey and also cosmetic giants like L'Oreal, Body Shop, Lush. And also there are applications to the bakery and the HoReCa market. So whatever by-products get produced, all sold in the domestic market. So we have a plant where nothing is wastage and that which gives the competitive cost advantage against the global players.

Jeevan Patwa: Perfect, sir. Thanks a lot. I'll join the queue again.

Moderator: Thank you very much. The next question is from the line of Kaushik Mohan from Ashika. Please go ahead.

Kaushik Mohan: My question is that I can see that we have done an increase in our capacities, right? What kind of amount that we invested for this capacity and what kind of peak revenues that we can see?

Ekta Soni: So, Sir, for the new capacity, we have spent more than INR 100 crores on this new capacity expansion, which includes the extraction plant of 90,000 tons, the refinery plant of 30,000 metric tons per annum, the interesterification plant of 15,000 metric tons per annum, and the fractionation plant of 25,000 metric tons per annum, along with the other supporting infrastructure and needs. At peak utilization, the new expansion should generate a revenue which is close to INR600 crores to INR800 crores on an asset turnover ratio of ranges between 6 to 8. At today's pricing, we expect we should reach our optimum utilization of the new capacity by the end of FY'27.

Kaushik Mohan: Got it. Ma'am, you have told the guidance for this year to being around INR750 crores. Also, you mentioned with one of your colleagues that you are going to run a present old factory at 100% utilization and the new one at 70% utilization.

If I assume the old one being at 100% utilization, it means we'll do the same revenue as last year whatever we closed at. And also, with the new facility, that means that 25,000 is the new facility. In this, 70 percentage is coming out to be around 17,500.

Also, in the call, you mentioned that per kg realization is somewhere around -- approximately it is a better size. I don't know the number. If you can specifically mention that, that means that

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17,500 plus 15,000, the total is coming out to be 32,500. Is my understanding right? This will be the capacity in this year?

Ekta Soni: Of course, you are right, but then we have commissioned our new plant on the 1st of July. So we have to exclude the first quarter of current FY out of it you have to exclude the first three months out of your calculation and the rest of the calculations are correct.

Kaushik Mohan: Got it. And what will be the per kg selling price if it is possible to be shared?

Ekta Soni: Looking at the competitiveness for the market, we will restrict ourselves to share the price.

Kaushik Mohan: Okay. I also understand that cocoa prices are increasing in the market. Normally, cocoa equivalent butter trades at 50% lower than what -- it's basic understanding what I have. So if I wanted to understand, now the cocoa prices have skyrocketed, right? Are we also going for a price hike in our product?

Ashish Saraf: The increase of cocoa butter definitely increases the price. But

our basic model is whether

whatever the price of cocoa butter is there, the CBE has its own value chain and its own requirement all over the world. And CBE is a co-developed product, which we do. And the reasons of the profit are not only due to the increase of cocoa butter prices.

Cocoa butter prices may go up, may come down. CBE has all the chocolates in the world. Mass producers which need CBE to produce the chocolates and give a better shelf life and better efficiency in the mouth feel of the chocolate.

And plus the cost efficiency, which we have brought in due to the new expansion, the shelf life has increased, the better textures CBE has. So there are a lot of reasons CBE's demand is increasing and will keep on being utilized all over the world by the companies who produce chocolates and confectionery.

Kaushik Mohan: Got it. Sir, my other question is that in the current quarter, I can see our interest cost being around INR 8.5 crores. If I assume this will be the same for the next four quarters, that means our interest cost has gone pretty high. Can I understand, this is the entire money is being used for the investment of our capex?

Ashok Jain: So, all the money is applied for the working capital, for procurement of our raw materials. And the same will be around, the average cost of borrowing is 9%.

Kaushik Mohan: And sir, also I can see the inventory levels going up and the change in inventory.

Ashok Jain: It will continue for these three quarters. And we are debt-free means we have a surplus fund of our cash FDR, so technically we have -- around INR250 crores is only working capital for the procurement of raw materials, net debt.

Kaushik Mohan: Sir, can you explain about our contract?

Asok Jain: We have surplus FDR in our books around INR 95 crores as on date that will be utilised for the coming working capital requirement.

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Kaushik Mohan: Got it. Sir also can you explain me on our contracts that we have with our clients? Is it a very long-term and how long is the contract that we work with them and if there is any price change, when do we take that price change into consideration?

Ashish Saraf: So we are working with our clients where we are more than 80 global clients and otherwise we have more than 150 clients, customers. So everybody has their own way of buying. Some buys on short-term basis, but some buys on long-term basis. So our contracts range from 1 year to 6 months to 3 months delivery basis.

Kaushik Mohan: Sir, another question. We have incorporated subsidiaries Australia, Russia as well as the Middle East. Can you explain the purpose of this?

Ashish Saraf: So basically we have this for different purposes. The subsidiaries in West Africa, Africa's subsidiaries are for procurement of shea nuts from the tribals and villagers of those regions like we do in India whereas the subsidiary in Russia is for selling to the local small companies which are based in Russia where we need to be present to cater to the smaller companies. As you must understand, chocolate business all over the world has many types of companies. The top ones are the Ferrero, the Mondelez, the Nestle, Barry Callebaut, Mars. And then there are second-rank, third-rank.

There are different categories and layers of these chocolate companies. So for catering to the third and fourth layer of the companies we have established in Russia, Dubai and there are also multiple other business regions where we can utilize these companies for the Dubai companies, especially for procurement also. So, it's considering the importance of the local presence because ours is a global market and we need to cater and having more synergies of scale and having more to be more near the customer and to cater to our profitability, these decisions have been taken.

Kaushik Mohan: So, what is the capex plan for next two years? Do we have any or will it become

a cash-rich

company because cash flows will be positive?

Ashish Saraf: The clear intention of Manorama is to be 100% debt-free. We already have INR 95 crores of

fixed deposits in the bank also and our plan is to be debt-free in the next three to four years. And we practice optimum utilization of our capacity by financial year 2026-2027 where we see much higher revenue growth and much higher margin increases due to the various advantages we will get because of this new addition of the capacity.

And there are a couple of projects in pipeline which companies preparing the plan and working on the feasibility and details and once we are ready we will come to our board for approval of the thing. And we have last five years since the time our production started in March-April 2020 when the corona hit India and since then till today we have been able to face all the hurdles and reach here and now once we are here we see a very bright future going forward, a very bright future.

Kaushik Mohan: Sir and in the long term of margins.

Moderator: Sorry to interrupt sir. May we request you that you return to the question queue for follow up questions as there are several participants waiting for the turn.

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Kaushik Mohan: Sure.

Moderator: Thank you so much. Next question is from the line of Deep Chitalia from 9 Rays Equiresearch. Please go ahead.

Deep Chitalia: Yes ma'am, so I just wanted to ask that the raw materials of Shea and Sal which we procure from tribal people in Africa, so they don't have the bank account. So just wanted to know that what is the mode of payment and what is the terms and conditions you sign with the tribals? Is it on a spot prices basis or is it on a fixed prices?

Ashish Saraf: So Manorama Industries we 100% follow the rules of the law and the land and we are pioneers in the business of procurement. We basically ensure that the money reaches the women. Billions of women in India and Africa are our customers. So we all have audit teams travelling all around the regions to monitor our own people. Generally, the head of the village whomsoever is the head, like in India we have the panchayat chief or the village chief. Same system they have in West Africa also. So generally they are the heads whom we use and we pay them and they pay the women. So we don't buy anything in cash. All the purchases are done through banking channels whether it is India or Africa.

Deep Chitalia: And sir it's the contract is on spot prices or is it a fixed contract on a yearly basis or a quarterly basis?

Ashish Saraf: On Shea nuts and all you have to understand this is procured by millions of tribal women and when we use the word tribal and forest travellers they are natural forest people of India and West Africa and there cannot be any contract. All the nuts what we buy from them are on the prices of that day. In India we have fixed prices for Sal and mango as we are the only buyer, most of the buyers. We are the key buyers and in West Africa also it is mostly bought on spot basis.

Deep Chitalia: Okay, I understand. Thank you so much.

Moderator: Thank you very much. The next question is from the line of Sanjay Manyal from DAM Capital. Please go ahead.

Sanjay Manyal: Hi Sir, just want to understand if you can give - if you can throw some light on the Cocoa economics in Africa, the way prices have moved up in Cocoa how sustainable these prices are, how is the production sort of going to come in the next few years in Africa and whether suppose Cocoa prices comes down and whether it can impact the Cocoa butter also?

Ashish Saraf: As I explained earlier Cocoa butter all the 8 billion people on earth want to eat Cocoa butter, they love Cocoa. So Cocoa is in high demand all over the world that develop already it was, it is the best, it is the most popular in Europe and all over America and all. Countries like India, China, Brazil,

the demand growth of Cocoa and the demand growth of chocolate has gone up still more further. So basically Cocoa is produced, the demand is going very fast and the production of Cocoa is subject to a very particular area like it is grown in West Africa where 60% of the Cocoa of the world is grown. Some is in Latin America and some is in Indonesia, Malaysia, India has a very, very small proportion. So the Cocoa is a very complicated process, Manorama Industries Limited

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the growing, the planting, then the tree needs special care and the farmers are very tired of handling the Cocoa. The high prices of Cocoa don't reach the farmers.

It goes to various other channels in between. So basically the demand supply of Cocoa will happen, it will go up, it will come down that is a process. What I am trying to say is as far as our business is concerned it doesn't affect directly, of course there are indirect effects on the prices,

but every price like of CBE in all these last so many years we are doing and Cocoa has been going up and down, but our business is stable.

Sanjay Manyal: Right sir. Sir also if you can just give a volume number for the current quarter segregated between Olein and Cocoa butter equivalent it means what proportion of Cocoa butter equivalent volume is of your total volumes and also if you can give the segregation of Olein and stearin?

Management: We will share with you the details sir, separately.

Sanjay Manyal: Okay. That's all from my side sir. Thank you.

Moderator: Thank you very much. The next question is from the line of Bhuvan from Tiger Assets. Please go ahead. Mr. Bhuvan your line is unmuted.

Bhuvan: Thank you for the opportunity and congratulations on a good set of numbers. I would like to know what percentage of the CBE is presently used in chocolates and how much time could it take to reach to 5% of the FSSAI?

Ashish Saraf: Basically CBE generally chocolate makers mix 30%. This is the general way. Every chocolate has its own permutation combinations and the chocolate companies are having their secret recipes they don't share with us. But as a thumb rule generally chocolate contains 30% cocoa butter by weight. It should contain some, but it all depends on the cost and the company which is producing it.

So as per the FSSAI regulation in India and Europe, European regulation was 5% allowed by weight use of CBE. If the wrapper of the chocolate says 5% chocolate, like 5 star, they don't put chocolate word on it. They use the word sugar for a confectionary.

So they have this rule of 5%. If they want to put CBE, they have this rule of 5% doesn't apply.

But if you put chocolate word, then this rule of 5% applies. But the demand is so high of the CBE. So whether it is 5% or 15% doesn't matter. It has its own demand and supply issue.

Bhuvan: Thank you. Another question. What led to the margin expansion? Is it operating leverage or rising variations or what? Hello.

Management: So the EBITDA margin for the whole year is around 17%. In the first quarter of FY '25, we have reported an EBITDA margin of 20%. With the help of the growth measure taken by the company, of course the margins are going to be on the improving trajectory in the next two years and coming years. And there are several factors which are going to be margin improvement.

Like for example, the improving share of the value-added products, the better customer mix to Manorama Industries Limited

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the economies of scale in sourcing, the backward integration what we have done and the seamless operation.

Also the company is going to get the operating leverage benefit out of it because the fixed overhead will not change in the line of the revenue increases. And also there will be certain products where the realization will improve. And we are looking at margins to be gravitated towards 22% in the FY '25. However, the full benefits of th

e points of what we talked about will

get reflected in FY '26. So this margin trajectory will keep moving upward, which we wish to update as pre-quarter ends in the coming quarter. So as of now, the guidance what we want to throw it for the FY '21, it should be in the range between 20% to 22%.

Bhuvan: Okay. And is your shipment from Africa affected by the Red Sea crisis? And how are you seeing the shipments trending over?

Ashish Saraf: So as far as African imports are concerned, they are not directly supply impacted by the Red Sea crisis. The general impact of the Red Sea crisis is on the areas where we ship around that. So the container freight has gone up almost double because of those crisis to certain markets where we ship. But of course, all those increases have been taken care in the pricing of our products.

Bhuvan: Okay. So any increase in prices will be passed on to the customer. It won't be incurred.

Ashish Saraf: We cannot say for all the customers, yes, but most of it.

Bhuvan: Okay. Thank you and all the best.

Ashish Saraf: Thank you.

Moderator: Thank you very much. The next question is from the line of Alisha Mahawla from Envision Capital. Please go ahead.

Alisha Mahawla: The first question was, what is the volume growth on a Y-o-Y basis that we have achieved? Or is it all realization growth?

Ekta Soni: So whatever growth we have reported in the last financial year that attributes to the volume only.

The utilization benefit from of our new plant will come in the coming quarters.

Alisha Mahawla: I just wanted to understand that we may be operating at full utilization at some part of last year also. So I am just saying Q1 '25 to Q1 '24 is the growth that we are seeing of almost 20% all volume growth or have we got some benefit of realization growth also?

Ekta Soni: So, if you see, the last year utilization was around 90% in the last year. In the quarter which we reported currently, the utilization was somewhere around 95% to 100% for the plant. So, the

most of the growth if you see, it is coming from the volume growth.

Of course, there are certain products where the realization benefits also come. But the larger portion is coming from the volume growth. Because of the optimum utilization from the last year to the current year.

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Alisha Mahawla: Understood. And peak utilization for us would be 100% or would it be 90% or 95%?

Ekta Soni: There are several processes. Because there are multiple processes from where we get this product CBE and stearin. So, the capacity utilization can differ or vary for different processes. And it is like up and down. But yes, optimum can be taken more than 90% for the plant.

Alisha Mahawla: Okay. And just the last question was this new capacity that has come on stream, the 25,000 tonnes. While you all did mention that we have 80 plus global customers and we have also expanded to new markets. Is this capacity tied up where we have some soft commitment from customers that they are going to increase their uptake or volume with us?

Ashish Saraf: So, this is an ongoing process where we, because as you have to understand. See, Manorama is a very unique company which is buying the raw materials from, which is taking the raw.

Ensuring from millions of forest dwellers from the floor of the forest. Then bringing to our factories where we produce highly scientific products which are used in all over the world. The children of the world, the people of the world eat it. So, this is not a commodity. This is a very high niche speciality.

And these specialities have their own value additions. And their own value products are, nobody else in the world can do all these jobs. I cannot say nobody, but I can say it is not easy. It is quite difficult. There are multiple entry barriers for new customers. Whether it is the procurement side, whether it is the highly scientific production side. Whether

it is the customers, because all

the customers of the world, their products are billion dollar branded products. They don't want to use, buy these products from others. So, we have our own way where we have our own product demands.

Alisha Mahawla: I understand that. It is just that because like you said there are newer applications and because it is a very niche product. We are still saying that we will reach peak utilization of the new plant in '27. Whereas we are already expecting 60%-65% utilization in the new plant for the rest of the year. So, can we expect that maybe the new plant can reach peak utilization of 90% plus in '26 only?

Ekta Soni: Of course, we can reach that. The company has that potential to reach the utilization optimum by FY '26 also. But at this point of time, because we have just commissioned the plant, it will be too early to comment it. So, on a safer side, we have committed to FY '26. But of course, as the quarter progresses, we are going to update you further. But of course, the company has that potential to reach the utilization in FY '26 also.

Alisha Mahawla: Okay, thank you and all the best.

Ashish Saraf: Thank you.

Moderator: Thank you very much. The next question is from the line of Jainam Doshi from Kris Portfolio. Please go ahead.

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Jainam Doshi: Yes, so congratulations on good set of numbers. I just wanted to ask like could you throw some light on the newer products that our R&D team is working on? Like some different applications except the confectionery and the cosmetics?

Ekta Soni: So, we have launched certain products. If you can say that too in the name of like Milco Cream. There are products called Milco spread, Milcoa R and Milcoa E which the company has recently launched. The applications are going to be used in, for example, the bakery fats market, the Horeca market and going forward in the edible industries as well. So, these are some of the products which we have launched currently. And there are further products which are currently in the pipeline when the company reaches the position when we have launched and when we are going to come up with the official announcement.

Jainam Doshi: Sure, sure. Thanks a lot. That's all from my side.

Ekta Soni: Thank you

Moderator: Thank you very much. The next question is from the line of Arun Gupta from SE Securities. Please go ahead.

Sajal Gupta: Hello, Ashish. This is Sajal Gupta speaking. And good afternoon to you and the team. And

congratulations for taking off on the new line of capacity. So, most of the questions have been answered. So, just wanted to understand what is the moat of in this company? Is it possible for anyone to come and start off a business like this or not?

Ashish Saraf: Thanks, Sajalji. I will use the word here. It is very difficult. It is not impossible but it is not possible also. There are three major sides to it. One is the procurement side. So, this network which we talk very proudly about has been developed over the last 20, 30 years of very hard work. So, it is not a product which you can go to a Mandi and buy. You have to go to the forest villages and establish that network and get the right quality of seeds which we can process. Second, the key part is the production facilities. These facilities and all which we enjoy today. There has been a lot of blood and sweat which has gone into making these technical and these special scientific ways of processing. And these are very highly unique and very difficult for new players to make and sustain.

And the third biggest side is the customer base because all this Chocolate is a very, very delicate product. It is a very unique product which no buyer wants to experiment with new players. The minimum entry barrier, first you need to send samples. Then they approve the samples. Then they take 8 months to 1 year of shelf life test because all these food

products have shelf life.

So, how this new player's quality will behave. Then they try the main pilot plant production trials. So, the process of entering itself is 3 years to 4 years. And then the question comes whenever a new player approaches, they will ask what is your experience, where is your factory. First you put up a factory, show us your procurement network. Then we will think of considering whether we want to buy it or not.

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And then there are multiple audits, multiple, because we have to understand these products are being eaten by the people not only of India but all over the world. Whether it is Japan, whether it is Europe, whether it is Russia, whether it is Latin America, America or the other parts of the world, Dubai, the Middle East. So, this is a very critical product which is very difficult for, I will not say it is impossible but it is quite difficult.

It is a creation of wealth from waste. And in this process millions of tribal people are getting millions of dollars in their pocket by us, by Manorama.

Sajal Gupta: It sounds good that there is such a huge moat for the company for anyone to enter into this line of business. So, just another thing that as we have seen the cocoa prices have almost doubled. So, I presume the CBE also has moved in tandem with the prices of cocoa. So, aren't we giving a very conservative guidance on the margin side?

Because if I see that your wallet CBE share which is 30% and it will be 70% in the current year. Could you first tell me what was the shares last year? And because we are moving on hierarchy on the value added item, the margin should really move much higher than what is being guided by the management?

Ashish Saraf: I agree to what you are saying, Sajalji but with every quarter we will be able to guide you better and better. Because these are all at blended levels we have guided and now our new facility has started production. And going forward we see a great future in this business. So, we can definitely do better, but it is our also conservative approach.

Ekta Soni: And sir, we are going to guide you as the quarter progresses. Because the company in the last quarter seen reported the margin of 20%. So, we will try to stay in the increased trajectory mode, but we can update you once the quarter progresses.

Sajal Gupta: As I see the company going forward, correct me if I am wrong. There are very few companies which have got an asset turnover ratio above 6. And as you are guiding, by next year you will be almost fully utilized on your existing capacity. Plus your new capacity which is coming into play right now. You would need further capacity additions going forward. So, that will be a very positive thing for the company. In 2 years you can utilize the full capacity. I hope I am on the right track from this part?

Ekta Soni: Of course sir, you are right. Because there is a lot of potential already there in the existing business. You see the demand, you see the supply, you see the technology. And there are few other plans/projects the team currently is working on them.

We are checking the feasibility of the projects and everything related to it internally. So, we will come up definitely with the official announcement once our board approves the project when we place. These plans are very positive and it is for the growth of the company.

Sajal Gupta: Thank you. That is all from my side. I wish you all the good luck for the coming future.

Moderator: Thank you very much. The next question is from the line of Mayur Parkeria from Wealth Managers (India) Pvt. Ltd. Please go ahead.

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Mayur Parkeria: So, congratulations on a good set of number and great to know that you started with maiden call process and hope it continues. So, I had two questions basically. One, a little operational and sec

ond, a little long term. One is, will it be possible for you to give us an understanding of how did FY'24 revenues, if you have to break between Chocolates, confectionaries and Cosmetics. That is one.

And how do you see with the new capacity, how does this mix change? So, that is first. And second is, to the management over the longer term, what is our 5 years to 6 years of vision in terms of, have we got any long term range plan in terms of whether it is capacity, whether it is revenues, whether it is ROCs or anything in terms of little longish, how do we see 5 years. Now we have come across this, we have broken the new capacities are placed, the success is there and how do we see the little long term in terms of, is there a tangible vision there or any qualitative vision which you see over the next 5 to 6 years. So that, how do we monitor the company over this longish period?

Ashish Saraf: Sir, the biggest vision we foresee is, we see the unique Manorama in every country of the world supplying to all the confectionary and Chocolate companies, not only whether it is Columbia or whether it is America or whether it is any country in the world. So we see a very big bright future going forward and we have very high vision and planning in store.

Currently our target is to first optimize the second fractionation plant to its full utilization, but we are not waiting, our other teams are simultaneously working on all the other projects and other further expansions and further deep drive we can go into the various parts of the world. That is why lots of our subsidiaries now we have started opening all over the world and we see a big future whether it is Russia, whether it is America, whether it is all parts of the world and even in India we see a huge opportunity for our by-products value realization, we being a 1.4 billion country and the consumption of the food products going up and up. So we have a big vision for Manorama going forward and we see a very bright future.

Mayur Parkeria: Sir, any numbers which we can track and benchmark against over the longish period in terms of either capacity or revenues or any such things?

Ashish Saraf: That we will share going forward once we, there are many things in the offing and there are multiple projects and workings we are working on as and when we will inform to our board and again come back to you.

Mayur Parkeria: Great sir, thank you so much and sir in the first question will it be, is it possible to understand the revenue mix in the last year and how will it play out with the new capacity?

Ashish Saraf: So 90% is the food business and 8%, 7% is the Cosmetics business.

Mayur Parkeria: Okay, and that is how it will also remain as we go ahead?

Ashish Saraf: Not necessarily because we are majorly expanding in the confectionary and Chocolate business so definitely it will not remain the Cosmetic business. Again we are focusing also simultaneously

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but the volume in the food business is extremely high compared to the natural Cosmetics of the world.

Mayur Parkeria: Sir, this breakup you gave from revenue, rupees, crores or from the volume perspective?

Ashok Jain: Breakup is based on volume sir.

Mayur Parkeria: Okay, and how will it be in the revenue side?

Ashish Saraf: Revenue will be same around 90%, 92% is the Chocolate and depending on the further markets.

Management: Revenue in the food will definitely increase because Cosmetics growth is steady, food growth is quite high.

Mayur Parkeria: Okay, sir, thank you so much and wish you all the best.

Moderator: Thank you very much. The next question is from the line of Jagat Yagnik from Prince Enterprise. Please go ahead.

Jagat Yagnik: Hello sir, congratulations for commissioning this plant and now the company has become fully integrated organization to provide end-to-end solutions?

Ashish Saraf: Thank you sir.

Jagat Yagnik: My

question is around when I was looking at all the numbers. So for next three quarters it looks like our EBITDA shall be in the range of around 30% actually if I try to extrapolate all the numbers. So is my assumption in the right direction or do you see something else?

Ekta Soni: So sir, we already reported the growth, If you see last financial year the company reported 17% EBITDA margin. In the first quarter we already have reported 20% margin. There is already an

increase of 3% in the margin. Of course there will be an improvement but whatever we have guided, already guided you, we have guided you on the blended level. So we will try to maintain that as of now and if things progresses we are going to update you in the coming quarters.

Jagat Yagnik: And second part of my question was around the raw material. Will it be possible for the company to continuously procure the raw material as the capacities are going up now?

Ashish Saraf: Yes sir, basically these are coming from the natural forests of India and West Africa. And till now last 20-15 years we have been doing the same and we are hopeful that we will be keeping on doing the same. There is no as such, we don't see any acidic threat in this. And the volumes available for both our products are in millions of tons of Sal in India or Shea in Africa or even Mango Kernel in India. So we are quite sure unless and until there is a major natural calamity or something.

Jagat Yagnik: Okay, so we have the ability to go forward and increase our capacities in longer time horizon if my understanding is correct as the market is also pretty big.

Ashish Saraf: Yes, we can do it.

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Jagat Yagnik: Okay, can you give some kind of guidance over a longer period of time, revenue growth guidance, is it going to be in the range of 30%-40% or something around that?

Ashish Saraf: We cannot share the figures here but we are very positive and we see a bright future.

Jagat Yagnik: Okay. Once again congratulations to our company and great work which you all have done. Congratulations and wishing you all the best.

Ashish Saraf: Thank you.

Moderator: Thank you very much. Ladies and gentlemen owing to time constraints this was the last question for today's call. I would now like to hand the conference over to the management for closing comments.

Ashish Saraf: So it was, I again, once again thank all the participants and Manorama family members for their valuable time for attending the unique Manorama business model and for the first earnings phone call. The company continues to establish itself as a leading and reliable player committed to meeting the growing demand for sustainable cocoa butter equivalents specialty fats and butters. And our major thrust on our research and development in place, we remain the preferred partner all over the world for supplying exotic fats and butters to our existing and new customers worldwide and in the domestic markets. In case if you have any further queries kindly write us on email or connect with our investor relations Ernst & Young. I sincerely once again thank everyone. I wish you a great day and we look forward to seeing you next time. Thank you.

Moderator: On behalf of Manorama Industries that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jan 2025

o Manorama Industries Limited
KHASRA No. 2449-2618
Nr. IIDC, Birkoni
Mahasamund (C.G.)
Pin : 493445

January 27, 2025

To,

The Manager

Listing Department

BSE Limited,

Phiroze Jeejeebhoy Towers,

Dalal Street, Fort,

Mumbai - 400001

SCRIP CODE: 541974

ISIN: INEO0VM01036 To,

The Manager

Listing Department

National Stock Exchange of India Limited

'Exchange Plaza', C-1, Block-G,

Bandra Kurla Complex

Bandra (East), Mumbai -400051

SYMBOL; MANORAMA

ISIN: INEO0VM01036

Subject: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of Q3 FY25 Earnings Conference Call held on Wednesday, January 22, 2025.

Dear Sir/Madam,

In reference to our letter dated January 14, 2025, we would like to inform you that the Company had organised a Q3 FY25 Earnings Conference Call with the Investors/Analysts on Wednesday, January 22, 2025 at 01:00 pm (1ST). A copy of transcript of Q3 FY25 earnings conference call is enclosed herewith and the same has also been uploaded on the Company's website at <https://manoramagroup.co.in/investors-company-announcements#analystmeet>

This is for your information and records.

Yours Faithfully,

Thanking You.

For Manorama Industries Limited

Deepak Sharma

Company Secretary and Compliance Officer

Membership No. A48707

Place: Raipur

Corporate Office:

F-6, Anupam Nagar,

Raipur -492007, Chhattisgarh, INDIA

E-mail : info@manoramagroup.co.in

Tel.: +91-771-2283071, 2282579, 2282457

Telefax: +91-771-4056958

CIN: L15142M112005PLC243687

GSTIN: 22AAECM3726C1Z1 Certifications:

FSSC 22000, ISO 9001, ISO 14001, ISO 4500, RSPO, HALAL, KOSHER,

FAIRTRADE, ORGANIC, FSSAI,

EcoVadis & Sedex registered and certified.

A Government of India Recognized Star Export House Registered Office:

Office No. 701, 7th Floor, Bonanza Building,

Sahar Plaza Complex,

Andheri Kuria Road, Andheri East,

Mumbai, Maharashtra - 400059

Tel 022 22622299, 49743611, 022 67088148 ,

www.manoramagroup.co.in

GSTIN - 27AAECM3726C1ZR

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MANAGEMENT : MR. ASHISH SARAF – CHAIRMAN AND MANAGING
DIRECTOR – MANORAMA INDUSTRIES LIMITED
MR. ASHOK JAIN – CHIEF FINANCIAL OFFICER –
MANORAMA INDUSTRIES LIMITED
MRS. EKTA SONI – AVP, INVESTOR RELATIONS –
MANORAMA INDUSTRIES LIMITED
MR. DEEPAK SHARMA – COMPANY SECRETARY –
MANORAMA INDUSTRIES LIMITED

MODERATOR : MR. HIRAL KENIYA – EY LLP

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Moderator: Ladies and gentlemen, good day, and welcome to Manorama Industries Limited Q3 and 9 M FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the star then zero on your touch-tone phone. Please note this conference is being recorded. I now hand the conference over to Mr. Hiral Keniya from EY LLP. Thank you, and over to you, sir.

Hiral Keniya: Thank you, Steve. Good afternoon, everyone. On behalf of Manorama Industries Limited, I welcome you all to the Company's Q3 and 9 M FY'25 conference call. To discuss the performance of the Company and to answer the questions, we have with us the management team comprising of Mr. Ashish Saraf, Chairman and Managing Director; Mr. Ashok Jain, CFO; Ms. Ekta Soni, AVP, Investor Relations; and Mr. Deepak Sharma, Company Secretary. Before we proceed with this call, I would like to draw your attention to the fact that today's discussion may contain forward-looking statements that are subject to various risks, uncertainties and other factors, which will be beyond management's control. We kindly request that you bear in mind that there might be uncertainties when interpreting such statements. Please note that this conference is being recorded.

We would now start the session with opening remarks from the management team. Afterwards, we will open the floor for an interactive Q&A session. I would now hand over the conference over to Mr. Ashish Saraf for his opening remarks. Thank you, and over to you, sir.

Ashish Saraf: Thanks, Hiral. I heartily welcome everyone to Manorama Industries Q3 and 9 M FY'25 earnings call. We are happy to state that the Company has reported its highest ever operational performance during Q3FY '25, led by robust market demand for our diverse range of specialty butters and fats, coupled with higher volumes led by commercialization of our new fractionation facility. We are optimistic to achieve our financial year 2024-'25 guidance of INR750 crores plus revenues with increased profitability.

Manorama Industries strengthened its global operations by creating 7 new strategic subsidiaries including six in West Africa to secure Sheanuts and one in UAE to secure its sourcing and attract new clients from the MENA region. The growth and expansion are aligned with our commitment to deepen the relationships with our esteemed stakeholders. The Company has significantly expanded its fractionation capacity from 15,000 metric tons in 2020-21 to 40,000 metric tons with the recent addition of 25,000 metric tons commissioned in July 2024.

Manorama continues to innovate through its MILCOA Research & Development Centre, which is certified by India's Department of Scientific Research. Till 2019 to '24, proceeds used here for manufacturing few value-added products where we have clear foresight of scale up and cash

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flow generation. And now we believe it's an opportune time to start planning for next round of growth for 5 years starting from year 2026 to '31.

Today, we are evaluating multiple projects. Out of this, we are considering and prioritizing 4 to 5 projects for a timeline of next 2 to 3 years to 5 years perspective and to give you a broad idea, two of them will fall in backward integration and three in forward integration. For forward integration - first, forward integration by entering the cocoa butter alternative market. Second, the forward integration by starting production of industrial and compound chocolates. Third, the forward integration of manufacturing of palm mid-fraction, which is used to make CB E. Fourth

is backward integration project of solvent extraction for Sal, Mango and other Indian exotic seeds in Chhattisgarh, India. Fifth is backward integration by creating a Pre-Phase and solvent extraction facility in the West African state of Burkina Faso. We will be updating the necessary project cost, payback period, commercialization timelines, etc. once we have finalized our execution plans.

Manorama is on a path of sustainable growth, creating world-class ethically sourced products for customers worldwide and thereby creating value for the esteemed stakeholders. Now, I would like to invite our Company's Director and CFO, Ashok Jain, for his comments on Q3 and nine months performance. Thank you.

Ashok Jain: Thank you, sir. Good afternoon, and warm welcome to everyone to Manorama Industries Q3 & 9MFY25 financial performance and earning call. Highlighting the Company's financial performance during the quarter, Manorama Industries revenue during Q3FY '25 grew by 112.5% year-on-year to INR209.2 crores rupees, owing to higher demand of Company's product portfolio in both export and domestic market. The Company's export business contributed 73% of total revenue and balance 27% in the domestic market.

The Company's EBITDA has witnessed a substantial rise of 2.5 times year-on-year, reaching INR55.20 crores in Q3FY '25. Additionally, Manorama has seen an expansion its EBITDA margin by 1,051 basis points year-on-year growth, and the EBITDA margin stood 26.4% in the Q3FY '25, which is attributed to efficient cost management and operating leverage.

Profit after tax during Q3FY '25 grew by exponential almost 3 times to INR29.5 crores. Profit after tax margin expanded by 656 basis points year-on-year and stood at 14.1% in Q3FY '25.

Employee benefit expenses during Q3 FY'25 is INR17.40 crores and it includes ESOP provision of INR7.68 crores. Also, our other expenses, including job process charges, insurance, traveling, stores and consumables, etc.

Now, highlighting CAGR track record of Manorama Industries during financial year 2020-'24 period. Revenue, EBITDA and PAT has registered CAGR of 25%, 14% and 15%, respectively. Thank you for listening to us. Now, we open the floor for the question and answer session. Thank you.

Moderator: Thank you very much sir, we will now begin the question and answer session. Anyone who wishes to ask the question may press star and one on their touch-tone telephone. If you wish to remove yourself from the question queue, you may press star and two. Participants are requested
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to use handsets to ask their questions.

Ladies and Gentlemen, we may welcome the questions.

The first question is from the line of Nitin Gosar from Bank of India Mutual Funds.

Nitin Gosar: I had a couple of questions. Can you please help us understand how do you select your capex program? What are the guidelines or criteria in terms of financial parameter like ROE, payback period, while zeroing down to the projects for next round of capex?

Ekta Soni: Yes. Thank you, Nitin ji, for the questions. So as for our new projects, what we have announced in this quarter are concerned. So of course, we are going to submit the detailed financial plan to our shareholders once we get the approval from our Board members and also update our capital expenditure plans to our esteemed shareholders. But as of now, for selecting the projects, we see that if you consider the large projects, what we have set up the fractionation.

So, we have always considered a payback period, which gives us less than 3 years. So going forward, the projects what we have recently finalized or prioritized, so we have considered the projects, which will give us a payback period of less than 3 years.

Nitin Gosar: Okay. Got it. So, we are almost doing something which is less than 3 years as a first criteria to

consider as a project. Obviously, there will be parameters of, as sir had mentioned around forward integration and backward integration attached to it. Second is with regard to -- since

there are a couple of projects, which we are working upon. So, would there be a scenario where bunching up of this capex will happen like in a given year, there will be strain on cash flow? Or how do you wish to incur this capex? Because most programs then, if they are less than 3 years on payback, then you may wish to consider them upfront at one go, but that will strain our balance sheet. So how do you envisage to incur this capex, once it is approved by the Board?

Ekta Soni: So, all these projects, what we have discussed now, so we are going to do over the period of next 3 years. So, the Company is going to generate healthy cash flows over the period of 2 to 3 years. We think that this could be done through internal accruals, but then that is something what we will get back to you once we get the detailed financial plans approved from our Board, whether how we can go about it.

We have announced five projects. So that will be done over the period of 3 to 5 years. Our cash flow permits us to go through all these projects over the periods of time. But that decision will be taken by our Board and the management team once we get our detailed financial plans approved by the Board. So we can then again come to you that how we are managing our cash flows over these projects.

Nitin Gosar: Got it. And if you can help us with certain housekeeping data, like fractionation production volumes over last 3 quarters. And also the share of value-added piece over the last 3 quarters, but if you can give for 7 quarters, it would be very helpful.

Ekta Soni: So the volume growth, if we talk about quarter-on-quarter, it has been in the range of 5% to 10%, you can assume the volume growth what we have done so far. And all the products what we are manufacturing are all value-added products. There are 4 to 5 products in the process what

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we get. But mostly, we are considering our stearin and CBE portion as the more value-added product mix. So, you can consider 55% of that product mix includes stearin and CBE.

Nitin Gosar: Got it. And how was this in second quarter? Like this 55% value-added today, how was it in the previous quarter and the last year during third quarter?

Ekta Soni: See, stearin and CBE always has been in the range of 55% only because if you see the process, that's what we derive out of our production process, the CBE and stearin. So that only we have to take and consider going forward as our value-added product. So, within that parameter, of course, we can increase the portion of CBE further. But as in the market participants, both the products for us are a value-added product.

Nitin Gosar: Okay. Sorry, slightly, if you can enlighten then the source of this margin expansion is more to do with the change in the value-added piece? Any products which are helping us to shore up our margins, if you can help us understand that piece.

Ekta Soni: There are a lot of factors which has attributed to our margins. Of course, there is reduced cost of production also, which has helped in improving our gross margin. There is operational efficiency also. And there is also a volume growth what we have done of around 5% to 10% in the last to last quarter. And also, there are some realization benefits what we have received for our products. But there are multiple factors, who are contributing to our margins.

Nitin Gosar: Okay. And would it be fair to believe the multiple factors which we are highlighting, those have got exhausted or the runway of them to continue to contribute still exist? I mean they contribute to margin expansion, if I have to put it in, sorry, plain language.

Ekta Soni: Yes, right. So,

what guidance we had given earlier was, of course, 20% to 22% on our previous concalls and everything. So, now we are more confident of graduating more towards 23% to 25% of EBITDA margin on EBITDA level. But there are key modes where we differentiate ourselves, and there are multiple levers, which we have still not exhausted. So, we see our margins to be on a good trajectory from hereon.

Nitin Gosar: Got it. And one last bit. I just noticed there are subsidiaries which are opened in Brazil. Is it for business or sourcing purpose, if you can help us understand? And were we doing any kind of business with Brazil earlier?

Ekta Soni: So yes, that market has recently opened for us. We have had our customers from Brazil earlier. But as Brazil, Latin America is a very huge market for the product. So now we are there in that country, where we can connect very well to our esteemed clients, and it's totally for our business focus to create more and more clients from that Latin America region. It's a big market for us.

Nitin Gosar: Okay. And ideally, like Europe, US is always considered to be a big market or...

Ekta Soni: That is already there with us. So Latin America is a new market, what we have entered and the local presence there was necessary going forward. So, we have established one Company there that will cater to further demand from the local companies also from there.

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Nitin Gosar: Got it. Just one last on this. So, doing business or incremental business coming in from Brazil, does it enhance our profitability? Or does it pull it down?

Ekta Soni: It enhances our profitability.

Moderator: The next question is from the line of Akash Pawar from Sahasrar Capital.

Akash Pawar: Congratulations on the good set of numbers. So, I had a couple of questions. So, first one was, since we are through with the majority of the capex that we did, and we are entering into the new geographies like MENA and Latin America. So how is the competitive landscape there?

And how much time do you think will it take for us to onboard new clients?

Ekta Soni: So, see we already had our clients there. The incorporation of Company was mostly to cater to local clients of Latin America and Brazil there. We see a very good business in the country of Brazil and also the countries which are surrounded to Brazil and under Latin America content.

Akash Pawar: So have we developed the specific products with them? Or is it to start from now on?

Ekta Soni: Can you be a little louder the voice is a little low, can you speak again please?

Akash Pawar: Is it better now?

Ekta Soni: Yes.

Akash Pawar: So, have we developed specific products over there? Or is it just beginning right now?

Ekta Soni: No, there are the same product line which we are selling to this customer. There is stearin what we are selling to them. The CBE is there. And there are different fat requirements. See, it's not -- if we are talking CBE, then there are different specification, which is involved to stearin or say CBE. So, every customer will have a different product fat requirement as per their recipes of the chocolate, confectionery and food.

So -- but the food, the product is the same. So we are going to sell them CBE only, but that can happen with a different specification of the fat, tweaking of the fats and maybe a better pricing also there.

Akash Pawar: Okay. And the next question would be if you could just give a brief about the new market that we are venturing into, that is alternative CBE? So how is it different from CBE that we manufacture?

Ekta Soni: Right. So Manorama is very strong on R&D. We back ourselves in technology. So, adding more technological solution to our exotic products. So it is a forward integration project where we are fortifying our moat further. It will be an in-house technology because now t

hat we have

stabilized 2 mega projects of fractionation, adding a high intensive fats.

So, through this futuristic technology, which will help us convert our low value -added product like olein to more enhanced products like stearin. So, it's a proven technology in lab scale and also in pilot scale. And now we are planning to take up this to a commercial scale.

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Moderator: The next question is from the line of Rohan Mehta from Ficom Family Office.

Rohan Mehta: So, I wanted to know what is the current capacity utilization of your plant? And where do you estimate it to be around by, let's say, March 2025?

Ekta Soni: So, the current capacity utilization for our existing plant of 15,000 tons is 100% and that new capacity utilization for our new plant is around 50%. And...

Rohan Mehta: Could you repeat that?

Ekta Soni: Yes. So, the utilization from our existing plant of 15,000 tons is 100%. And the new plant is giving us 50% capacity utilization as of now. So we expect it should be around 60% to 65% by the end of financial year 2025, which is very well linked to our guidance, what we have given to our shareholders.

Rohan Mehta: Got it. And in terms of the current prices for cocoa butter equivalents, what is it on a per kg basis compared to last quarter?

Ekta Soni: So are you asking the realization part?

Rohan Mehta: Cocoa butter equivalent, yes.

Ekta Soni: Can you repeat your question, please?

Rohan Mehta: What is basically the current price for cocoa butter equivalent on a per kg basis compared to last quarter?

Ashish Saraf: Currently, we expect to be around \$6 to \$7 per kg.

Rohan Mehta: Right. And there is no change from last quarter?

Ashish Saraf: As such, there is no change. But then going forward, we expect to increase it further.

Ekta Soni: So, because the contracts what we signed is usually for 9 months and 12 months, so where the pricing and the volumes are fixed. So, we cannot expect price realization changes in every quarter. It happens contract-to-contract basis. If we get the change in the price, we may update you at a later stage.

Rohan Mehta: Sure. And just a follow-up on CBE. I believe the contribution for value-added products as of today, you mentioned is about 55%. So where do you see this going ahead?

Ekta Soni: I think within 55% will be the total product mix. Within that, we can say that a portion of CBE can be increased to maybe -- what we have guided earlier, it was around 30% that we will be doing the CBE portion for this current financial year. We are in line with what we are guided.

Rohan Mehta: So just to clarify, CBE, in terms of the contribution to overall revenue, saying by March, that will be 30%.

Ekta Soni: Yes, the wallet share of CBE.

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Rohan Mehta: Right. And currently, only CBE, how much is it?

Ekta Soni: So it is around 15% to 20% roughly.

Rohan Mehta: Right. Got it. And one final question from my side. So I was seeing in the news that European cocoa grindings, they are down by about 6% in Q4 of 2024. And apparently, this was the lowest since 2020. So I just wanted to understand that how do you see this potential fall in chocolate demand that can happen and subsequently, it can affect cocoa butter equivalent demand in the near term, considering cocoa grindings are near to the COVID lows.

Ashish Saraf: The world is addicted to cocoa. So, this grindings and this all depends on various other factors, very human on us, especially in Europe, Latin America, America and Russia. They're addicted to cocoa since childhood. So, we don't anticipate any fall, the people will stop eating cocoa chocolates or cocoa products. So, these grindings and all these have got nothing to do with the demand. They are related to more to the other factors. As far as CBE is

concerned, we are not

directly linked to cocoa butter prices due to the functional interchangeability.

In reality, CBE pricing dynamics differ, significantly remain sustainable irrespective of CBE price fluctuation -- cocoa butter price fluctuations. While the market perceives cocoa butter equivalent and cocoa butter as closely linked, the reality is that CBE enjoys relative pricing stability due to its diversified raw material base, contractual pricing models, consistent demand from chocolate manufacturers.

Our CBE business remains resilient, ensuring sustainable margins and revenue visibility, independent of cocoa butter price fluctuation because cocoa butter equivalent brings stability and it is a must for the big chocolate manufacturers.

Moderator: The next question is from the line of Alisha Mahawla from Envision Capital.

Alisha Mahawla: So, on Q-on-Q basis, the Q3 FY'25 versus Q2, our revenue is up 7%. But we also said in the opening commentary that we enjoyed slightly better realization and better mix because our fractionation capacity has come. On Q-on-Q basis, has volume grown or volume is flat?

Ekta Soni: Hiral, can you please convey the question to us because then we are not able to understand what exactly the question has been asked.

Alisha Mahawla: Am I audible now? Is it better now?

Ekta Soni: Yes. This is much better, yes.

Alisha Mahawla: Okay. I was asking that on Q-on-Q basis, Q3 FY '25 on Q2 FY '25, our revenue has grown at 7%.

In our opening commentary, we mentioned that we've enjoyed slightly better realization and our mix has also improved because of the commercialization of our fractionation capacity. My question is, has volume grown on Q-on-Q basis?

Ashok Jain: So Q-on-Q basis, we will be seeing that we'll be driven by 15% to 20% every quarter in terms of both quantity as well as the input.

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Alisha Mahawla: Sir, I'm asking in Q3, has volume grown versus Q2?

Ekta Soni: Yes, we mentioned that in the call earlier also that there is a good volume growth also of around 5% Q-on-Q.

Alisha Mahawla: And the new capacity, has it stabilized? And now will we start seeing better utilization because only 5% volume growth when last year, the capacity -- last quarter capacity came in the middle of the quarter. So the volume growth should have been slightly stronger. So are we basically challenges in commercializing or the new capacity?

Ekta Soni: Yes, we got your question. So there are no active challenges in stabilizing the plant. The plant are highly technical plants. So it takes its own time in getting the utilization done for the capacity.

So earlier also, we had mentioned that the year FY '25 utilization will be around 60% to 70% for our new plant. So, we are very well in line what we have guided because these projects are not something you have started and you can do the production.

So, these plants take its own time to stabilize. So it will take its own time. So that is how we have guided of around 60% utilization for our new plant. And of course, gradually, it will improve. So we are expecting our utilization to be around 60% for this financial year for the new plant and the existing one is already running on 100% utilization.

Alisha Mahawla: Understood. So for FY '26, can we assume that because we will be starting with 60% utilization, we should be able to hit up a peak utilization of 80%, 85% by FY '26?

Ekta Soni: Yes. We expect our utilization to be around 75% to 80% in FY '26.

Alisha Mahawla: Understood. And my last question is the new projects that we're evaluating, the forward and the backward integration, how should one understand the lead time for this? Will it take 2 to 3 years for each project to commercialize? Or will these be -- or will we be able to -- because we have yet to put it up to the Board?

Ekta Soni: Yes. The projects wha

t we have set up last year also, it usually takes 12 to 15 months, one project post what we have got the approval from our Board and we have started the execution. So that, of course, in the past, what we have executed, you can consider that as a timeline for each of the projects. But of course, we can further update you once we have got the approval from our Board. But generally, you can take that timeline only for consideration as of now.

Alisha Mahawla: And are we expecting to crystallize our plan in this financial year?

Ekta Soni: Sorry?

Alisha Mahawla: Are we expecting to crystallize our plan for this forward and backward integration projects in this financial year only as it get the approval from the Board in this financial year of FY '25?

Ekta Soni: See, we are in the Jan. 2025. So, by March, this financial year will end maybe we can have further deep dive in . Because yesterday only we have got the approval from our Board to further evaluate on the things. So let us do some exercise internally with our team and maybe then we can get back to you that by when we can announce the detailed financial plan to our shareholders.

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Moderator: The next question is from the line of Kaushik Mohan from Ashika Institutional Equities.

Kaushik Mohan: I just wanted to understand on the number front, I can see our finance cost has increased from INR8 crores to INR11 crores. Like can I get to clarity on what was the reason?

Ashok Jain: Sir, our current season of procurement of Shea Nut is going on. So therefore, we have taken the working capital from bank. So , this is our seasonable model of business, so we have to procure the raw materials in the quarter 3. Therefore, we have increased the working capital utilization and that's why the interest cost has increased.

Kaushik Mohan: What is our inventory currently, sir? What is our inventory book size on the balance sheet?

Ashok Jain: Inventory currently as on date total value is around INR580 crores, including raw material, what we have procured and as well as the finished goods.

Kaushik Mohan: So, it is INR500 crores you are talking about?

Ashok Jain: Yes, INR580 crores, total inventory book as INR580 crores.

Kaushik Mohan: INR518 crores.

Ashok Jain: INR580 crores.

Kaushik Mohan: Okay. Another one is on the employee cost . This time, I think it's more than the double. It's like if I see that's more , 8% contributing to the revenue. So , on the revenue part, if you look at employee cost has increased, what's this for? Have we expanded our team?

Ashok Jain: The employee cost remains same, Sir. The reason was that we have taken the provision of ESOP, employee stock option plan as per the Indian Accounting Standards. So , we have made the provision of around INR7.68 crores this quarter financial. So , this was the reason to increase the employee cost. Otherwise, the employee cost remains same as was in quarter 2.

Kaushik Mohan : Got it. Sir, and I just also wanted to understand that is this the cost will be repetitive in Q4?

Ashok Jain: No, it is depending on the provisions as per the accounting standard, but the cost will be remaining same. There are no repetitive provisions.

Kaushik Mohan: Okay. At the current juncture, what is our utilizations of our plant?

Ekta Soni: So sir, the utilization of our plant, new fractionation plant is around 50% for this quarter. 50% - 60% and existing one is doing 100% capacity utilization.

Kaushik Mohan: Okay. The old one is doing 100% capacity and the current one is doing 50% capacity. Got it. Got it. And I also wanted to understand how are we standing with the full year guidance that we gave in the past concall?

Ekta Soni: So, we are comfortably above the guidance of INR750 crores as per our current order book. So we are very confident of achieving and surpassing that this financial year.

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Kaushik Mohan: Okay. So now currently, I'd say that Saraf sir also mentioned that we have around \$6 to \$7 on the cocoa equivalent butter prices. So do we have any opportunity over here to increase the prices going further?

Ashish Saraf: So this -- what I said, \$6 to \$7 is what we expect going forward. And it is market, the prices will keep increasing based on the market situation worldwide is what we anticipate.

Kaushik Mohan: Okay. Sir, that means that currently, with these numbers, we are looking at an ROCE of 13.5 percentage. That means that when we close our entire full year books, we have the asset, which has been started putting up the P&L numbers and they are putting up the PAT numbers. That means that our ROCE number will double from here? Is my understanding right? Because of the balance sheet is staying the same way.

Ashok Jain : Definitely. We will get back to you.

Ashish Saraf : We expect whatever is the best possible term we are looking at it, it should happen.

Ekta Soni: So of course, that will be further improved definitely, but let the numbers come on the Q4. And then we can, of course, calculate and update you on our press release and presentation, what exactly. But definitely, there will be an improvement on ROCs and ROCEs going forward. Because if you see the last quarters, we have been continuously posting good ROCs and ROCE improvement.

Kaushik Mohan: Yes. That's making an interesting thing. And also, one statement in the yesterday's announcement, that I see that we are doing some capex. Can I understand this forward integration or backward integration, can you explain the entire value chain that what we are going to do?

Ashish Saraf: So, for backward integration, it is basically we are using some outsourced facilities for solvent extraction in India, which we are losing money because of that. So, we will save a big amount of money in that. So that is one of the plants we are doing. And with Burkina Faso, it is the same we are going to crush the shea nuts there and bring the butter instead of the seed.

So for cocoa butter alternatives is related project to cocoa butter equivalents, so it is going to give us huge benefits is what we anticipate and plan. Same is for Palm mid fraction, we anticipate that because we have to use Palm mid fraction for making CBE. Currently, we are using outsourced facilities, which we want to do in-house. So, these all will immensely boost our profitability and our opportunities for the Manorama.

Kaushik Mohan: Got it. Sir, at a conservative level, what can be our operating margins, like EBITDA margins on -- by doing this backward integration? What can be -- because currently, we are doing around 26%. What can we look at?

Ashish Saraf: That we will update you sir later going forward.

Moderator: The next question from the line of Dikshi Jain from InvestSavvy.

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Dikshi Jain: Great numbers. Congratulations. So, we have a few questions regarding the capacity utilization and the revenue also. So last quarter in quarter 2, how much was the capacity utilization for the new plant?

Ekta Soni: The last quarter, see we mentioned that the growth was around 5%. So, you can take that only as the utilization level for last quarter. So, it must be around 40%, 45%.

Dikshi Jain: Okay. Because I think around 30% was mentioned last quarter, Okay. So question which we have is if volumes have grown 5% and earlier quarters, you had said that most of the Cocoa butter contracts were expiring around September to December quarter, September -- around September onwards, until December. So given that the payments are linked to dollars, are we seeing the new.

And some of the contracts would have got done in September, especially for the new capacity a lot of the contracts

acts were not done earlier. So, they were done post March, which was at a higher rate. So, if 5% is the quarter-on-quarter volume growth, then for the new plant realizations, aren't they higher?

Ekta Soni: So see, you have to take -- firstly, we have guided earlier that the contracts are usually for 9 to 12 months and it was because if you see, we started our capacity only in July 2024, how can we take orders earlier in the March. So, we have to link. So, you cannot say that quarter-on-quarter, 5%, it has been there. So, it's an improvement of growth there because that's already what we had envisaged earlier when we started our plant and how that turnover because there are shipment schedules, which needs to be done.

We started our plant in July 2024. And accordingly, we gave you the guidance of INR750-plus crores initially. So as per our guidance only and we know how the utilization will be and how the shipment will be, we have guided you. And we are what we have seen or what we have

reported, we are very well in line with our guidance and capacity utilization, what we have guided you earlier. And the contracts are revising every 9 months and 12 months. So, we cannot expect that quarter-on-quarter things it will be applicable for every...

Dikshi Jain: Any numbers what we gathered was that given that so for the old plant, all the contracts were long term, which we understood. But for the new plant in your previous quarters, what we gathered was that since capacity rollout was not entirely fixed by March and the fact was that prices of cocoa butter and cocoa butter equivalent went up after March. So, our reading was that in the Q2 and Q3, the contracts for the new capacity would have been struck at a higher price. So the yield of the incremental capacity which is coming in, which you said is 50% odd for 45% possibly for the last whatever, 40% for the last quarter. And this quarter, I think you're expecting now 60% or 65% utilization in this quarter, wouldn't this be coming in at higher rates because you wouldn't have previous contracts for this capacity before March. Prices in cocoa butter went up when. I thought they went up around March, right, in Q1 -- Q4 of last year, Jan to March last year?

Ekta Soni: Yes, yes. That's what we are saying to you. See contracts are there, but there are agreements which are long term and there's a contract which are for 9 months and 12 months. So, once we

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have -- for example, I've signed a contract now with the Company, with my client. So that shipment period will be throughout 12 months. It's not that we have signed the contract and we have shipped higher CBE prices at one go...

Dikshi Jain: No, I agree, ma'am. But what I'm saying is those agreements were -- so prices went up, let's say, for term being by January to March '24, the prices went up for cocoa butter.

Ashish Saraf: What exactly do you want to know? Let us know what is the confusion if you can just let us know?

Dikshi Jain: Sorry. So, what we are trying to gather is that in terms of the agreements and contracts, given the significant jump in cocoa butter prices -- equivalent prices, when does that increment start coming in for you guys?

Ekta Soni: Sir, it will happen. It will come in a gradual phase. So, we cannot say that quarter 2 will have better margin realization benefits of quarter 3 or quarter 4. It will have a gradual effect on the revenues and profitability over the quarter. So, we understand what you want to understand from us, but this is the model of the business and we have to perceive things like this only.

Dikshi Jain: Do contracts get renewed every quarter for a year? Like is it an ongoing process? Or is there a period where you do it for the next 12 months altogether? Like do you do it, let's say, for a full financial year, you do them at the begin

ning of the financial year? Or it's like you do it on a running basis?

Ekta Soni: Yes, it's an ongoing process for every client. So, some clients will have a month different and the other maybe clients will have a different month of contract getting expired. So, once it gets expired with one particular customer, it gets renewed again. So that's how it works. It's a continuous ongoing process. It's not that we are only going to do in maybe March or Jan or something like that. It's not that. So, when it expires, we get the contract in you with our client...

Dikshi Jain: It is not new capacity, some benefit should have started coming in. The other thing is, if we compare to last year, the employee costs are up almost 4x. So, from INR4 crores to about INR16 crores. Now I understand some INR7.68 crores has been taken in as ESOP value, but the rest doubling of employee cost, is it that the new capacity is now more or less fully staffed and that part will be stable? Or are you still ramping up employees and that cost will continue to go up because the full employment for the capacity has not yet been done?

Ekta Soni: No. If you see the -- if you are comparing Y-o-Y, then 9 months ESOP provision with debt is around INR11.50 crores. So INR7.68 crores sir mentioned was for the quarter. So ESOP provision we did of around INR11.50 crores for 9 months.

Dikshi Jain: Okay.

Ekta Soni: Yes. So there is that way -- you see there is no much variation in our employee cost even if you comparing Y-o-Y or Q-o-Q. And sir, if it is required and if it is the part of the business, we are, of course, going to update you. And of course, we are going to hire new employees, but that

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variation, what you are talking about is mostly for ESOP provision of INR11.50 crores. It's not that we have recruited employees of that amount.

Dikshi Jain: So basically, the jump from, say, 4.5% odd to 8% this quarter or earlier is more on account of

ESOPs, etc., and not on account of other. And in terms of employees required to run the additional capacity, will that be having a significant impact on the cost?

Ashish Saraf: Those are technical portions, which are routine portions, which we already have people, maybe we can keep on adding, but it is nothing more impactful. The major employments which we anticipate are in other sectors of the business.

Dikshi Jain: Okay. Great. So another question that we have is, first, the Africa.

Moderator: Sorry to interrupt. Ma'am, could you please come back in the question queue for further questions. The next question is from the line of Arpit Shah from Stallion Asset.

Arpit Shah: Just wanted to understand what kind of revenues we are targeting for FY '26? FY '25, the guidance is about INR750 crores, probably going to exceed that, and we do have capacity available in the second and in the new plant. So what kind of revenue guidance we are targeting for FY '26?

Ekta Soni: Revenue guidance in INR, we can better give you on fourth quarter once we have -- had the numbers for March quarter as well. So on the utilization point of view, we can guide you that the capacity utilization will be somewhere around 75% to 80% in the financial year FY '26.

Arpit Shah: Got it. I just missed the inventory number. Was it INR508 crores to INR580 crores?

Ekta Soni: INR580 crores.

Arpit Shah: Okay. And for the expansion, are you looking out for a capital raise? Or is it going to be through internal accruals, debt? How is it going to look like?

Ekta Soni: We mentioned that we will submit a detailed financial plan. Of course, the Company is going to have healthy cash flows. So we might see at that time the need of the capital, whether any debt dilution is required or not. So that we can update you at a later stage only once we get the things approved from our Board. So of course, we are also go

ing to generate healthy cash flows internally.

Arpit Shah: Got it. And if I see the current margins, EBITDA margins, they are about 30% if I exclude the ESOP costs and anything EBITDA margins are about 30%. So given the backward integration or forward integration that you're going to add, do you think the margins can still expand from 30% to higher levels or 30% is something which is out of the ordinary?

Ekta Soni: See, we already told you that there are multiple levers which are still unexhausted. So we are trying our best to keep on improving on the things. But we've given our earlier guidance of 20% to 22%. Now of course, we are graduating more towards 23% to 25% on a whole financial year basis, not just quarter-on-quarter. And as things improve, we are going to update you further.

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Arpit Shah: Got it. But you think this margin is sustainable, right? There are no risks to these margins?

Ekta Soni: No. So, we expect our margins to be sustainable.

Arpit Shah: Got it. And no other kind of competition is also coming up in your space?

Ekta Soni: No, we don't -- as of now, we don't see any competition from our knowledge.

Moderator: The next question is from the line of Bharat Shah from ASK Investment Managers.

Bharat Shah: With the expanded capacity, given our superior capital, etc., what is the optimal output you think you can achieve can be about INR1,250 crores, INR1,300 crores turnover?

Ekta Soni: In INR terms, we can better give you the guidance on 100% utilization maybe in the coming quarters. We will give you the guidance for utilization of 80-odd percent for the financial year '26. So, we just want to wait for one more quarter to have the March numbers with us, and then we can further guide you on INR level basis also that on 100% utilization, what could be our turnover. But of course, there will be a significant jump on our revenue front here onwards for FY '26 and '27 also.

Bharat Shah: No, I'm saying, assuming this new capacity were to get deployed sooner rather than later, and given the current realization trends, what is the optimal likely possible turnover from the expanded capacity? Are we in a position to?

Ekta Soni: Sir, we are actually not in a position as of now to guide you 100% utilization turnover basis as of now. Maybe further sometime later also, we can connect and guide you how the overall performance numbers will look like on 100% capacity utilization. So as of now, we are not going to give that guidance. Thank you!

Bharat Shah: And current year, you said INR750 crores plus. Therefore, the next year clearly will reflect the strength of the current trend. And therefore, 4-digit kind of a turnover we should be seeing in the next year?

Ekta Soni: Yes. That -- so probably we can consider that, but we will update you better on fourth quarter only. But of course, that is what you have taken consider and it should be better only.

Moderator: The next question is from the line of Abhishek Sengupta from AB Capital.

Abhishek Sengupta: Just wanted to ask, will we get operating leverage going forward next year just like this year?

Ekta Soni: We are getting that leverage benefit as of now also. And quarter-on-quarter, we will see the

improvement and we are going to get that leverage benefit in the coming financial year also. So as we utilize our capacity much better way, that leverage factor will always come in the picture. Abhishek Sengupta: Okay. And can you guide us to broadly what will be the ROE trajectory going forward? Will it creep up gradually going forward next year?

Manorama Industries Limited
January 22 , 202 5

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Ekta Soni: That will -- of course, it will be further improved only because what we expect our performance are going to be on improving mode only from here on. So of course, we expect better ROE and ROCE

going forward.

Abhishek Sengupta: Can you give me a number as to what will your target ROE going forward?

Ekta Soni: As of now, we are not going to give any guidance on ROCEs or ROEs, maybe once we have finalized our numbers for March, and then we will update you through our presentations and press releases, the ROCEs and ROEs what we have reported.

Abhishek Sengupta: At a broad level, do you anticipate significant competition coming to your business, like in the near future? Do you see any green shoots like too many competitors coming in your space?

Ekta Soni: Of course, not as per our knowledge, we don't see -- we are not seeing or anticipating any such events for us. So we don't see that landscape anticipating for us.

Moderator: Ladies and gentlemen, due to time constraint, this was the last question for today's conference call. I now hand the conference over to the management for their closing comments.

Ashish Saraf: Dear friends and my respected shareholders, I would like to extend my gratitude to all the participants for dedicating their time to join us for the Manorama Industries Q3 and 9 M FY'25 earnings conference call. The Company continues to solidify its reputation as a dependable and most trusted and leading provider dedicated to fulfilling the increasing need for sustainable cocoa butter equivalent, specialty fats, butters and other value-added products for the confectionery and food industries of India and the world.

With our deep focus on research and development, we maintain our status as the most preferred supplier of specialty, super specialty niche fats and butters to both our global and domestic suppliers and all the other parts of the world. I request you if you have any additional questions, kindly feel free to reach out to us via e-mail or contact Ernst & Young, our Investor Relations advisors. I sincerely thank you all for participating today and giving you valuable time, and I wish you to have a wonderful day. Thank you.

Moderator: On behalf of Manorama Industries Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2025

May 02, 2025

To,

The Manager

Listing Department

BSE Limited ("BSE") 3 Manorama Industries Limited

KHASRA No. 2449-2618

Nr. IIDC, Birkoni

Mahasamund (C.G.)

Pin: 493445

To

The Manager,

Listing Department

National Stock Exchange of India Limited

Phiroze Jeejeebhoy Towers, ("NSE")

Dalal Street, Fort,

Mumbai 400 001

Scrip Code: 541974

ISIN: INEOOVMO01036 Exchange Plaza, Plot No. C/1, G Block, Bandra-

Kurla Complex, Bandra (East), Mumbai 400 051

Symbol: MANORAMA

ISIN: INEOOVMO01036

Subject: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of Q4 FY25 Results Earnings Conference Call held on Monday, April 28, 2025.

Dear Sir/Madam,

In reference to our intimation dated April 21, 2025, and pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we would like to inform you that the Company had organised an Earnings Conference Call with respect to Q4 FY 25 Results on April 28, 2025 at 11:00 a.m. (IST). A copy of transcript of Q4 FY 25 earnings conference call is enclosed herewith and the same has also been uploaded on the Company's website at https://manoramagroup.co.in/investors-company-announcements#analyst_meet. This is for your information and records.

Thanking You,

For Manorama Industries Limited

Deepak Sharma

Company Secretary and Compliance Officer

Membership No: A48707

Corporate Office:

F-6, Anupam Nagar,

Raipur-492007, Chhattisgarh, INDIA

E-mail: info@manoramagroup.co.in cl.: +91-771-2283071, 2282579, 2282457

x: +91-771-4056958 CIN: L15142MH2005PLC243687

GSTIN: 22AAECM3726CIZI Registered Office:

Office No. 701, 7th Floor, Bonanza Building, Certifications: Sahar Pl i Complex, JB Nagar Metro Stati FSSC 22000, ISO 9001, ISO 14001, ISO 4500, RSPO, HALAL, s u;nz■f,-eéum Raog;jr, A:d:.n"x ;;;:

KOSHER, FAIRTRADE, ORGANIC, FSSAIL, Mumbai, Maharashtra-400059 EcoVadis & Sedex registered and certified. Tel. 022 49743611, 022 67088148 A Government of India Recognized Star Export House WWW.manoramagroup.co.in

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"Manorama Industries Limited

Q4 & FY '25 Earnings Conference Call"

April 28, 2025

MANAGEMENT : MR. ASHISH SARAF – CHAIRMAN AND MANAGING

DIRECTOR – MANORAMA INDUSTRIES LIMITED

M R. ASHOK JAIN – CHIEF FINANCIAL OFFICER –

MANORAMA INDUSTRIES LIMITED

M RS. EKTA SONI – AVP, INVESTOR RELATIONS –

MANORAMA INDUSTRIES LIMITED

M R. DEEPAK SHARMA – COMPANY SECRETARY –

MODERATOR : MR. HIRAL KENIYA – E&Y LLP

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Moderator: Ladies and gentlemen, good day, and welcome to the Manorama Industries Limited Q4 and FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the star then zero on your touch-tone phone.

I now hand the conference over to Mr. Hiral Keniya from EY LLP. Thank you, and over to you, sir.

Hiral Keniya: Thank you, Steve. Good morning, everyone. On behalf of Manorama Industries Limited, I welcome you all to the company's Q4 and FY '25 conference call. To discuss the performance of the company and to answer your questions, we have with us the management team comprising of Mr. Ashish Saraf, Chairman and Managing Director; Mr. Ashok Jain, CFO; Mrs. Ekta Soni, AVP, Investor Relations; and Mr. Deepak Sharma, Company Secretary.

Before we proceed with this call, I would like to draw your attention to the fact that today's discussion may contain forward-looking statements that are subject to various risks, uncertainties and other factors, which will be beyond management's control. We kindly request you to bear in mind that there might be uncertainties when interpreting such statements. Please note that this conference is being recorded.

We would now start the session with opening remarks from the management team. Afterwards, we will open the floor for an interactive Q&A session. I would now hand over the conference over to Mr. Ashish Saraf for his opening remarks. Thank you, and over to you, sir.

Ashish Saraf: Thanks, Hiral ji. I heartily welcome everyone to Manorama Industries Q4 and financial year '25 earnings concall. We continue to display robust growth momentum in the operational performance along with profitability during Q4 and financial year '25. We have achieved the financial guidance for financial year '25 by recording revenues of INR 771 crores, thereby registering a strong growth of 69% year-on-year.

This was led by strong market demand for our diverse range of speciality butters and fats and with economies of scale, coupled with higher volumes led by commercialization of our new fractionation facility. As global awareness of environmental issues and responsible consumption rises, industries are pursuing sustainable alternatives to conventional practices. The specialty butter sector is vital for luxury chocolates, confectionery and personal care and cosmetic industries worldwide.

With an increasing societal focus on eco-friendly and ethically sourced products, the demand for sustainable solutions in this niche market is growing rapidly and significantly worldwide. We leverage our capabilities to meet the rising global demand by providing customized solutions for our esteemed partners in the food and personal care industry worldwide. Our integrated production capacities backed by various domestic and international certifications ensures the consistent high quality that meets the strictest quality and environmental industry standards.

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Our research and development team has made notable progress in extraction technology and broadened our product range. We have developed new products during financial year '25, which includes all-round filling fats, bake stable filling fats, water cream filling fats, frozen dessert applications and premium filling fats for new customers, along with tapping new geographies. Additionally, pursuing industry leadership, we have established strategic global subsidiaries in West Africa, the UAE and Brazil for strengthening our global market presence. We continue to strengthen our leadership status in India with the commercialization of the 25,000 tons new fractionation capacity in the begi

nning of Q2 financial year '25, taking the company's overall fractionation capacity to 40,000 tons per annum.

Highlighting our fractionation capacity utilization during the year, the existing 15,000 tons fractionation facility capacity utilization stood approximately at 100%, whereas the 25,000 tons

new fractionation units capacity utilization for the full year stood at around approximately 40% to 50%. Combined capacity utilization stood at approximately 62.5% for full year '25. Going ahead, the combined capacity utilization for financial year '26 is projected at nearly approximately 75% to 85%. We anticipate achieving greater operational efficiencies and cost optimization through improved utilization of our new fractionation capacity in financial year '26. We are eyeing to achieve INR 1,050 crores top line in financial year '26. Our capex plan, which includes several forward and backward integration projects is under advanced drawing and planning stage.

We will share a comprehensive report on these projects detailed financial plan with our esteemed shareholders through exchange filings once our management Board approves going forward our capital expenditure plan. We prioritize ethical practices and environmental responsibility aligning with ESG goals while maintaining strict standards of traceability and sustainability. Our continuous investment in research and development will foster innovation and address our customers' changing needs, positioning us for long-term success and thus delivering value to our valued stakeholders. I would now like to invite Mr. Ashok Jain, our Manorama's CFO, for his comments on Q4 and financial year '25 performance. Thank you.

Ashok Jain: Thank you, sir. Good morning, and warm welcome to everyone to Manorama Industries quarter 4 and financial year '24-'25 earnings call. Highlighting the company's financial performance for the financial year '24-'25, Manorama Industries revenue during financial year surged by 69% year-on-year to INR 771 crores owing to higher demand of company product portfolio in both domestic and export markets. The company's export business contributed 73% of total revenue and balance revenue share from the domestic market.

The company's EBITDA grew by 1.6 times year-on-year at INR 191 crores in the financial year 2024-'25. Additionally, despite of INR 15.4 crores attributed to provision of ESOP. Manorama Industries EBITDA margin expanded by 870 basis points year-on-year at 24.8% in the financial year '2024-'25, which is attributed to efficient cost management and operating leverage. Profit after tax during the financial year 2024-'25 surged by almost 2 times at INR 112 crores.

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Profit after tax margin expanded by 576 basis points year-on-year and 14.5% for the financial year '24-'25. The Company's Board has announced a final dividend of 0.6 paisa per share that is a 30% of face value of INR 2 per share for its shareholders. Highlighting CAGR of our financial year from 2021 to 2025. Manorama Industries revenue, EBITDA and PAT has registered a CAGR of 40%, 53% and 66%, respectively. CARE Rating has upgraded the company's bank facility to A from minus A.

The company's balance sheet reflects robust strength with manageable net debt-to-equity ratio of 0.83:1. The strong ratio that is ROE is 24.3% and ROCE is 33% for the financial year '24-'25. Additionally, we have trimmed out our working capital days from 180 days to 150 days for the financial year '24-'25 with efficient working capital management.

Our peak working capital requirement is behind and incrementally it will keep improving from here. We are making all efforts to our inventory management, which will help in positive outcomes going forward. Going forward, our endeavour is to reduce the net debt from here on. Highlighting the net debt position in detail.

The net debt stands Rs. 380 crores on 31st March '25, mainly

inly comprised of working capital

loans. Our total inventory as on 31st March '25 stands Rs. 549 crores, which includes raw materials, finished goods and other by-products. Thank you for listening to us patiently. We now open for the floor for question-and-answer session.

Moderator: Thank you very much. We will now begin the question and answer session. Anyone who wishes to ask question may press star and one from your touch tone telephone. If you wish to withdraw yourself from the question queue, you may press star and two. Participants are requested to use handset while asking the question. Ladies and Gentlemen, we will wait for a moment while the question queue assembles.

The first question is from the line of Nitin Gosar from Bank of India Mutual Funds.

Nitin Gosar: Hi team, Congratulations for a good set of numbers. A couple of questions. Just wanted to understand, if I were to take second half margin as a guiding principle, what our business or what our plant can generate in terms of margins, would it be fair to extrapolate it going forward? Because on the new plant, we are still running at 40% - 50% utilization.

So, going forward, if we keep improving on the utilization levels, then the second half FY '25 margins that we saw are more or less sustainable and can improve from there on as well? Would that be a fair understanding?

Ekta Soni: Nitin ji, thanks for the question. So related to your margin question, so this performance is a

result of our continued focus on operational efficiencies, premiumization initiatives and disciplined execution. So, looking ahead, while we remain confident in the structural strength of our business model and our ability to sustain healthy margins, we prefer to stay focused on operational excellence and value creation for our shareholders.

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And our efforts will continue to be directed towards driving consistent profitable growth, which we believe will naturally reflect in strong margin performance over time going forward.

Nitin Gosar: Got it. So, there is nothing like one-off in our margins. And as you keep improving on the efficiencies, it will directionally either maintain or will improve. That should be my key takeaway, right?

Ekta Soni: Yes.

Nitin Gosar: Okay.

Ashish Saraf: So, our efforts will continue to be directed towards consistent growth, sir. And we believe that we will work on this to try our best.

Nitin Gosar: Perfect, Sir. And one last question is, I noticed that there were a couple of commentary with regard to product-related work that we are doing. But if I were to extrapolate it and were to only see on exports part, so exports business over the last 4 years has gone up by almost 4x. And if I were to incrementally think from here on, are we going to excel from here on by doing business with the same customer by improving the wallet share? Or we are also trying to grab upon new customer?

As I can see, we have opened new subsidiaries in UAE, Latin America, which can trigger that kind of opportunities. What should we keep in mind? How is Manorama shaping up over the next 2-3 years with regard to exports opportunities?

Ashish Saraf: We have a very simple philosophy in this that we have to maintain our all existing customers and continuously hunt for new customers, which we are working around the clock all over the world, including our -- including India also.

Nitin Gosar: Right. But this new customer addition will not compromise our margin or ROC profile, right?

Ashish Saraf: Margin and ROC profile are business-oriented plans. The customer new acquisition is different ball game. And whether it is a new or old customer, the prices are almost approximately same.

Nitin Gosar: Right. Yes. So, the question was more around we are not trying to get into new customer at a lower margin. It is not going to compromise our existing structure.

Ashish Saraf: See, these are b

usiness issues, we cannot say exactly. But generally, as per Manorama's policy, we don't compromise like that. This is all after all different specifications, terms and various ingredients in play when we supply to any customer.

Nitin Gosar: Perfect. Sir, one last bookkeeping question. Ashok ji, what should be the ESOP provision for the quarter? Or maybe if you can also talk for the full year?

Ashok Jain: For full year, the total provision was INR 15.31 crores. And for the quarter 4, we did the provision of INR 3.81 crores.

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Nitin Gosar: Got it! Thank you team, All the best on the FY'26 numbers as well.

Moderator: The next question is from the line of Rohan Mehta from Ficom Family Office.

Rohan Mehta: Hello Sir! Thank you so much for taking my question and congratulations on a great set of numbers. So firstly, I wanted to ask on your working capital. Your inventory stood at about INR 550 crores as of March 2025. So what inventory levels are you targeting by September 2025 and also by March 2026? And while we are on working capital, also on the trade receivables. So, if you see your trade receivables have stood at INR 102 crores in March 2025, which is more than double on a Y-o-Y basis. So, are we seeing any change in customer contracts for payment terms? Could you just clarify on that?

Ashok Jain: So, you know our peak working capital requirement is behind. And incrementally, we keep improving from here making all efforts to our inventory management, which will help to positive outcomes going forward. So currently, it is around 150 days, but we are looking forward to reduce around 120 days to 140 days because we procure the raw material at the time of season. In terms of receivables, so exports, we receive around CAD basis and sometime advances. So, we are looking for around 30 days receivables for financial year '25-'26.

Rohan Mehta: Got it. And on your CBE prices, so I believe somewhere around March 2025, they were around

about 5,500 tons per dollar. So have the prices moved since then? And are you seeing any contract re-pricing with clients?

Ekta Soni: So, our average CBE price is around US \$5,000 to \$6,000 because then it depends a lot of different things on specifications and the kind of terms and contracts we have with our customers. So more or less, our CBE prices contracts are in the range of \$5,000 to \$6,000 approx. USD per metric ton.

Rohan Mehta: Right. And on the receivables, I wanted to ask a follow-up question. So, could you spend some time just explaining why has it increased? It's right now about 13% of sales and inventory seems to be a bit of a concern because it's about 70% of your revenue. So that seems quite large.

Ekta Soni: So see, you have to see our inventory in 2 parts. So, our inventory consists of finished goods inventory also like as we have reported our numbers, INR 130 crores, INR 150 crores of inventories of finished goods and raw material inventories of around INR 400 crores. So, on a financial year '25 basis, you see it looks higher.

But if you look for FY '26 revenue target, then one will understand why it's higher because see, our raw materials are seasonal in nature, so we need to have to stock it. Because since these raw materials are available only during specific harvesting season, and we have to procure them in bulk for our whole year requirements.

So that is why if you see our projections for the coming year turnover guidance, it won't look that high. It will look high on FY '25 basis.

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Rohan Mehta: Okay. So, I believe also on your last quarter capacity utilization versus this quarter, how much change has there been?

Ekta Soni: So, on a utilization front, we can see last Q3 because existing capacity of 15,000 tons is already running on 100% utilization. And our SF2 solvent fractionation 2 capacity utilization

on stood at

around 60% for quarter 4 approximately. So, in a tonnage-wise, if you see, it's a volume of 3,750 metric tons from SF2 for quarter 4.

Rohan Mehta: Okay. And on the receivables, you haven't clarified. So, could you just provide as to like what sort of normalized days we are looking at?

Ekta Soni: Because at the balance sheet date, if you see our receivables look high, it is generally 50 days. But on an average, if you see it is 30 days for the company as a whole. So, we are maintaining that and we are under well within our good terms with our customers. But on an average, if we are to consider, then you should consider 30 days instead of looking at the March FY '25 numbers, which is coming 50 days.

Rohan Mehta: Right, right. And my final question is on the employee expenses. So, if you see the employee expenses, they have gone down, but we have also observed new names in the presentation. I believe this is mainly to do with focusing on the subsidiaries as well. So, could you clarify employee expenses going forward? Are we going to see a massive jump over there?

Ashish Saraf: Sir, there is not going to be a massive jump, but there will definitely be a jump if we want to increase our market share and achieve higher sales and achieve -- so we will need good people to be in the company. So, we can expect around 5% to 10% or maybe more jump.

Moderator: The next question is from the line of Dikshi Jain from InvestSavvy Managers.

Dikshi Jain: Hello! Thank you for taking the question and Congratulations on amazing numbers. So, my first question was regarding the -- a few weeks ago, there was this article from Bloomberg going around regarding the cocoa -- oversupply of cocoa and cocoa prices have also corrected significantly from. So how do we see this affecting our business and CBE prices?

Ekta Soni: So see, time and again, we have clarified that our CBE prices, of course, are not directly linked or related to cocoa butter, but of course, somehow it indirectly related. But if you see our customers or the consumers are structurally have changed their demand, their usage to other conventional items like CBE and other goods. So, we have our own demand for CBE products worldwide, and it is growing very well.

So for us also if Cocoa prices are volatile, if it is going beyond the point or it is correcting for something, it is not hampering our cocoa butter equivalent prices in that way, because structurally, the customers are changing this product not only because of the price volatility.

Dikshi Jain: Okay. So, we don't see any effect of cocoa prices coming down on CBE prices right?

Ekta Soni: So, we are not envisaging that for our cocoa butter equivalent prices. See, cocoa butter is a commodity and that is volatile and we can tag that. And CBE is a very niche product, which we

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are customizing and making for our customers for their tailor-made selection. So, it's not that directly related.

Dikshi Jain: Okay. And for CBE prices for all the new contracts that have expired and renewed, how much price hike have you gotten for the new contracts, if there is any? And how are the prices moving for CBE?

Ekta Soni: So, as we have mentioned this earlier in the call also, so average CBE prices is between US \$5,000 to \$6,000. It depends a lot of factors on the specifications and terms approximately.

Dikshi Jain: But have they improved in the last few months -- last 2-3 quarters? How is the price moving?

Ekta Soni: So, it's like its contract is for mostly 1 year. So, once we have booked the contract, for example, last year, so the contract pricing are same for full year. So -- yes. The contracts are generally for 1 year and the prices are fixed. So, it is not like that in every quarter, the prices are changing for CBE for us.

Dikshi Jain: No. So, what I'm asking was if any contract has renewed right now, so the new price compared to the old price, how has it moved?

Ekta Soni: Yes. So, you can take this price only for CBE, \$5,000 to \$6,000 for the new quarter as well.

Dikshi Jain: In last 1 year, the prices haven't moved much.

Ekta Soni: Yes, approximately, yes.

Dikshi Jain: Okay. And right now, CBE as a percentage of sales is approximately how much?

Ekta Soni: So CBE as a percentage to sell, it is around 30%.

Dikshi Jain: Okay. Are we expecting it to go up further?

Ekta Soni: Yes, we are expecting to go beyond this also in the financial year.

Dikshi Jain: Okay. How much are you -- are we expecting it to reach?

Ekta Soni: We can expect -- the time we can update you maybe if the quarter comes by, so we can expect that.

Dikshi Jain: Okay. So one last question that I have is...

Moderator: Could you please come back in the queue for further questions?

Dikshi Jain: Yes. Sure, thank you.

Moderator: The next question is from the line of Jainam Doshi from Kriis Portfolio.

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Jainam Doshi: Yes. Congratulations on an excellent set of numbers. I just have 2 questions. One is like we have guided for a revenue target of around INR 1,050 plus crores in FY '26. So, if you could bifurcate the same as to how much would be volume-led and how much would be value-led that would help us here?

Ekta Soni: If you see the guidance which we have given on the top line shows the growth of around 35%, 40%, 36% something. So largely 25% to 30% should come from the volume growth and the rest 5% to 10% should come from the price realization growth approximately.

Jainam Doshi: Okay. Got it. And second is like we have incorporated subsidiaries in the MENA region as well as Brazil. So how big is the market opportunity there? And for which products do we see a traction in such markets? And also like, how is the competitive landscape shaping up in the American and the European markets? If you could throw some light, that would be helpful.

Ashish Saraf: No, Brazil, the Latin American market is quite huge in terms of consumption of CBE and our stearin is the value-added products. And the market approximately is projected to be around 25,000 to 30,000 tons. And as such, it is quite fragmented market with a huge landscape. So, we see a big opportunity there. And it will take some time to build up our base there.

Jainam Doshi: Okay. And what -- and the competitive landscape, which is like shaping up in American and European markets, if you could guide us upon that?

Ekta Soni: So see, in world also, there are very few players who are into this speciality niche business. So, if you see competitive landscape, there is so much of demand supply gap for the products. So, we don't see that particular thing in the regions like that. So, there is a huge demand supply gap for the products.

Jainam Doshi: Okay, got it! Thanks a lot.

Moderator: Thank you! The next question is from the line of Akhil Parekh from B&K Securities.

Akhil Parekh: Hello, thanks for the opportunity and congratulations on a good set of numbers. In your previous comments, you mentioned that the impact of cocoa prices volatility is not impacting CBE prices because of specific applications for CBE. If you can highlight what are the specific applications for CBE?

Ekta Soni: See, specific application as the CBEs are used in food care and personal care industries because we generally link, because see in reality, the pricing dynamics differ significantly and remains

sustainable meaning irrespective of CBE prices fluctuations. Because if you see the diversified raw material base for us is different for that of cocoa butter than cocoa butter equivalent.
Akhil Parekh: Okay. Fair enough. And in past, you have mentioned that FSSAI allows, I think, 5% of CBE usage. You guys also had highlighted that we are kind of far off from that number in terms of usage. Would we have that number where as an industry we have reached there

?

Ashish Saraf: Currently, the demand for 5% is all -- that is the rule if you mention chocolate on the wrapper. If they don't mention chocolate on the wrapper, then you can put 10%, 20%, 30%. So basically,
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this depends on chocolate to chocolate, when it is called chocolate, then it is 5%. And we currently cannot supply the whole demand because the demand is growing day by day.

Akhil Parekh: Sir, my question was what we had highlighted was we are still not using 5% of CBE in the required products in India as mandated by FSSAI. And hence, the opportunity of demand is still going to be on a higher side in coming years. So, I was asking like where as a percentage where that -- where have we reached basically?

Ashish Saraf: That is what I am explaining 5% is only if you mention chocolate on the wrapper, the demand is much more than that. There are many chocolates they don't mention chocolate on the wrapper, but it is a chocolate. So, the demand is much more than 5%.

Akhil Parekh: Okay. Fair enough. Got it. And lastly, bookkeeping question capex number, if you can highlight the guidance in terms of for next 2 years and I don't know if you guys also kind of mentioned the volume number for fourth quarter FY '25, that's the last two questions?

Ekta Soni: So, for the capex, like we, of course, we will share a comprehensive report on the project which we have announced last quarter. So, because we are already on an advanced drawing and planning stage. And once our Board approves our capital expenditure plan, we will share it with our shareholders on the capex front. So, on the capacity utilization, we mentioned that 60% of the utilization was from our new plant in Q4.

Akhil Parekh: Okay. And Sir, on capex, for additional capex, the internal accruals should be good enough or we may have to raise the debt or dilute the equity?

Ekta Soni: So, we have healthy internal accruals with us, but we can confirm this year only when our Board approves on the financial capital expenditure plan to you. Of course, the company is having healthy internal accruals with them.

Akhil Parekh: Okay. Thanks a lot and best wishes for coming quarters.

Moderator: The next question is from the line of Anmol Soni from Derby Asset. Please go ahead.

Anmol Soni: Yes. First of all, good to see the solid growth in numbers. I have heard the guidance for FY'26 about INR 1,050 crores. And also in the last concall, I've seen the guidance which is given is 23% to 25% for the EBITDA margin, which was almost achieved in this financial year. So, my question is, I wanted to know about the margin guidance for FY '26 and beyond and how the operating leverage will kick off once we are expanding the capacity utilization in our new plants?

Ekta Soni: So, sir, as we have also explained this earlier, so whatever performance we have showing is a continuous focus on operational efficiency, also premiumization initiatives and disciplined execution. Of course, we are looking ahead and while we remain confident in the structural strength of our business model and also our ability to sustain healthy margins, we prefer to stay focused on operational excellence and value creation for the shareholders.

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So, our efforts will more on to continue to be directed towards consistent profitable growth, which we believe will naturally reflect in the strong margin performance over time going forward.

Anmol Soni: So, the guidance will remain same of 23% to 25% of margins or are we expecting it to improve?

Ashish Saraf: Sir, we believe it will naturally reflect in the performances over time. And we will keep you updated on quarter-on-quarter basis.

Anmol Soni: Okay, sir. Thank you.

Moderator: The next question is from the line of Pritesh Chheda from Lucky Investments. Please go ahead.

Pritesh Chheda: Yes, ma'am, a few cl

arifications. So how much of the revenues or let's say, how much of the volume at the CBE level, because there is a value addition from Stearin, which has to be done

up to CBE. So, in our case, how much of the volume would be sold as a CBE?

Ekta Soni: So you want to know the volume sales of CBE for full year? That's the question?

Pritesh Chheda: Yes.

Ekta Soni: Okay. So, the CBE sales for full year FY '25 was 4,500 metric tons and Stearin sales were 7,000 metric tons.

Pritesh Chheda: 4,500 metric tons and 7,000 metric tons. Okay. And your full year volume since you, let's say, the quarter 4 volume you mentioned that 60% is utilization in fractionation 2 capacity and 100% utilization in fractionation 1. So when you do the math, volume comes to about 2,400 tons for the quarter 4. Is this correct?

Ekta Soni: Quarter 4 volume will come 7,500 metric tons. So if you are asking only for quarter, not for full year?

Pritesh Chheda: Quarter 4 is 7,000 tons?

Ekta Soni: 7,500 capacity utilization.

Pritesh Chheda: Here I didn't understand. 7,500 metric tons -- so your capacity is right, 6,000 tons fractionation 1 and 6,500 tons fractionation 2, right?

Ekta Soni: Yes. So our full year capacity of fractionation 1 is 15,000 tons and fractionation 2 is 25,000 tons for full year. It is 40,000 tons for full year.

Pritesh Chheda: Okay. Understood. And the other comment was on the finished goods contracts being fixed. So since you have bought the raw material for the year at the end of quarter 4, that's how the seasonality is there in RM. And you would have a finished good pricing, which is fixed, there should not be any volatility in your margin number incrementally or if there is a risk to margins, what it is? I'll put the other way around?

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Ekta Soni: Can you repeat your question once? Yes.

Pritesh Chheda: Since you have bought the inventory for the full year now at the end of quarter 4 and your finished goods are on contractual pricing, what is the risk to the margins?

Ashish Saraf: Sir, this is business and business always has risk. But as such, we don't see immediate any risk perceived in the current, but business is business, sir, we cannot guarantee anything.

Pritesh Chheda: No, I'm asking if there is any risk to a margin number where it can emanate from?

Ashish Saraf: That you have to tell us, sir. We don't as such see any risk. These are natural products we are procuring from the forest-based in Africa and India. And we are making a speciality products, which are being used by the top companies in the world. So, business always has risk, but as such immediate risk, we don't see anything substantial.

Pritesh Chheda: Okay. And my last question is between the FY '24 and FY '25 margin, is the scale of operations a key change in the margin number or is there any other driver for margin? Pritesh Chheda:

Yes, ma'am, I asked a question. I said between the FY '24 and FY '25 margin, where FY '25 is way higher than '24. Is the scale of operations a key reason for the margin change or there are any other drivers as well, sir?

Ekta Soni: So, of course, there are scale of operations, which is giving -- attributing to the margins. But along with that, there is the volume-led growth also we have contributed. Also, the product mix has changed for the company and also there are the price growth. So there is a combined aspect, if you see, which has attributed to our margin. So it includes operational efficiency, economies of scale, leverage benefits, product mix and so on.

Pritesh Chheda: What will be a product mix change between the 2 years and what is the pricing change in the 2 years?

Ekta Soni: The product if you see, we have to -- the CBE contribution to sales earlier was around 10%. So this year, it is 30%. So that is how that the value-added product has been contributed. And our pricing range has been around between \$5,000 to \$6,000

approximately for CBE prices.

Pritesh Chheda: What was the corresponding sales pricing number last year?

Ekta Soni: Last to last year, it was around -- so we have to see what was last to last year pricing contract. Maybe we can take this question offline and get back to you for the last to last year contracts.

Pritesh Chheda: Thank you and all the best.

Moderator: Thank you. The next question is from the line of Kushal Goenka from Mangal Keshav Financial Institution. Please go ahead.

Kushal Goenka: Hi, thank you and congratulations on a good set of numbers. My question was last quarter call, we had this -- the management has mentioned that we'll come with a full plan in the Q4, that is this Q4. But since there was no update in the presentation also and in the starting

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comments, so I just wanted to know is there any delays with the backward and forward integration and the final project which is going to come in?

Ekta Soni: See, we already have mentioned that we are already on an advanced drawing and planning stage for our products. And of course, we are -- the team has been given the mandate to work on the comprehensive report and submit to the Board, and that's how the process works. So, it will take a quarter more or more to get the things approved from our Board on our capital expenditure plan.

And then only it will be feasible and will be good to share with you the outcomes of the Board on capex going forward. So, there are multiple projects we have announced in the last quarter. So we'll share the report in the coming -- going forward.

Kushal Goenka: So, can we expect in this quarter or by next quarter only, we will get the clarity on the same?

Ekta Soni: So as soon as we finalize it, so we will. We are very hopeful to get all these things quickly, and we are very hopeful to start the construction also this year.

Kushal Goenka: Okay. My next question would be, actually, I'm a little new to this company. I was just checking the financials of 2019-'20. And that time, our margins was around 28%, 23%, but then it again dropped to 17%, 14%. And again, we have reached around 25% margin. So, my question was, can we sustain these kind of margins for like in the next 3-4 years? Or is there some volatility chances?

Ekta Soni: Yes, sir. If you see that performance of 2019, because whatever performance we have given in H2 related to our margin, it is a result of our continued focus on operational efficiencies, premiumization initiatives and disciplined execution. So looking ahead, we remain confident in the structural strength of our business model and our ability to sustain healthy margins. So again, we are saying that we believe it will naturally reflect in the margin performances over time. Because in 2019 also when that has happened, we have undergone a new capex of 15,000 tons -- additional 25,000 tons capex, which has compressed the true EBITDA level margins. And now when we have started our new plant, the 25,000 tons plants and the revenue is contributing to the growth and also to the bottom line. So that is how there is a difference of margin in 2019 and this year.

Kushal Goenka: Okay. And like during '21, '22, '23, like if you can let me know what's happened and...

Ekta Soni: So we were setting up a new capex. So this capex, we nearly tripled our capacity from 15,000 tons. So that financial, if you are looking at that, and it was a COVID period also. And accordingly, that margin was there.

Kushal Goenka: Okay. So -- but, so like now again, we are doing immense expansion forward and backward integration. So won't that again hurt the margins going ahead?

Ekta Soni: So, it's too early to say that because the projects we have taken is prioritize those projects we are giving a period of less than 3 years. So, it's too early to say how it is going to impact our margins, Manorama Industries Limited

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but our efforts will continue to be directed towards driving consistent profitable growth for our stakeholders, and we believe it should naturally come in our performances over time.

Kushal Goenka: Thank you so much. Best of luck.

Moderator: Thank you. The next question is from the line of Maitri Shah from Sapphire Capital. Please go ahead.

Maitri Shah: Yes. I just had two questions. Firstly, you said that you were going to be reducing the debt going forward. Any guidance on what the debt -- net debt will be in FY '26?

Ashok Jain: So, we are doing our best effort to reduce the debt -- net debt. And going forward, the debt will be reduced. So, our peak working capital requirement is behind and incrementally, it will keep improving from here. We are making all efforts to our inventory management, which will help in positive outcomes going forward. And going forward, our endeavor is to reduce the net debt from here. And then...

Maitri Shah: So, the current amount of INR 350 crores is the peak amount we can see for now?

Ashok Jain: So currently, net debt is around INR 380 crores, mainly comprised of working capital.

Maitri Shah: And that's the peak you can see and from here on, it will like go down?

Ashok Jain: Accordingly, the revenue we will generate accordingly, it will be -- reflect the net debt result.

Maitri Shah: Okay. And the other income in fourth quarter is double what it was before. So any like one-offs in the other income?

Ashok Jain: So other includes -- other income includes forex gain also. So, we have an around a total INR 6 crores in this quarter. So other income includes forex gain as well as the interest on FDR, fixed

deposit receipt. So, we have around INR 100 crores fixed deposits. So every quarter, we around INR 2.5 crores we – INR 2.2 crores is -- receiving the interest on the fixed deposits, that also include the other income.

Maitri Shah: Okay. Thank you.

Moderator: The next question is from the line of Jahnvi Shah from Share India Securities. Please go ahead.

Jahnvi Shah: Congratulations on the numbers. I just have one question. You mentioned that the margins improved because of scale of operations and product mix as well. So I just wondered if you can spend some time explaining how has the product mix changed in the last year and which product gives us the higher margins, if you can explain?

Ekta Soni: So, all our products are value-added. So, most value-added products for us are CBE and Stearin. And the contribution the way it has gone up, so the CBE sales were around 10% to sales last year, it has gone to 30% of sales to last year. So, this is how the product has been for us.

Jahnvi Shah: Okay. So, CBE have been the growth driver for you.

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Ashok Jain: Every value-added product is contributing to the margin. So we have Stearin and CBE and other products for the -- speciality fats and butter and other products contributing to the margin.

Jahnvi Shah: Thank you so much.

Moderator: Thank you. The next question is from the line of Koushik Mohan from Ashika Group. Please go ahead.

Koushik Mohan: Hi sir and mam, congratulations for the great set of numbers. I just wanted to understand one thing, like with the inventory of INR 550 crores what we have, what can be the revenue can be converted?

Ekta Soni: So, we have given you the guidance for FY '26, it is around INR 1,050 plus crores.

Koushik Mohan: Yes. So that means that the raw material -- okay, in the inventory, how much is the raw material, ma'am?

Ekta Soni: Raw material inventory is around INR 400 crores.

Koushik Mohan: INR 400 crores. That means that we are having this raw material in the older cost, right?

Ashok Jain: It is the average cost.

Koushik Mohan: It's an average cost. Perfect. And another thing I just wanted to understand, ma'am, this year, we can see that our return metrics has improved, ROC

and ROE. Like because of capacity utilization coming up and now 40,000 metric tons, that is also coming with 65 percentage is what we are capacity utilizing that will improve and operating leverage will play out in our game. So, can we expect the margins to improve over here in the EBITDA level?

Ekta Soni: So, sir, this performance what we have given you in H2 is the result of our continued focus on operational efficiency. Of course, our efforts will be continued to be directed towards driving consistent and profitable growth for our stakeholders and we believe it will naturally reflect in our margin performances over time. We can update you quarter-on-quarter.

Koushik Mohan: Got it, ma'am. And last question from my end, ma'am. I just wanted to understand, currently, we have 40,000 metric tons. Do we have any plans to put up new capacity?

Ekta Soni: Yes. We already have announced five projects last quarter. So, directionally the company is moving toward those directions of project of forward integration and backward integration. Of course, the company is having plans for another 3 to 5 years road map, which we have shared with our shareholders in our last call.

We can prefer that and once we get approval from our Board on the projects and we can then share you the time lines and comprehensive report and how we are going forward with those things. And we expect to start the construction also this year hopefully.

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Koushik Mohan: Got it. Ma'am in the total output of this year, what -- how much is CBE and how much is Stearin? How much can you bifurcate in the, volume terms?

Ekta Soni: CBE and Stearin is 50% of our total value-added product wallet share. So see, both the products, Stearin and CBE is value-added products for us.

Koushik Mohan: No, in the percentage terms or in the number terms?

Ekta Soni: So you're asking the volume-wise percentage?

Koushik Mohan: Volume-wise.

Ekta Soni: 7,000 tons...

Ashok Jain: 7,000 tons is Stearin and around 4,500 tons is CBE, both are the value-added products.

Ekta Soni: So it is like...

Koushik Mohan: That is for the quarter, right?

Ashok Jain: For whole year.

Ekta Soni: For whole year. So we are giving you the break-ups. The percentage-wise 20% is CBE in the volume and 30% is Stearin volume-wise.

Koushik Mohan: Perfect. Thank you. I will get back in the queue.

Moderator: The next question is from the line of Mayur from Wealth Managers. Please go ahead.

Mayur: Good morning to the management and congratulations on a very good set of numbers.

Moderator: I'm sorry to interrupt. Mr. Mayur, your voice is coming a little low. Can you speak a bit louder?

Mayur: Yes. Congratulations to the entire team of management. Now is it okay?

Moderator: Yes, Sir, far better.

Mayur: And congratulations to Mr. Saraf and the senior management for driving the transformation of the company. That's great to see the kind of transformation over the years. So hearty congratulations. I had just a couple of questions. So some clarification. First, you said on an annualized basis, annualized means FY '25, not Q4 annualized, I'm saying overall capacity utilization on 40,000 tons was close to 60%, right? So, our volumes were closer to 24,000 tons on an annual basis. Will it be right way to understand?

Ekta Soni: No, it will be close to 22,000 tons, because we started new capacity in July 2024.

Mayur: Okay. And so CBE by volume was 20% and we said 30% by way of revenue?

Ekta Soni: Yes. Correct.

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Mayur: Okay. And similarly, overall value-added products overall on this 22,000 tons would be 50%?

Ekta Soni: Yes, tonnage-wise.

Mayur: Tonnage-wise. Okay. And by revenue, will it be much higher?

Ekta Soni: It should be close to around 70%.

Ashok Jain: 70%.

Mayur: 70%. Okay. And...

Ekta Soni: 70%.

Mayur: Okay. Given that we are in a rising

commodity -- base commodity prices means in terms of cocoa, cocoa butter, the pricing is on the higher side. It's rising trend. Will it be fair to say that there is a tactical -- there can be a tactical way to play the spot market as well as the contract market, means how much of our currently is contract sales, long-term contracts in a sense, 1-year contract and how much is sales? Can this mix change based on what we think is right currently in the market and how does it play for the next year?

Ashish Saraf: These are our super speciality niche products, and they are used in the various chocolate industries all over the world. And they mostly are on yearly contracts. In case of some of our customers want immediate delivery, we may sell them on spot basis, but generally, most of the contracts on long-term basis.

Mayur: Okay. This is...

Ashish Saraf: So basically, commodity or this is not -- then these products are used in the various serious food applications, especially the chocolate industry. So, these all are mostly on planned basis so that their factories don't stop, they continuously receive the materials. Maximum business is on the long-term contracts.

Mayur: Long-term contracts. Okay. So sir, then in that case, given the significant rise in the prices sometime in the next year, maybe H2 of next year or sometime closer, shouldn't we see a decent rise in our contract pricing as we go ahead? I understand it will be gradual. But from a \$5,000 to \$6,000, not specific, I'm asking, but at a weighted average level, we should see a decent rise as we go ahead conceptually, right?

Ashish Saraf: It is the cocoa butter is a commodity, it will go up, it will come down, it will then go down, it will go up, and that will keep happening. CBE is a speciality and it is -- and we have these long-term relationships with all the chocolate majors of the world. So, we have to be sustainable and be a dedicated supplier to them. So, this is not based on any commodity and we start taking advantage or disadvantage.

It is a joint business because there are very who will give the service of collecting from the forest and making those speciality products and then eventually, they are being eaten by the most

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population of the world. So, this is basically more sustainable, stabilized business rather than a commodity business model.

Mayur: That's great to hear because it then tells the nature of competitive advantage or moat for us that it is more sustainable as we go ahead. That's great. Sir, another aspect was as we go ahead, Manorama being an integrated player, we have ethical sourcing. We have strong relationships with -- on the sourcing side in two of the largest -- two of the markets where the raw material is there.

What would be the positioning of Manorama globally for us currently in terms of overall global question? And do we think that we can be among the top leaders as we go ahead over the next couple year?

Ashish Saraf: I think we are already in the top leaders because there are hardly three-four players in the world. And we already are there, and every day, we are going from strength to strength. And we are getting huge recognition, not only the awards, but many strong recognitions, big companies are depending on us for the supplies. And as you rightly said, this is a very niche business. This is not an easy business. You have to collect the raw materials, make them into the world's finest products, which are eaten by the children of not only India, but of the Japan or America, or Latin America, Europe, Russia, everywhere. So we are already, I think, there, and we will be -- we are the only company in the world who makes from Mango, from Shea, from Sal, who has all these products in one basket.

Mayur: Right. And...

Moderator: I'm sorry to interrupt. Mr. Mayur, I would request you to please come back in the queue. The next

question is from the line of Apoorv Singh from Panchratan Investors. Please go ahead.

Apoorv Singh: Yes. Thanks for giving this opportunity and doing this con calls. This really helps investors like us. And all the best for -- congratulations for the numbers. The question I wanted to understand was, I wanted to understand the growth of the CBE contractual prices. If that is not available, I would want to maybe get that later on that. Could you give some idea on how has that grown, the CBE contractual prices?

Ekta Soni: CBE contractual prices are ranging approximately between US \$5,000 to \$6,000. It depends on the specifications and terms with the customer.

Apoorv Singh: How has that grown in the last 3 years? I just wanted to understand that pricing?

Ashish Saraf: They are growing in a relative manner as per the increasing demand and usage of eating of the chocolate by the human population in various geographies around the world.

Apoorv Singh: So we don't have a current number on how that has grown in the last couple of years?

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Ashish Saraf: They are growing substantially year-by-year. It all -- there are various factors and demands -- based on the demands in various geographies, they are growing. As such, we don't have a specific number.

Apoorv Singh: Got it. Also, second question is that what is the price sensitivity of cocoa versus CBE prices? If you can give an example in terms of, let's say, if cocoa is priced at 100, what would be cocoa butter equivalent prices be?

Ekta Soni: Cocoa butter equivalent prices we just mentioned you, US \$5,000 to \$6,000 and cocoa butter prices is volatile that we can track online is around approximately around \$20,000 as of now.

And it's a commodity, we can track this also prices in Google.

Apoorv Singh: Got it. But just wanted to understand, is there any correlation between that like what is the price sensitivity if it is 100 then what is the kind of general industry standards of cocoa butter equivalent?

Ashish Saraf: Cocoa butter is around \$20,000 or roughly around \$14,000-\$15,000. So it is not directly correlated, but of course, in a way, indirectly it is. But as such, then the CBE prices should also be in the same range. So basically, there is a vast difference. CBE is more used in the chocolates for the compatibility and for other reasons. It is not right to assume, but there is a pricing dynamics differ significantly.

Apoorv Singh: Got it. Sir, the last question is that just wanted to understand the contracts we have, what are the price renegotiation clauses, if any? Just if you can give some idea on that, because you say we have long-term contracts in terms of 1 year. So any special cases where these contract price renegotiation can happen, any clauses on that?

Ashish Saraf: They are big contracts. We have confidentiality contracts with all the customers, so I cannot disclose all that here.

Apoorv Singh: Got it. So, I do not want the confidentiality thing, I just wanted to understand what are the clauses

which will lead to renegotiation so that those factors could be tracked as an investor, but thank you.

Ashish Saraf: No, but there are various terms –with the Giants of the chocolate multinational companies of the world and all the contracts are as per the business terms, it is decided.

Apoorv Singh: Thank you. Congratulations for the numbers. That's it from my side.

Moderator: Thank you. Ladies and gentlemen, due to time constraint, that was the last question for today's conference call. I would like to hand the conference over to the management for closing comments.

Ashish Saraf: I would like to extend my gratitude to all the participants for dedicating their precious time to join us for the Manorama Industries Q4 and financial year '25 earnings conference call. The company continues to solidify its reputation as a dependable and leading provider dedicated to fu

lfilling the increasing needs for sustainable cocoa butter equivalents, speciality fats, Stearin
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and butters and our various new product launches. With our focus on research and development, we maintain our status as the preferred supplier of speciality fats and butters to both our global and domestic customers.

Also, should you have any additional questions, kindly feel free to reach out to us via e-mail or kindly contact Ernst & Young, our Investor Relations Advisors. I sincerely thank you all for participating in this concall today, and I hope you have a wonderful and healthy day. Thank you.

Moderator: Thank you. On behalf of Manorama Industries Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Ashok Jain: Thank you.

Call: Oct 2025

Manorama Industries Limited
KHASRA No. 2449-2618
Nr. IIDC, Birkoni
Mahasamund (C.G.)
Pin: 493445

October 22, 2025

To,

The Manager

Listing Department

BSE Limited ("BSE")

Phiroze Jeejeebhoy Towers,

Dalal Street, Fort,

Mumbai 400 001

Scrip Code: 541974

ISIN: INEO0VM01036 To

The Manager,

Listing Department

National Stock Exchange of India Limited

("NSE")

Exchange Plaza, Plot No. C/1, G Block, Bandra-

Kuria Complex, Bandra (East), Mumbai 400 051

Symbol: MANORAMA

ISIN: INE00VM01036

Subject: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of Q2 & H1 FY26 Earnings Conference Call held on Friday, October 17, 2025.

Dear Sir/Madam,

In reference to our intimation dated October 14, 2025, and pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we would like to inform you that the Company had organised an Earnings Conference Call with respect to Q2 & H1 FY 26 Results on Friday, October 17, 2025 at 06:30 p.m. (1ST). A copy of transcript of Q2 & H1 FY 26 earnings conference call is enclosed herewith and the same has also been uploaded on the Company's website at the below mentioned link:

[https://manoramagroup.co.in/investors-company-announcements#analyst meet](https://manoramagroup.co.in/investors-company-announcements#analyst%20meet)

This is for your information and records.

Thanking You,

For Manorama Industries Limited

Deepak Sharma

Company Secretary and Compliance Officer

Membership No: A48707

End: As Above

Corporate Office:

F-6, Anupam Nagar,

Raipur-492007, Chhattisgarh, INDIA

E-mail: info@manoramagroup.co.in

Tel.: +91-771-2283071, 2282579, 2282457

Telefax: +91-771-4056958

CIN: L15142M112005PLC243687

GSTIN: 22AAECM3726CIZI Certifications:

FSSC 22000, ISO 9001, ISO 14001, ISO 4500, RSPO, HALAL,

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A Government of India Recognized Star Export House Registered Office:

Office No. 701, 7th Floor, Bonanza Building,

Sahar Plaza Complex, JB Nagar Metro Station

Andheri Kuria Road, Andheri East,

Mumbai, Maharashtra -400059

Tel. 022 49743611, 022 67088148

www.manoramagroup.co.in

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"Manorama Industries Limited Q2 & H1FY '26
Earnings Conference Call"

October 17, 2025

MANAGEMENT : MR. ASHISH SARAF – CHAIRMAN & MANAGING
DIRECTOR, MANORAMA INDUSTRIES LIMITED
MR. ASHOK JAIN – CHIEF FINANCIAL OFFICER,
MANORAMA INDUSTRIES LIMITED
MRS. EKTA SONI – ASSISTANT VICE PRESIDENT ,
INVESTOR RELATIONS , MANORAMA INDUSTRIES
LIMITED
MR. DEEPAK SHARMA – COMPANY SECRETARY ,
MANORAMA INDUSTRIES LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to Q2 and H1 FY '26 Earning Conference Call of Manorama Industries.

As a reminder, all participant line will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' and '0' on your touchtone phone.

I now hand the conference over to Mr. Hiral Keniya from EY. Thank you and over to you, sir.

Hiral Keniya: Thank you Danish. Good evening, everyone. On behalf of Manorama Industries Limited, I welcome you all to the company's Q2 and H1 FY '26 Conference Call.

To discuss the performance of the company and to answer your questions, we have with us the management team comprising of Mr. Ashish Saraf - Chairman and Managing Director; Mr. Ashok Jain – CFO; Mrs. Ekta Soni – AVP (Investor Relations) and Mr. Deepak Sharma - Company Secretary.

Before we proceed this call, I would like to draw your attention to the fact that today's discussion may contain forward-looking statements that are subject to various risks, uncertainties and other factors which will be beyond management's control. We kindly request you to bear in mind that there might be uncertainties when interpreting such statements.

Please note that this conference is being recorded. We would now start the session with opening remarks from the management team. Afterwards, we will open the floor for an interactive Q&A session.

I would now hand over the conference over to Mr. Ashish Saraf for his opening remarks. Thank you and over to you, sir.

Ashish Saraf: Thank you, Hiral. Good evening, everyone, and a warm welcome to the Manorama Industries Limited Earning Conference Call for Q2 & H1 FY '26.

I am accompanied today on this call by our Director and Chief Financial Officer – Shri Ashok Jain, and other members of our senior Management Team.

I would like to thank all our dear investors, analysts and stakeholders for joining the call today and for your continued confidence on Manorama.

The first half of Financial Year '26 has been another period of strong performance for Manorama Industries, reaffirming our position as a global leader in specialty fats and butters. Our growth during this period was driven by a superior mix of value-added products, optimized utilization of our expanded fractionation facilities and consistent demand from leading international clients in the chocolate, confectionery and cosmetic industrial sectors. We continue to see encouraging

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traction across our global customer base, supported by our robust sourcing network, strong research and development capabilities, and focus on customized, high-quality solutions. Our emphasis on innovation, sustainability and value-added product offerings has helped us maintain healthy margins and strengthen our growth trajectory. Based on the strong performance and business momentum, the company has revised its annual guidance for FY '26 upwards from INR 1,050 crores to INR 1,150 crores plus reflecting our confidence in the demand outlook and operational scalability. This period also marked notable strategic progress for Manorama. We are now under the process in the next months to upgrade our fractionation facilities, expand our production footprint and strengthen our presence across key global markets. Our waste to wealth, sourcing model continues to empower billions of rural and tribal women, ensuring inclusive growth while reinforcing our environmental social governance commitments. This model not only ensures a reliable and sustainable supply chain, but also aligns with our long-term vision of responsible and traceable sourcing. We have also acquired land adjacent to our existing Birkoni facility to support our upcoming capacity expansion, and we are progressing well with new ventures in West Africa and Latin America to deepen our global footprint. These initiatives collectively position us for our next phase of growth, both in terms of scale and market reach.

As part of our operational planning, we have scheduled a plant maintenance and upgradation shutdown in Q3 FY 2025-26 to enhance efficiency and facilitate expansion in our current fractionation capacity from 40,000 metric tons annually to 52,000 metric tons annually approximately. This has been carefully planned and will have no impact on our annual revenue guidance. Instead, it will help us achieve higher productivity and better throughput in the coming quarters.

Looking ahead, we remain deeply focused on strengthening our leadership position in speciality fats and butters through continuous innovation, capacity expansion, and deeper customer engagement. Backed by a fundamentally strong balance sheet, disciplined execution, and a sustainability-driven growth model, we are confident of delivering long-term value to all our stakeholders.

With that, I will now hand over the call to our Chief Financial Officer and Director, Shri Ashok Jain to take you through the financial and operational highlights for the quarter and first half of the year. Thank you, everyone.

Ashok Jain: Thank you, Ashish Sir and good evening, everyone. Let me take you through the financial performance for the second quarter and half year ended 30th September 2025.

For H1 Financial Year '26, Manorama Industries reported consolidated revenue of INR 612.9 crores demonstrating a strong 86.4% year-on-year growth. EBITDA for the period stood at INR 156.6 crores with margin of 27.2%, while profit after tax was INR 105.5 crores translating into Manorama Industries Limited

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a margin of 17.2%. The improvement in profitability reflects our focus on product mix optimization, improved capacity utilization and disciplined cost control measures.

For Quarter 2 FY '26, revenue stood at INR 323.3 crores while EBITDA came at INR 87.7 crores with a margin of 27.1%. Profit after tax for the quarter was INR 54.9 crores, reflecting a margin of 17%. This result demonstrates our aim to sustain a strong operating performance despite ongoing capacity expansion and seasonality in the business.

On the balance sheet front, our financial position remained robust and well capitalized. As of 30th September 25, ROCE stood at 49.9% and 36.9% respectively, with a comfortable net debt-to-equity ratio of 0.57:1. Working capital management has remained efficient with reductions in working capital gains to 97 days. Additionally, net operating cash flow of INR 189.07 crores during first half FY '25-26, ensuring strong liquidity to fund growth and expansion initiatives.

We continue to maintain a disciplined approach to capital allocation, the upcoming capacity expansion of 52,000 metric tons per annum, along with our investment in new geographies such as West Africa and Latin America, are fully aligned with our long-term strategy to diversify and strengthen our global presence. These initiatives will enable us to capture growing demand for cocoa butter equivalent and other specialty fats and butters worldwide. With strong business fundamentals, growing customer relationships and ongoing operational improvement, we are confident of sustaining our growth momentum and bearing on our revenue guidance for FY '25-26.

That concludes my remarks. We would now be happy to take your questions. Thank you.

Moderator: Thank you, sir. Ladies and gentlemen, we will begin with the question-and-answer session.

Anyone who wishes to ask question may press star and one from your touch tone telephone. If you wish to remove yourself from the question queue, you may press star and two. Participants are requested to use handset while asking the question. Ladies and Gentlemen, we will wait for

a moment while the questio

n queue assembles. Our first question is from the line of Akhil Parekh from B&K Securities. Please go ahead.

Akhil Parekh: Hi, thanks for the opportunity and many congratulations on such a stellar performance. My first question is, if you can please highlight what has been the contribution of specialty products in the second quarter and first half of this year?

Ekta Soni: So, the contribution from our value-added product contribution to our sales is around 70%-75% or less. Utilization, it has been around 80%-85% for our numbers for FY '25-26.

Akhil Parekh: Sorry, Ekta, can you just repeat, I think you were cracking up. I don't know if it is on my side, but I couldn't hear clearly.

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Ekta Soni: So, our value-added product contribution to our sales is around 70%-75%, which includes cocoa butter equivalent, stearin and some value-added products. And the plant utilization level for H1, it is around 80%-85% combined.

Akhil Parekh: 80%-85% on the 40,000 tons, right?

Ekta Soni: On the 40,000 tons for half year, 6 months, yes.

Akhil Parekh: Okay, got it. Second, Sir alluded to revise the guidance upward from INR 1,050 to Rs. 1,150 crores. In terms of margins, are you confident that we will maintain what we have achieved in first half?

Ekta Soni: So, yes, of course. So, the performance you have seen is a result of our continued focus on operational efficiency, premiumization initiatives and disciplined executions. So, looking ahead also for the coming quarters, we remain very confident in the structural strength of the business, of the products, and of course, the model and our ability to sustain the healthy margins. So, our efforts will continue to be directed towards driving consistent healthy margins for the company and our shareholders.

Akhil Parekh: And also, if you can highlight or give more details in terms of what are the new ventures which are described or mentioned in West Africa and Latin America? Anything specific that you can?

Ekta Soni: Yes. So, firstly, we have established subsidiaries in West Africa to streamline and strengthen the procurement of our raw materials like Shea Nuts, which are a key raw material for our operation.

In addition, we also have signed a MoU, the Memorandum of Understanding, with the government of Burkina Faso for setting up a processing facility in the country. So, this will enhance local value addition and improve the supply chain efficiency for the raw materials. And if you talk about Latin America, so in Latin America, we have entered into an agreement with DEKEL in Brazil to utilize their processing facilities for manufacturing of specialty fats intended for that regional market. So, this will allow us to scale up very quickly without immediate CAPEX and address local demand more efficiently. And additionally, also, we have signed a Memorandum of Understanding with the Government of Chhattisgarh for potential investment in our future plant's CAPEX project.

Akhil Parekh: So, the Africa plant, is it more of a backward integration? Is that understanding correct?

Ekta Soni: Yes, that understanding is correct. It is more a backward integration project, where we are going to set up a processing extraction facility there.

Akhil Parekh: And for the Latin America, it is more of a product extension?

Ekta Soni: Yes, for the market penetration, yes, for our safety reasons. We see a huge opportunity there.

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Akhil Parekh: And any CAPEX guidance for this year and for the next year?

Ekta Soni: So, CAPEX, as we have talked about, so we already have made meaningful progress, including the acquisition of around 20 acres of land, and we are still negotiating further. And we are also upgrading our facility for the existing capacity, which will result in a 30% increase in the current capacity. So, that capacity we will take

from 40,000 to 52,000 tons. Additionally, for the other project, which we had announced earlier, so the total capital expenditure is estimated at approximately INR 450 crores. So, basically, all these projects are aimed at expanding our current capacity and enhancing our control over the supply chain, and entering a new market and also upgrading the technology for the company.

Akhil Parekh: So, just an extension to this, and my last question, the INR 450 crores will be funded through the internal accruals and what is the timeframe we are looking at, basically, to expand INR 450 crores?

Ekta Soni: Yes. So, for the funding, so we are actually in a very advanced discussion, and we expect to finalize the structure shortly. We will share the updates on the mode of financing for the project.

But we are, of course, looking to evaluate the options for internal accruals, debt, and also fund it through equity. So, we are evaluating all these three options for our funding this project for INR 450 crores.

Akhil Parekh: And the timeframe for this?

Ekta Soni: So, the timeframe, we hope to see our project getting on stream in the next 2 years.

Akhil Parekh: Great. This was helpful. Best of luck for coming quarters. Wishing Happy Diwali to the entire team. Thank you, sir.

Ekta Soni: Thank you. Wish you the same.

Moderator: Thank you, sir. Our next question is from the line of Nikhil Kapoor from LIC Mutual Fund.

Please go ahead.

Nikhil Kapoor: Can you hear me? Hi, sir.

Ekta Soni: Yes.

Nikhil Kapoor: Congratulations on a very good set of numbers. Yet another good show there. I just needed one number, Ekta, was from the export point of view. What was the export contribution on our topline?

Ekta Soni: 58% was the export contribution and 42% is the domestic.

Nikhil Kapoor: Got it. And just the plant upgradation timing, will this be in Q3 or will it be done in Q4 scenario?

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Ekta Soni: So, it will be around Q3, December onwards.

Nikhil Kapoor: Got it. The rest of my questions have already been answered. Thanks. I will get back on the queue. Thank you.

Moderator: Thank you, sir. Our next question is from the line of Jeevan Patwa from Sahasrar Capital. Please go ahead.

Jeevan Patwa: Yes, firstly, congratulations to entire team for a wonderful set of numbers. What is striking is basically the improvement in the balance sheet. So, our ROCE and ROE has moved up pretty smartly. I think this will continue even in the next half and next year. The only one question I have on the balance sheet side. So, just want to understand what is this non-current other assets and other financial assets, the two line items. One is non-current other assets and other financial assets. If you can explain, Ashok, for us?

Ashok Jain: So, other financial assets are covered FDR, which is around INR 126 crores. And the other non-current assets, this is the advances which we have paid for our coming upgradation of the equipment and packing area, which we are going to upgrade. This is the advances. And we have this non-financial assets covered INR 79 crores. And the second line of items, bank balance and other equipment and this in total is around INR 126 crores FDR as on date, cash FDR.

Jeevan Patwa: Perfect. Very good. So, that is it. Congratulations once again and Happy Diwali to everyone.

Thanks a lot. Thank you, sir.

Ekta Soni: Happy Diwali.

Moderator: Thank you. Next question is from the line of Binay Shukla from Phillip Capital. Please go ahead.

Binay Shukla: Thank you for the opportunity. Just one quick question on the topline fronts. What kind of growth should we expect for FY27 and 28 and similarly on EBITDA margin fronts?

Ekta Soni: So, hi, thank you Binay for the question. So, for the guidance for our next year, we would like to reaffirm the numbers in the March quarter. So, during that time we get the better visibility for the year. A

nd of course, we see a tremendous growth given the capacity we are coming up and the utilization still is there to optimize. So, we see a good growth. But in numbers, we request you to kindly wait for March quarter to revise our guidance for FY '27 or '28.

Binay Shukla: And just a last question on, who are your top three customers in India and export market and what will be the revenue contribution?

Ashok Jain: So, the top 3 customers include Mondelez, Ferrero, Nestle, Hershey's. These are our top customers.

Binay Shukla: And what will be the revenue contribution from these four clients?

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Ashok Jain: So, we have many customers in our portfolio.

Ekta Soni: So, we can share the figures for top 10 customers, which is around 40%. And top three customers are Mondelez, Nestle and Hershey's.

Binay Shukla: Thank you so much.

Moderator: Thank you. The next question is from the line of Amit Agarwal from Kotak Securities. Please go ahead, sir.

Amit Agarwal: Good evening, Mr. Jain. Good evening, Ekta. Congratulations for a fantastic set of numbers. See, my investors have only one concern. One was like.

Ekta Soni: Hello, sir. Your voice is little low, sir.

Amit Agarwal: See, my question is on the cocoa side. I know we are into cocoa butter equivalent. So, my investors have one concern that prices of cocoa have corrected significantly. So, does it impact our business in any way?

Ekta Soni: So, cocoa butter, there is, of course, because of this equivalent, people see that it is the same. But if you see the cocoa butter equivalent, the functional properties and the structural properties of cocoa butter equivalents are very different. This is why because these customers like they want because it provides stability, good texture, good finishing lines to the confectionery and chocolate. So, that way, we see our demand and prices of our products very sustainable, in not relation to cocoa butter. Of course, it is indirectly related because it is the same alternatives of cocoa butter. It is like cocoa butter equivalent. But if you see the pricing and the demand perspective, it has been different from cocoa butter.

Amit Agarwal: Perfect. And another question is on the working capital days. We have seen significant improvement in working capital days. So, is there any further room for improvement in working capital days from here?

Ashok Jain: Yes, Sir. Definitely, we are trying to maximize our working capital cycles as well as the inventory management. So, we see in going forward better working capital management.

Amit Agarwal: Perfect, Sir. And the third question is on the margin side. Like for the last 2-3 quarters, your margins have been hovering at around 27%. So, with improvement in operations, improvement in increase in revenues and operating leverage playing out, we see this margins improving further from here?

Ekta Soni: As we see, we already have developed good numbers on the margin. But looking ahead also, we remain very confident in the structural strength of our business model and our ability to sustain healthy margins. And we are very confident that we will continue to be directed towards
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consistent, profitable growth, which we believe will naturally reflect in the strong margin performance over the time. So, the company has been performing well in terms of topline, the margin in the product mix, and we remain confident and we continue to perform like this. We will keep on updating our investor and shareholders if there are any changes to that.

Amit Agarwal: Perfect. And lastly, like, have we added new clients in this quarter?

Ekta Soni: So, that is the ongoing process, Sir. That is the ongoing process. We are tapping new markets, entering into new geographies, having new clients for our different types of specialty fats and butter. So, yes, we are

tapping new customers and entering new geographies. It is a continuous process for the company.

Amit Agarwal: Perfect. And FY27 guidance, you will be sharing only by March, right?

Ekta Soni: That is right. So, for this year, we have revised our guidance for INR 1,150 Crores plus. So, for next year, we will be guiding you in the March quarter.

Amit Agarwal: Perfect. Thank you so much and all the best and wish you all a very Happy Diwali.

Ashish Saraf: Happy Diwali.

Ekta Soni: Thank you, sir.

Moderator: Thank you. Next question is from the line of Shrenik Mehta from Indulge Wealth. Please go ahead.

Shrenik Mehta: Hi, thank you for the opportunity. This has been an amazing result. So, congratulations to the entire team. I just wanted to understand a little more about your vision for the next couple of years. How do you see the key growth drivers evolving? What are your major opportunities for capturing the market? Just a little bit of color on the long-term vision?

Ekta Soni: So, of course, our growth is being driven by a combination of strategic initiatives and favorable industry trends. The key growth drivers we can see for the coming years could be our integration projects, which is like backward and forward integration projects, which we are coming up. The global expansions and the subsidiary footprint, if you see, we have established 8 subsidiaries globally in the regions like West Africa, Latin America, Brazil. And of course, we are going ahead with the continuous capacity expansions. So, those projects are also in terms of that line. And we have certain strategic partnership and memorandum of understanding, like with the government of Burkina Faso, with the government of Chhattisgarh for setting up our projects on a priority basis. And of course, we are looking for a product and market diversification. We are expanding our product portfolios and penetrating new geographies, which will help us reducing and open up new revenue streams. So, these are the growth drivers, which we see for our coming
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years. And we are working on expanding our capacity. And this year also, we are expanding our

capacity by 30% more, including the backward and forward integration projects.

Shrenik Mehta: Excellent. Thank you so much.

Ekta Soni: Thank you.

Moderator: Thank you. Our next question is from the line of Rohan Mehta from Ficom Family Office. Please go ahead.

Rohan Mehta: Hi, am I audible?

Moderator: Yes, sir, you are.

Rohan Mehta: Great. Thank you for taking my question. As per my channel checks, the cocoa butter prices, they currently stand at less than 10,000 Euros per ton. There has been quite a steep fall over the last 3 months, about 25% fall. So, I wanted to understand, are you seeing any margin impact on contract repricing with customers starting next quarter and thereafter? And in the meanwhile, has there been any changes to the CBE prices in the same period?

Ekta Soni: Sir, to answer your question, if you see our contracts are usually for 9-12 months, and we are very firm with our contracts and order books and we do not see any price drift in our cocoa butter equivalent, Stearin or other, any of our specialty, value-added specialty fats and butter products.

So, we do not see any price drift for our products and we do not see that kind of a margin reduction because of the price change in the products for the next 2 quarters coming up.

Rohan Mehta: So, just to sort of clarify, the cocoa butter prices are still in the range of \$5,500-\$6,000 per ton. Is that correct?

Ekta Soni: So, cocoa butter equivalent prices or cocoa butter prices?

Rohan Mehta: Yes, cocoa butter equivalent prices. Sorry.

Ekta Soni: Yes, that is in the range of that. So, when cocoa butter was trading at higher, \$25,000-\$30,000 kind of a dollar, our price was still the same. Now, maybe it is fluctuating as you are saying it is down

through your channel checks, but still our prices are around that price only \$5,500-\$6,000 US dollars.

Rohan Mehta: And second question is on your working capital days. So, purely on an aspirational basis, what sort of number you are targeting currently on the working capital days?

Ekta Soni: So, from 151 days, we have come to 97 days now and we target to 75 kind of days for our working capital cycle given the model of the business.

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Rohan Mehta: Right. And this is for the next 2 years, 3 years?

Ekta Soni: Yes, next 2 years.

Rohan Mehta: And lastly, on the inventory, how much inventory are you looking to procure by March 2027?

Ekta Soni: March '27 or 26?

Rohan Mehta: March '26.

Ekta Soni: So, you want to understand what would be our inventory level during the Q4?

Rohan Mehta: Yes, correct.

Ekta Soni: So, maybe, we can share that at a later stage because we are at an ongoing thing. We can share you half-year number what we have reported currently.

Rohan Mehta: Okay, Thank you.

Ekta Soni: Thank you.

Moderator: Thank you. Our next question is from the line of Pritesh from Lucky. Thank you.

Pritesh: Ma'am, for this INR 450 crore CAPEX, if you could give out the detail how much you are spending in backward integration and how much in forward integration? And in forward integration, what capacity will get added from this current 40,000 tons?

Ekta Soni: Sir, we can provide you a detailed breakup maybe at a later stage. We have the firm numbers with us, but to share with you, we need certain approvals to disclose all those project wise figures with you. So, that is also of course under consideration. We can share with you at a later stage for that INR 450 crores breakup.

Pritesh: So, what you guys are sharing right now is the capacity expansion from 40,000 to 52,000 tons, right?

Ekta Soni: Yes, 52,000 tons.

Pritesh: Is that a part of this INR 450 crores or INR 450 crores is over and above whatever you are doing?

Ekta Soni: So, INR 450 crores is over and above of what we are doing. So, this upgradation of facility, we are doing through internal accruals. So, we have already spent on the land and this upgradation through internal accruals actually.

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Pritesh: And can you quantify at least the backward integration CAPEX which you are planning to do in these African countries?

Ekta Soni: Yes.

Pritesh: So, what is the amount to be spent for the processing setup?

Ekta Soni: So, we will get back to you on that capacity, the amounts are project wise. So, maybe we can discuss on that at a later stage.

Pritesh: Thank you very much.

Ekta Soni: Thank you.

Moderator: Thank you. Our next question is from the line of Nilabja Dey from Ashmore Research. Please go ahead.

Nilabja Dey: So, first of all, congratulations on good set of numbers. I just want to understand one particular thing. So, are you really feeling that your cocoa butter is having prices? Because also I am following you for quite a number of calls. You have earlier also mentioned that they have very little correlation with the cocoa prices. Even the cocoa prices goes ups and downs, your CBE prices more or less, there is no such relationship. So, I just want to know, so will customers when the cocoa prices go down or go up, so is it something like customers as part of their entire process, certain percentage of their raw material, they mandatorily use this CBE to bring the overall raw material cost of CBEs down. So, what is it just like to know that how customers use that CBE and the cocoa? Just like, can you just explain, because this is always a very confusion and as an industrial case, lots of, obviously, we are in the mind that prices are going up, prices coming down 50%, can you just explain how your customers are using CBE and cocoa?

Ekta Soni: Sir, if you see the demand for this

cocoa butter equivalent, this has been growing very fast over the years. If you see the product, the cocoa butter equivalent, it provides a structural and functional importance to the chocolate and confectionery manufacturers, irrespective of the cost. So, our cocoa butter equivalent, we are selling this specialty and fat butter since last 2-3 decades now. So, the importance of this fats is more on the manufacturing and producing of this chocolate and confectionery rather than the prices fluctuations of cocoa butter or cocoa butter equivalent. So, if you see, it provides a better texture, taste and stability in the chocolate and confectionery manufacturers. So, there is, however, the demand is and there is sustainable pricing for our cocoa butter equivalent.

Nilabja Dey: So, that means all your customers will mandatorily use it or customers have the flexibility not to use CBE in their production of Cadbury's also? Just asking, I just wanted to understand. Sorry, I am taking a little more time from you?

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Ekta Soni: No, that is very well okay sir, that is not an issue. But that recipe depends to customer to customer. Mondelez recipe will differ, maybe from the other customers, it can differ the recipes to recipes. So, the importance of the cocoa butter equivalent is there, but how they are going to put it, use it, it depends on their formulation. But they want it. There is a demand for this product, not only in chocolates, but also in confectionery, in other HoReCa markets, in there are a lot of other markets where this fats and butters are getting used. And it is a zero trans fat. It is a very healthy fat.

Nilabja Dey: Great. Last question that means, final question is that price fluctuations are very minimal in terms of your CBE when even with the cocoa. When you, as per your organizations, obviously when your margin comes from more and more backward integration volume and your production efficiency, am I right? Because your prices are more or less, does not look in, the cocoa CBE price internationally, that \$ 5,600, you are telling that even going to the cocoa price going to \$7,000, it remains \$5,000-6,000 range. So, your end of the, your price, your MRP or whatever, that price does not fluctuate for that much, but more your margin comes more from the volume, production efficiency and your backward integration, how much you can do, or what price you are procuring your raw materials?

Ekta Soni: Sir, we will reaffirm our guidance on the margin that we have continuous focus on our operational efficiency, cost control initiative and discipline execution. So, we will reaffirm our margin guidance.

Nilav Jade: Thank you and thanks for your patience and wishing you all the best.

Ekta Soni: Thank you, sir.

Moderator: Thank you. The next question is from the line of Jai Chauhan from Trinetra Asset Managers. Please go ahead.

Jai Chauhan: Yes, ma'am. So, I just have one question. You had earlier mentioned of commissioning of a new fractionation start pursuing capacity. Could you update the status of the capacity and current utilization of that?

Ekta Soni: So, the current utilization is around 80%-85% for our combined capacity of 40,000 tons.

Jai Chauhan: The earlier number that you mentioned is the combined capacity only, right?

Ekta Soni: Yes, it is combined because we are now sharing the figures for combined capacities only.

Jai Chauhan: Got it mam. And I just wanted to understand, like, how is the competitive landscape there for

CBE?

Ekta Soni: So, if you can little elaborate your question, maybe to answer us?

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Jai Chauhan: Right. So, basically, by competitive landscape, I heard in the market that you are the sole supplier for CBE and there are some strong competitive moats around it. I just wanted more information on the same?

Ekta Soni: Yes. GI

obally, if you see, there are very few companies who are into manufacturing of cocoa butter equivalents and this kind of specialty fats and butters because what we are producing, these cocoa butter equivalents are from the wastage seeds. If you see Sal seeds, Mango Kernel, or Shea Nut, which we are importing from West African countries. So, all these seeds, if you see, are wastage seeds. And to procure these seeds to have a sustainable supply chain network to deal with millions of tribal people, including women, having thousands of collection centers, and to get your product approval with this top giant MNCs of chocolate, confectionery, and cosmetic industries. And of course, given that the technology is there, the fractionation is a key capacity. So, this could be the competitive landscape, maybe for anybody to come in and do this. But this what we see, it could be the entry barrier for any newcomer to build the foundation.

Jai Chauhan: Understood, ma'am. So, ma'am, there are no competitors in the Indian space?

Ekta Soni: We are not seeing anybody at this scale. We say we are the largest and leading supplier of this fats and butters to the world. And being Sal and Mango, then we are the largest and leading supplier in the world.

Jai Chauhan: Sure, I got it. Thank you. That is it from my side. Thank you.

Ekta Soni: Thank you.

Moderator: Thank you. The next question is from the line of Bhavya from KRIIS. Please go ahead.

Bhavya: Congratulations on a good set of numbers. So, basically, I just had a couple of questions, Ekta regarding the backward integration plans in Africa. So, the facilities that we are trying to set up, what kind of volumes can it handle in terms of tonnage?

Ekta Soni: It is still an approximate figure, but it should be around 70,000 tons.

Bhavya: So, basically, we will be doing the processing, and we will be doing some bit of fractionation also over there or no?

Ekta Soni: So, as of now, the plan is to set up the extraction and the expelling plant, not the key processes like fractionation and refinery there. That we are going to do in our Indian plant, which is in Raipur, Chhattisgarh. So, there we are going to put only the extraction and expelling facility as of now.

Bhavya: Perfect. But still, there will be an improvement in terms of inventory days, right? Because we will be removing the raw seeds and everything?

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Ekta Soni: Of course, there will be a lot of improvement which is related to our backward integration in Burkina Faso. So, a lot of the cost will be reduced as we are going to import the butter now also instead of the seeds. So, there are a lot of savings we are going to do with this project, and it will be a better management of inventory and it will be a better working capital cycle also will be improved and our inventory days are also going to be improved with this project. So, it is a very good project to consider for as from company's point of view. It will also help in the good cash flow.

Bhavya: Perfect. That is it. Thanks a lot. Thank you. Congratulations, Ashok and congratulations, Ashishji. Happy Diwali.

Ashok Jain: Thank you, sir. And wish you also Happy Diwali. Thank you.

Moderator: Thank you. Our next question is from the line of Mr. Omkar Ghugardare from Shree Investment. Please go ahead.

Omkar Ghugardare: Congratulations on a good set of numbers. I have a couple of questions. Just to get things the perspective right, that this 40,000 to 52,000 metric ton expansion, when can we see the commencing of that?

Ekta Soni: So, we will be taking this in December Q3 and maybe from Q4 we can see it.

Omkar Ghugardare: So, from Q4, it will be live, right? The additional 12,000 metric ton capacity?

Ekta Soni: Yes.

Omkar Ghugardare: And at the full capacity, that is 52,000 metric ton, what could be the ballpark revenue at 100% capacity you can achieve?

Ekta Soni: Sir,

of course, the potential are very huge and good with the company. But to share the figure, please wait for our further guidance to all the shareholders, maybe in the March quarter for FY '27.

Omkar Ghugardare: I am not looking for the revenue growth, I am just trying to get the full 100% capacity, what could be the potential of this additional 12,000 metric ton capacity, if you achieve 100%, whenever you achieve 100% capacity utilization on that additional capacity?

Ekta Soni: It is a very ballpark number, we can share with you on a full optimum level utilization, 100% utilization, we can see around INR 1,800-INR 2,000 crores kind of topline. Everything going online, but it is just a ballpark number of potential what we have shared with you. We have not given any guidance or so.

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Omkar Ghugardare: Correct. So, in fact, 100% utilization on that additional 12,000 metric ton capacity, you can do INR 1,800-INR 2,000 crores of revenue if you achieve 100% capacity utilization, whenever you achieve?

Ekta Soni: On 52,000 tons, 100% capacity utilization, we see a revenue potential of around INR 1,800-INR 2,000 crores. Of course, provided everything goes well.

Omkar Ghugardare: At 52,000 tonnes that is the total capacity you are mentioning, right? At 100%, you will be achieving INR 1,800-INR 2,000?

Ekta Soni: Yes, sir.

Omkar Ghugardare: And I just wanted to know another thing that what could be the downside risk to your margin? You have said that because of the higher revenue growth with better operating leverage, you have achieved good margins from last couple of quarters and you plan to maintain it or little bit improve it as well, but I am just wanting to know that what could be the downside risk to your margin?

Ashish Saraf: Sir, business is business and business always has risk. So, there could be many risks which can come from many sources. So, as such, we don't see any known risk to us, but there could be management failure, there can be multiple types of mistakes. So, as such, there is no visible risk, but we should always keep in mind this.

Omkar Ghugardare: Just another question is on the additional land which you have purchased of around whatever figure you just mentioned in the presentation. That is for the additional capacity beyond 52,000 metric ton or it is what?

Ekta Soni: Yes. It is beyond 52,000 metric ton capacity. So, there are these projects we already have mentioned earlier. So, for all those projects, we have got those land.

Omkar Ghugardare: And just to know, whenever you start construction of a particular Greenfield capacity that will be a Greenfield capacity, right?

Ekta Soni: Yes. It is like a Greenfield, but it is like adjacent connected to our current facility.

Omkar Ghugardare: But whenever you start to construct a particular facility, like how much time it takes to start and do the stuff at 100%, like start commencing the facility, I am asking?

Ekta Soni: So, it can be like 9 months to 16-18 months, depending on the process, whether it is refinery, because there are multiple processes, not just the fractionation, it is refinery, extraction, there are other processes as well. It depends between 9-16 months.

Moderator: I am really sorry to interrupt you, sir. Please come back again in a queue for the more questions. Thank you. Our next question is from the line of Abhishek from AB Capital. Please go ahead.

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Abhishek: So, just wanted to know, what is our market share in the global CBE market? And at what rate is the global CBE market growing? Do you have any such data?

Ekta Soni: We don't have any such data with us that because there is no market data is there to have a look and reassess and we confirm you this much. But there are very few players globally who are into this kinds of niche specialty fats and butters busi-

ness.

Abhishek: But we are a significant portion in the global market?

Ekta Soni: Yes, we have a very significant portion in the global specialty fats and butters market.

Abhishek: And the CBE market is growing every year?

Ekta Soni: Yes, it is growing exponentially.

Abhishek: Yes?

Ekta Soni: Like including countries like India and Brazil, the demands of these products are growing exponentially.

Abhishek: And what percent of our sales come from US companies? I was just wanting to know because do Trump's tariffs have any material impact on our business?

Ekta Soni: So, our export sales to US are around 2%-3%. It has no real impact on our topline and bottomline.

Abhishek: Only 2%-3%?

Ekta Soni: Yes, only 2%-3% is our export sales to US. This has been historically.

Abhishek: Thank you.

Moderator: Thank you, sir. Our next question is from the line of Sunil Bhojwani from VK Family Office. Please go ahead.

Sunil Bhojwani: Good evening, am I Audible? Congratulations on the great set of numbers you have delivered.

Ma'am, I have a question on volume. If you can help me out, what is the volume growth last quarter and current quarter? And what kind of capacity we were at last quarter and this quarter and also H1 to H2 volume growth?

Ashok Jain: So, sir, we will later on update this volume growth quarter to quarter.

Sunil Bhojwani: In terms of only H1 right now, do we have it handy, the volume growth?

Ashok Jain: As such, we don't have currently, but we will share.

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Ekta Soni: We actually share the full year's volume data.

Sunil Bhojwani: So, what kind of volume growth are we expecting, ma'am, only for the full year speaking?

Ekta Soni: So, if you see the capacity utilization was around 63% last year. So, we expect 85% this year.

So, it is the growth of volume. It is around 25%-30%, approx.

Sunil Bhojwani: 25%-30% will be volume growth approximately?

Ekta Soni: Yes, from the last year.

Sunil Bhojwani: From the last year. And ma'am, what about the realization, our current realization and last year realization, do we have that handy?

Ekta Soni: The realization, we already have shared for cocoa butter equivalent, which is \$5,500-\$6,000.

And for the rest of the products, we don't share the pricing details.

Sunil Bhojwani: So, current realization was \$5,500-\$5,600, right?

Ekta Soni: \$5,500-\$6,000 USD, but because it depends on the specifications of the batch. So, that is why we say it in a range.

Sunil Bhojwani: And ma'am, just to follow up, our price realization, our price contracts normally are for how long?

Ekta Soni: Generally, for 9-12 months.

Sunil Bhojwani: And ma'am, do they get affected by the spread of cocoa butter prices in terms of suppose the spread becomes, just hypothetically, ma'am, if the cocoa butter prices and cocoa butter equivalent prices spread become very narrow, so do then price gets revised towards the lower end?

Ekta Soni: No, sir. Once we have finalized the contract and there the volume and the prices are fixed, there is no further, it is not a commodity that cocoa butter prices are \$50,000, for example, we will get that price or that spread. So, the contract, once we have fixed it, the volume and pricing are fixed for that period.

Moderator: Thank you so much, sir. Please come back again for the further question. Thank you.

Sunil Bhojwani: Thank you.

Moderator: Ladies and gentlemen, that was the last question in the interest of the time. I will now hand over the call to the management for the closing remarks.

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Ashish Saraf: I would like to express my gratitude to all participants for taking the time to join us for the Manorama Industries Q2 and H1 FY26 Earnings Conference Call today. Thank you again. The company is reinforcing its reputation as a reliable and leading provider, committed to meeting the gr

owing demand for sustainable cocoa butter equivalents, specialty fats, stearin, butters, and many more value-added products. We aim to remain the preferred supplier of butters for the world, both for our global and domestic customers, through focusing on strong, hard, research and development, expanding our global presence, enhancing our capacity, well supported by robust balance sheet positions. We look forward to your continued support and blessings, and we sincerely from all of us wish you a very Happy and Prosperous Diwali.

Ashok Jain: Thank you.

Ekta Soni: Thank you.

Moderator: Thank you, sir. On behalf of Manorama Industries Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Jan 2026

3 Manorama Industries Limited
KHASRA No. 2449-2618
Nr. IIDC, Birkoni
Mahasamund (C.G.)
Pin: 493445

January 31, 2026

To, To

The Manager The Manager,

Listing Department Listing Department

BSE Limited ("BSE") National Stock Exchange of India Limited

Phiroze Jeejeebhoy Towers, ("NSE")

Dalal Street, Fort, Exchange Plaza, Plot No. C/1, G Block, Bandra-

Mumbai 400 001 Kurla Complex, Bandra (East), Mumbai 400 051

Scrip Code: 541974 Symbol: MANORAMA

ISIN: INEOOVMO01036 ISIN: INEOOVMO01036

Subject: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure

Requirements) Regulations, 2015 - Transcript of Q3 & 9M FY26 Earnings Conference Call held

on Wednesday, January 28, 2026.

Dear Sir/Madam,

In reference to our intimation dated January 22, 2026, and pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we would like to inform you that the Company had organised an Earnings Conference Call with respect to Q3 & 9M FY 26 Results on Wednesday, January 28, 2026 at 05:00 p.m. (IST). A copy of transcript of Q3 & 9M FY 26 earnings conference call is enclosed herewith and the same has also been uploaded on the Company's website at the below mentioned link:

https://manoramagroup.co.in/investors-company-announcements#analyst_meet

This is for your information and records.

Thanking You,

For Manorama Industries Limited

Deepak Sharma

Company Secretary and Compliance Officer

Membership No: A48707

Encl: As Above

Corporate Office: Registered Office:

F-6, Anupam Nagar, = Office No. 701, 7th Floor, Bonanza Building, Raipur-492007, Chhattisgarh, INDIA Certifications: Sahar Plaza Complex, JB Nagar Metro Station

E-mail: info@manoramagroup.co.in FSSC 22000, ISO 9001, ISO 14001, ISO 4500, RSPO, HALAL, Andheri Kurla Road, Andheri East,

Tel.: +91-771-2283071, 2282579, 2282457 KOSHER, FAIRTRADE, ORGANIC, FSSAIL, Mumbai, Maharashtra-400059

Telefax: +91-771-4056958 EcoVadis & Sedex registered and certified. Tel. 022 49743611, 022 67088148

CIN: L15142MH2005PLC243687 A Government of India Recognized Star Export House 'WWW.Mmanoramagroup.co.in

GSTIN: 22AAECM3726CIZI 'GSTIN-27AAECM3726C1ZR.

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"Manorama Industries Limited

Q3 & 9 Months FY '26 Earnings Conference Call"

January 28, 2026

MANAGEMENT : MR. ASHISH SARAF – CHAIRMAN & MANAGING
DIRECTOR – MANORAMA INDUSTRIES LIMITED
M R. DEEP SARAF – DEPUTY CHIEF EXECUTIVE
OFFICER – CHIEF COORDINATOR – MANORAMA
INDUSTRIES LIMITED

M R. KRISHNADATH BHAGGAN – DEPUTY CHIEF
EXECUTIVE OFFICER - BUSINESS DEVELOPMENT &
VICE PRESIDENT , R&D – MANORAMA INDUSTRIES
LIMITED

M R. ASHOK JAIN – DIRECTOR & CHIEF FINANCIAL
OFFICER – MANORAMA INDUSTRIES LIMITED

M RS. EKTA SONI – ASSOCIATE VICE PRESIDENT ,

INVESTOR RELATIONS – MANORAMA INDUSTRIES
LIMITED
M R. DEEPAK SHARMA – COMPANY SECRETARY &
COMPLIANCE OFFICER – MANORAMA INDUSTRIES
LIMITED

MODERATOR : MR. HIRAL KENIYA– E&Y LLP

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Moderator: Ladies and gentlemen, good day, and welcome to Q3 and 9 Months FY '26 Conference Call of Manorama Industries. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Hiral Keniya from EY. Thank you, and over to you, sir.

Hiral Keniya: Thank you, Rudra. Good evening, everyone. On behalf of Manorama Industries Limited, I welcome you all to the company's Q3 & 9M FY '26 Conference Call.

To discuss the performance of the company and to answer your questions, we have with us the management team comprising of Mr. Ashish Saraf, Chairman and Managing Director; Mr. Deep Saraf, Deputy Chief Executive Officer, Chief Coordinator; Dr. Krishnadath Bhaggan, Deputy Chief Executive Officer, Business Development, Vice President - R&D; Mr. Ashok Jain, Director and Chief Financial Officer; Mrs. Ekta Soni, AVP, Investor Relations; and Mr. Deepak Sharma, Company Secretary and Compliance Officer.

Before we proceed this call, I would like to draw your attention to the fact that today's discussion may contain forward-looking statements that are subject to various risks, uncertainties and other factors, which will be beyond management's control. We kindly request to bear in mind that there might be uncertainties when interpreting such statements. Please note that this conference is being recorded. We would now start the session with opening remarks from the management team. Afterwards, we will open the floor for an interactive Q&A session.

I would now hand over the conference call to Mr. Ashish Saraf for his opening remarks. Thank you, and over to you, Sir.

Ashish Saraf: Thank you, Hiral ji. Good evening, everyone, and a warm welcome to the Manorama Industries Limited Earnings Conference Call for Q3 & 9M FY'26. I'm accompanied today on this call by our Director and Chief Financial Officer, Mr. Ashok Jain; our Deputy CEO and Chief Coordinator, Mr. Deep Saraf; our Deputy CEO, Business Development and Vice President, Mr. Krish Bhaggan; our Chief Compliance Officer, Mr. Deepak Sharma; and our Vice President, Investor Relations Mrs. Ekta Soni; and other members of our senior management team.

On the company's behalf, I want to express my gratitude to all our investors, analysts and stakeholders for participating in today's call. We are thankful for your ongoing trust and continued faith in our long-term vision for the company.

I am extraordinarily pleased to share that we continue to sustain our growth momentum in the Q3 and 9M FY'26. We have reported revenues of INR 363 crores, which reflects a remarkable year-on-year growth of 73.3%. This strong performance can be attributed to several key factors, including an enhanced mix of value-added products, the optimized utilization of our newly upgraded fractionation facility and our commitment to operational excellence.

Additionally, we have experienced steady demand for our products from our key customers in the chocolate, confectionery and cosmetic sectors worldwide. In light of these positive

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developments, we are excited to announce that we have upwardly revised our financial year '26 revenue guidance from INR 1,150 crores to INR 1,300 crores. This revision underscores our confidence in our growth trajectory and the strength of our business model.

Our backward integrated model, high-tech R&D, research and development with cutting-edge technology and deep sourcing network and the confidence of our hundreds of customers, create a defensible competitive moat for Manorama. As many of

you know, we operate in a structurally

undersupplied and high-growth exotic niche specialty fats and butters market.

To address the increasing demand for specialty fats and butters, we have plans to boost our existing capacity by 30%. This expansion will increase our capacity to 52,000 metric tons of

fractionation per annum through debottlenecking the existing plants, which we expect to complete by FY26.

Furthermore, I'm pleased to report that we have acquired 19.40 acres of new land adjacent to our existing facility and simultaneously, we have successfully commissioned a new packing plant with the new laboratory building and other infrastructure, all funded through our internal accruals. This strategic investment will enhance our operational capabilities and support our growth initiatives. Looking ahead, to facilitate the next phase of growth, we are structurally planning to enhance the company's capacities in both India and West Africa. We are committing a capital expenditure of INR 460 crores over the next 2 to 3 years for the below projects: - Forward integration through setting up a manufacturing facility for cocoa butter alternatives with 75,000 metric tons per annum capacity.

Setting up a new fractionation manufacturing facility for shea, palm, mango and other exotic seeds with 75,000 metric tons per annum capacity, including ESOS.

Setting up of new refinery manufacturing facility with 90,000 metric tons per annum capacity.

Backward integration to processing factory in Burkina Faso, West Africa, with 90,000 metric tons per annum capacity.

These investments will enable us to expand our production capabilities and meet the growing demand of our markets. At Manorama Industries, we leverage our integrated value chain to ensure margin stability and foster long-term customer loyalty. Our backward integration from procurement to research and development to super critical fractionation provides us with unparalleled control over quality, cost, supply stability and the confidence of our worldwide customers. This strategic approach positions us as a trusted partner for our customers in the chocolate, confectionery and cosmetic industries who highly value us, regard us and honor us. With prudently planned capex, we aim to strengthen our leadership in specialty fats and butter with pricing power, robust growth visibility and high structural advantages, all well-positioned to deliver sustainable growth for our esteemed stakeholders.

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With that, I now hand over the call to our Chief Financial Officer and Director, Mr. Ashok Jain, to take you through the financial and operational highlights for the quarter and the first half of the year. Thank you.

Ashok Jain: Thank you, Ashish, Sir, and good evening, everyone. Let me through the financial performance for the third quarter and 9 months ended December 31, 2025. For 9M FY25-26, Manorama Industries reported revenue of INR 975 crores, delivering a strong 81.3% year-on-year growth. EBITDA for the period stood at INR 265 crores with margin of 27.2%, while profit after tax was INR 174 crores translating into a margin of 17.8%. This improvement in profitability reflects our commitment to optimizing our product mix, enhancing capacity utilization and implementing disciplined cost control measures.

For the Q3 FY '26, revenue stood at INR 363 crores, while EBITDA came at INR 98 crores with a margin of 27.1%. Profit after tax for the quarter was INR 68 crores, reflecting a margin of 18.8%. This result highlights our ability to maintain strong operational performance despite ongoing capacity expansion and seasonal fluctuation in the business.

With robust business fundamentals, expanding customer relationship and continuous operational improvements, we are very confident in our ability to sustain our growth momentum and achieve our revenue guidance for the FY 25-'26'.

That conclu

des my remarks. We would now be happy to take your questions.

Moderator: Thank you very much. We will now begin the question and answer session. Anyone who wishes to ask question may press star and one from your touch tone telephone. If you wish to remove yourself from the question queue, you may press star and two. Participants are requested to use handset while asking the question. Ladies and Gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Jeevan P. from Sahasrar Capital. Please go ahead.

Jeevan P.: Congratulations to entire Manorama team for a wonderful set of numbers. I just want to understand one thing about the capex. So, we have announced INR 460 crores capex. So I have seen the capacity 75,000 tons for CBA and 75,000 tons capacity for fractionation.

So just wanted to understand, if you can just explain how is it? Like current capacity is 40,000 tons, which is going to increase by 52,000 tons by end of this March. So this fractionation capacity will be enhanced by further 75,000 tons or how is it?

Ekta Soni: Yes, sir. The question is related to the capex. So the capex plan, what we have announced is related to the fractionation capacity, which is more related to our product, which is called ESOS and our other exotic seeds in the line.

So that particular capacity of fractionation will be used for making ESOS product and also the

HPMF, which we're going to use and blend it with our existing stearin component and going forward ESOS component to make a better and value-enhanced product. So that particular fractionation capacity of 75,000 tons is with respect to the project of ESOS, which we have announced for 75,000 tons. So those both capacities are related to each other.

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Jeevan P.: Okay. And what is ESOS.

Ekta Soni: ESOS is a process where we are going to convert our soft fractions like Olein and other soft oils into a hard fraction, which is called ESOS, enzymatic stearin-oleic-stearic. That will be further be used as a different application in the food sector and will be further blended with HPMF, which is called hard palm mid fraction, and it will become a CBE component thereafter, which has a wider application and usage in the food industry. So that enhanced capacity will be of around 75,000 metric tons. So overall, we are going to increase our CBE output capacity with this ESOS and SF fractionation.

Jeevan P.: Okay. Understood. And the pricing will be similar to CBE pricing for this?

Ekta Soni: Yes. So the pricing are somewhere similar to the cocoa butter equivalent and the existing fat and butter prices of our product, existing model. So only the raw material will be different. So the raw material will be there will be the soft fractions like the existing olein we manufacture and some other commodities oil that we can use in the process of making ESOS.

Jeevan P.: Okay. Got it, Thanks alot.

Moderator: Our next question is from the line of Shrenik Mehta from IndoAlps Wealth. Please go ahead.

Shrenik Mehta: Just some very quick questions. So I see that you have a much higher growth in the cost of goods sold, which is the raw material versus the growth in sales. So that is leading to a significant shrinkage of the gross margins, almost 8% down versus the previous quarter. So is this some one-off kind of a cost? Are you seeing some increase in the raw material cost? What's really happening here?

Ekta Soni: So Sir, with respect to the GP margin, we have always been shared that, that remains in the range of 45% to 50%, owing to the freight costs and there are some other byproduct realization. So it happens to be in the range of 45% to 50%. So you can consider that range in the model in your assumptions and calculations.

Shrenik Mehta: Okay. This quarter, it is down to 44.3% and the last quarter, it was 52.8%?

Ekta Soni: It is a range bound bec

ause there are a lot of situations with respect to freight costs and our byproduct realization. It doesn't impact our EBITDA margin or PAT margin that way. But the gross margins are in the range bound of 45% to 50%.

Shrenik Mehta: Okay. So this doesn't trigger any changes in the price. This is just a normal raw material fluctuation in the cost?

Ekta Soni: Right. Yes, sir.

Shrenik Mehta: Okay. And you have a major plan right now for increase in the capacities. So this capacity increase would possibly take care of the revolutionary growth that you're getting for next at least 2 more years or how do you see this panning?

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Ekta Soni: So sir, this capital expenditure, whatever the plan we have for this capex, it is happening in a phased manner. And all our investments are going to be deployed over the next 2 to 3 years, which aligns our strategy. So the growth we are targeting is for the next 4 to 5 years because our existing capacities will give you the growth for the next 1-odd year. and this capacity will give you a growth for next 2 to 3 years. So overall, we have a plan and visibility with this capex for the next 4 to 5 years of growth.

Shrenik Mehta: Excellent. Okay. And most of this funding for the capex is through internal accruals, I assume?

Ekta Soni: Yes. So we are primarily relying on our internal cash accruals, which are very strong and sufficient enough to support our planned projects over the next 2 to 3 years. And we already have begun deploying these funds. We already have spent INR 52-odd crores towards this capex plan, and we intend to continue doing so. But any external kind of financing could be considered selectively, if necessary, but we intend to do all through our internal accruals.

Shrenik Mehta: Thank you for excellent performance from Manorama Industries. Thank you to team.

Moderator: Our next question is from the line of Kumar Saumya from Ambit Capital. Please go ahead.

Kumar Saumya: Sir, I have a couple of questions. Firstly, on the revenue growth side, we have seen 81% growth on the 9-month year-on-year. If you could help me breakout in terms of...

Moderator: Sorry to interrupt your audio is not clear.

Kumar Saumya: Okay, I'll come back in the queue.

Moderator: Our next question is from the line of Rohan Mehta from Ficom Family Office.

Rohan Mehta: Thank you so much for the opportunity and congratulations on a great set of numbers. So firstly, I wanted to clarify in your press release, the forward integration project that you have mentioned for cocoa butter alternatives, this is essentially the fractionation capacity we are talking about. Is it true?

Ekta Soni: Yes. So if you see the project, so there are four projects which we have mentioned. So out of four projects, one is which is related to Burkina Faso project, which is going to come in Africa, that is a backward integration project.

The rest of the three projects, which is related to solvent fractionation capacity of 75,000 tons and also the ESOP CBA capacity of 75,000 tons and refinery of 90,000 tons are in a similar line of production, which is related to a forward integration plan of the company.

Rohan Mehta: Okay. So in terms of the pricing for cocoa butter alternatives compared to stearin and CBE, how does that compare? Is this margin dilutive? Can you give some thoughts on that?

Ekta Soni: So the products which we are going to come, of course, they are not going to be a margin dilutive thing. Of course, we are looking for the same sustainable margin level what we have currently in our business, even we are looking for a better level. But the margins are going to be maintained with the new projects coming up with those products also.

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Rohan Mehta: Okay. And purely just isolating for the fractionation capacity of 75,000 tons, what would be roughly a broad range of

cost that you're looking at right now and the asset turns that you're looking to generate from this?

Ekta Soni: So if I want to bifurcate out of our capex plan of INR 450 crores, so approximately INR 300 crores to INR 330 crores would be attributed to this forward integration projects, which we are targeting an asset turnover of more than five with our investments.

Rohan Mehta: Okay. And my final question is on your working capital needs. So incrementally, after taking into account even the backward integration projects, what sort of working capital needs will you require going forward?

Ekta Soni: Sorry, can you repeat the question?

Rohan Mehta: Yes. So my question is on working capital requirement. So after conducting the backward integration projects and once the forward integration project of cocoa butter alternatives comes online, how much incremental working capital requirement do you foresee?

Ekta Soni: So for those projects which we are coming up, the working capital would be around 1 or the 2 months of the cycle because those for forward integration because those raw materials are very different, which is not related to current raw material of the products. So those raw materials could be the captive consumption of our only and maybe some other soft oil, which we can have imported from some other sources.

So those working capital cycle will be much, much lesser compared to our existing business model, which is existingly, which is around 5 to 6 months. So that will be around 1 to 3 months of working capital, which we will be required for that business, that project.

Rohan Mehta: 1 to 3 months?

Ekta Soni: Yes, 1 to 2 months.

Rohan Mehta: Got it. Thank you so much.

Moderator: Thank you. Our next question is from the line of Sanjay Manyal from DAM Capital. Please go ahead.

Sanjay Manyal: Congratulations on a good set of numbers. My two questions. One is 73% kind of a revenue growth. What would be the volume growth over here and what would be the pricing growth?

That's my first question?

Ekta Soni: So you are talking 73% on Y-on-Y basis, right?

Sanjay Manyal: Yes, 73% Y-o-Y basis.

Ekta Soni: So in the 9 months that it's more related, the growth would be around 65%-odd from the volume growth and the rest would be the inflation adding growth with respect to the pricing. So we have

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utilized our capacity, which we have commenced last year of 25,000 tons. So that attributes mainly to our growth in this number.

Sanjay Manyal: And also give me -- at what price we are doing incremental volumes at what price we are locking our cocoa butter equivalent. At what price we are locking a cocoa butter equivalent for the future

contracts?

Ekta Soni: So that is one product, sir, which is there in the portfolio and we are locking in the same prices what we have been locking in the past.

Sanjay Manyal: Okay. And one last on the employee expense front. I think during the quarter, it seems the employee expense has been down by 23%. What could be the reason for that?

Ekta Soni: 23%?

Sanjay Manyal: That seems what I could...

Ashok Jain: It was the ESOP provision. So we have completed our -- we have granted the ESOP to the employees. And now it is not required to make the provision for the ESOP.

Sanjay Manyal: Okay. Fine. That's all from my side. Thanks.

Moderator: Thank you. Our next question is from the line of Koushik Mohan from Ashika Group. Please go ahead.

Koushik Mohan: Congrats on the good set of numbers, sir. I just wanted to understand like towards INR 460 crores of capacity that we are putting up, right, in that, how much currently from this year balance sheet that we can do an internal accrual?

Ekta Soni: So we have plans. We already have invested around INR 50-odd crores towards capex, buying the land and building, packing and other supporting infrastructure. We plan to invest approximately INR 70 to 80 crores

in this financial year to build capex. And in the next financial year, we are planning to spend around INR 100 to 150 crores towards our capex plan of the project.

Koushik Mohan: Okay. So with this capex, ma'am in the previous call, you told that we can do 5x on asset turns. So can we assume safely INR 2,000 crores on the top line can be added with this capex over the next 3 years?

Ekta Soni: Yes. So in terms of the asset turn, we expect it to be more than 5x. So if the calculation comes exactly what you have said right now.

Koushik Mohan: Okay. And currently, what is our capacity utilization for 40,000 metric tons that we have?

Ekta Soni: It is around 85% capacity utilization for our plant combined.

Koushik Mohan: Okay. So 1 year more growth is left out in sense. Are we also considering the recent 12,000 metric tons addition that is 52,000 metric tons, 52,000 for next year?

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Ekta Soni: We are already increasing our throughput approximately by 30% through debottlenecking. So that will cater to the growth for the next odd years and the next 2 years, you can say. So we have good room for the growth for the next 2 years. And with the capex coming in, we see a very good growth overall for the next 4 to 5 years.

Koushik Mohan: Okay. Ma'am lot of people in the industry like will be saying that cocoa prices are going down from the last 2 years and all. So how are we differentiating ourselves from the cocoa prices like can you just explain that because our margins are maintained, our numbers are maintained and we are on the growth phase and we are doing fantastic numbers. So can you just give that bifurcation that why are we not related to cocoa prices?

Ekta Soni: So sir, our performance should answer that, as you have rightly said that we are doing good performance despite cocoa butter prices volatility. But I can explain you the technicality and how our product is not related to cocoa butter per se, recycling moving and everything. Our CBE fats and butters are developed through specialized fat blending and fractionation.

It has advanced formulation and R&D expertise, which is there to make functional fats based on our customer application. So hence, our prices are not directly related to any commodity cycles. So we are manufacturers of cocoa butter equivalent, which is a more technology and formulation-driven business, not a commodity business. And hence, we are like more solution-oriented rather than a commodity-linked business.

And our customer relations are more application-specific and technical. So once we have developed the product with our clients for their formulation, so the customer happens to be there for a longer term. So overnight changes in any of the commodity cycle will not hamper our demand or pricing model for our business because our raw material base is very different than cocoa butter raw material.

So that will be volatile because that is a commodity and our raw material prices are sustained because we are not a commodity business. We are doing a very niche, manufacturing a very niche technical product for our customers.

Kaushik Mohan: What is the average volume prices that we are selling now? Is it around the range of INR 550 something around? Is that right?

Ekta Soni: So it is in the same range what we have been selling to our customers. So we are doing cost plus margin basis business model. So our product prices are similar.

Kaushik Mohan: Thank you.

Moderator: Thank you. Our next question is from the line of Ninad Sarpotdar from Aditya Birla Money. Please go ahead.

Ninad Sarpotdar: Congratulations on a good set of numbers. Just two-three questions. First, that did we do any volumes from the upgraded facility and any volumes from the Dekel Group in these quarters?

Ekta Soni: So sorry, you need volume numbers for what?

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Ninad Sarpotdar: I mean I just wanted to understand that has the new upgraded facility of 12,000 metric tons and the JV with the Dekel Group has any contributions to the top line in current quarter?

Ekta Soni: So that upgraded 12,000 capacity it's currently in the process. So that facility expanded capacity will be available from the Q1 onwards to the company. And yes, we have also started our batches with Dekel and we are in the process of doing that.

Ninad Sarpotdar: So during current quarter, no contribution from that as such, right?

Ashok Jain: Yes. Dekel, we have started the revenue from it.

Ekta Soni: So we have minor contribution, which is there from the Dekel as we have just started our ramp-up with them.

Ninad Sarpotdar: Okay. And my second question is, so you have planned a lot of new capex and backward integration projects. So on the margins front, you have been guiding on a very conservative basis of around 25 percentage. But can we see these margins stabilizing or becoming the new normal or any more accretion from new product lines that you are launching, maybe the cocoa butter alternatives and the PMF backward integration and the Burkina Faso projects?

Ekta Soni: See, sir, we believe that the current margin, which is around 25% to 27%, which we always share and guide in the range happens to be on a sustainable mode. But of course, we are in the trajectory to improve over the medium term and in the longer term because there are multi-level strategies.

We are coming up with projects, which is related to forward and backward that should really help in improving the margins, and we are working for that. But you can take the current margins, for example, as a more sustainable level. And as far as the business, we are working we are doing everything for that.

Ninad Sarpotdar: Okay. Got it. Just one last question, just needed some clarity on my understanding that the new 75,000 MTPA of CBA facility is the new product that you were talking about with a lower working capital cycle. And the 75,000 MTPA of solvent fractionation is in line with the existing 52,000 -- I mean, the similar technology and similar kind of output facility, right?

Ekta Soni: So that 75,000 is related to the new product of CBA, which is ESOS and the other products what we have mentioned in the project details. So both the capacities are for each other. It's not related to the existing project.

Ninad Sarpotdar: So both are new?

Ekta Soni: Yes. So those will be the new products coming out of both assets, the new solvent fractionation capacity and the ESOS one. So both the projects are related to each other in terms of capacity and output.

Ninad Sarpotdar: So just to get clarity, it's not fungible. It's a completely different line, right?

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Ekta Soni: No, it is fungible. Of course, we can run any exotic seed in that dedicated new solvent fractionation capacity, but that will be more used for the new 75,000 CBA capacity, which we have announced.

Ninad Sarpotdar: Okay, got it. Thanks.

Moderator: Thank you. Our next question is from the line of Rehan Saiyyed from Trinetra Asset Managers. Please go ahead.

Rehan Saiyyed: Thank you for the opportunity. So my first question is around, like, I wanted an understanding regarding cocoa butter...

Moderator: Sorry to interrupt, you're not clear.

Rehan Saiyyed: Okay, may I repeat my question again?

Moderator: Yes, but I request you to be a little more clear.

Rehan Saiyyed: I want some understanding regarding the CBA specialty that you have put it now. So you have done forward integration toward 75,000 tons per annum for cocoa butter alternative. So how does the margin profile in competitive landscape for CBA differs from your CBE. And do you intend to target as the same for Fortune 500 client base with this product?

Ekta Soni: The clients in the market for CBA products are also same. It is going to

be used in the food

sector. It could be in chocolate, it could be in confectionery, it could be in other HoReCa kind of a market. So the applications of both the products are similar only into the food sector, and we will have good margins in that product line also as we are doing in the current business model.

Rehan Saiyyed: Okay. And my second question is around your Dekel partnership in Brazil that you have done. The first commercial production that has the Dekel partnership in Brazil was in quarter 3 FY '23. So could you provide a road map for the expected revenue contribution from this partnership in FY '27? And what are the logistical advantages of manufacturing in Brazil versus exporting from Raipur plant?

Ekta Soni: So the advantage is more related that we will have a geographical presence in that region because LatAm being the huge market and is the biggest consumption for this. So the advantage is more for being the local presence there and cater to all customers, not just the top 5, top 6 customers in the world. So the idea is that to be there, and it will help in a lot of facilities and everything. Also the idea of getting into the projects like CBA or Solvent fractionation 3 is to increase the output product of stearin or the hard fat, which we already make. So overall, if you see the capacity or the projects which we are coming up with is related to the hard fat only. So we are going to have a very diversified raw material base in those projects. We can also use our olein as a captive consumption to make the stearin and the cocoa butter equivalent.

So the overall idea to have that project is to make more and more production of the stearin-based fats and more cocoa butter equivalent, which has a wider application and different usage in the Manorama Industries Limited
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industry as well. So that is going to increase the output of our production capacity of stearin and CBE.

Rehan Saiyyed: That's it from my side. Thank you.

Moderator: Thank you. Our next question is from the line of Akhil Parekh from B&K Securities. Please go ahead.

Akhil Parekh: Thanks for the opportunity. Many congratulations on a good set of numbers. My first question is just a clarity, right, on the margin front, the gross profit per kg is the right metric or margin is the right metric to evaluate our business. I believe that in one of the questions when you replied, you said you work on a cost per basis model. So GP per kg would be the right number to look at, right, rather than gross margin?

Ekta Soni: EBITDA level.

Akhil Parekh: EBITDA per kg?

Ashok Jain: Yes, we see the overall as a whole business EBITDA. So you can take the EBITDA which is a sustainable margin.

Akhil Parekh: No, I got it. But is it the per kg which is the number which we should look at? Margins may fluctuate, right, I believe because we are in a processing business and because of the fluctuation in the raw material, the GP margins can fluctuate and EBITDA margins can accordingly fluctuate and hence, per kg is the right metric. That's my understanding. I mean please clarify if I'm wrong.

Ekta Soni: At EBITDA level, we have actually maintained our margins. So that fluctuation is not on the EBITDA part. So you can take EBITDA margin on a per ton basis.

Akhil Parekh: Okay. Yes. So per ton-wise, how it does vary on a Y-o-Y basis, EBITDA per ton?

Ekta Soni: Because we deal with the different raw materials and there are different yield and parity of individual feeds, so there is no that calculation, because we see on a blended level basis. For you to take that assumption will not get you on the right calculation because there are different raw materials we deal with and there are different yields and different products and different parity also for all those seeds, we do. So on a blending level, you can see that particular margin on the business level.

Akhil Parekh: Sure. Second

question on the capex front, INR 460 crores, of which almost everything will be on internal accrual basis or where we will need to raise some capital?

Ekta Soni: So, sir there are no immediate plans, you know, to look for capital external financing, be it debt or be it equity. We are more relying on our internal accruals because we have good cash accruals, and we are going to be have one. So -- but the options, we will look when the time is going to be right. But as of now, there are no immediate plans for external funding.

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Akhil Parekh: Sure. And just last two more questions. One is on the other income part, right? There is a sharp

jump in other income in 3Q. Any specific reasons for that?

Ashok Jain: This was the forex gain loss on the import side, which we have imported our shea nuts and other butters in the last quarter. And we mentioned this is a difference of what we have paid and what we have goods when reached India. So there is a forex gain loss on the import side majorly.

Akhil Parekh: It's more of an inventory gain, is that understanding?

Ashok Jain: Yes, you can say, it is a part of forex. It is not what we have paid and what we have booked for as a purchase. So, there is a difference of the total.

Akhil Parekh: On the forex side, you said. Sorry, I lost...

Ashok Jain: Yes, forex side, sir.

Akhil Parekh: Okay. Got it, got. And lastly, on the value-added product contribution, if you can give that number for the third quarter.

Ekta Soni: Value-added portion to sales is around 75%, which is like includes our value-added products like the stearin and the cocoa butter equivalent.

Akhil Parekh: Okay. 75%?

Ekta Soni: 75% to sales approximately.

Akhil Parekh: Got it. That's all from my side and best wishes for coming quarters.

Ekta Soni: Thank you, Sir.

Moderator: Thank you. Our next question is from the line of Kumar Saumya from Ambit Capital. Please go ahead.

Kumar Saumya: So, Ekta, my first question is on the capacity expansion side. When you say refinery capacity for expansion of 90,000 tons, does it mean the existing 45,000 tons of refinery goes up by 90,000 tons?

Ekta Soni: No, that will be the additional 90,000 MTPA capacity, Kumar. So beyond 55,000 MTPA capacity, we are going to add 300 metric tons per day capacity in the refinery. Which will be linked to our new capacity expansion of 75,000 tons of fractionation and ESOS.

Kumar Saumya: Okay. Got it. So this refinery used to feed the 75,000 MTPA expansion that you have?

Ekta Soni: And other specialty products. So that will help in that.

Kumar Saumya: And should one look at the 75,000 MTPA capacity separately? Or is it fungible? Like if I'm looking at 52,000 tons fractionation today or by the end of this year, so that will add another 75,000 ton over it or 150,000 tons over it?

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Ekta Soni: So see, you need to understand that 75,000 MTPA of both CBE and SF3 is one plant, if you can say. So that the capacity and the production of stearin, of course, is going to increase accordingly.

So it will be beyond 52,000 tons, we are adding 75,000 capacity. So that will only help in production of the stearin and the CBEs accordingly. The production is for the same product through different process.

Kumar Saumya: Okay. So we should look at it as a way, like 75,000 MTPA additional is coming, either you can make CBA or CBE?

Ekta Soni: That is right, the way to say.

Kumar Saumya: And yield is same, either we make CBA or CBE, the yield will be same?

Ekta Soni: Yes, it would be slightly better in that process.

Kumar Saumya: Got it. Got it. And, Ekta, in your initial question, you said the 81% growth in the 9 months is driven by 65% growth in volume and 15%, 16% on value. Did I get it right?

Ekta Soni: No, sir, I guess the 73% is the Y-o-Y growth, if I'm not wrong.

Kumar Saumya: Okay. No, I was look

ing from a 9-month perspective.

Ashok Jain: Sir, 9 months is 73%.

Ekta Soni: 73%.

Ashok Jain: Out of the 73%, 90% is the volume growth. Rest is inflation and other entities.

Kumar Saumya: Okay. Got it. And sir on the working capital side where are we currently?

Ashok Jain: Currently, working capital cycle is 120 days.

Kumar Saumya: 120 days on sales or cost?

Ashok Jain: On sales.

Kumar Saumya: Okay. And this was compared to H1 levels of roughly 200 days, right?

Ashok Jain: H1 was around 150, 160 days.

Ekta Soni: Working capital days was 95.

Ashok Jain: And currently, working capital cycle is 120 days. The H1 was 90 days.

Kumar Saumya: H1 was 90 days. Got it. And lastly, sir, on the Mexico plant, what would be the volume that you're looking for this year?

Ashok Jain: More than 2,000 tons, we hope that this year will be delivered approximate.

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Kumar Singh: More than 2,000 tons from there. And sir, lastly, on the 9-month number, what would be the CBE contribution?

Ekta Soni: CBE contribution to sales is around 30%.

Kumar Saumya: 30%? Got it. Thank you.

Ashok Jain: Together around approximate 75% value-added product. Approximate.

Kumar Saumya: 75% is value-added, CBE is 30%.

Ashok Jain: CBE is 30%.

Kumar Saumya: Got it. Thank you.

Moderator: Thank you. Our next question is from the line of Aashish Uppanlawar from InvesQ PMS. Please go ahead.

Aashish Uppanlawar: Yes. Thank you so much for this opportunity. Ma'am, I'm looking at your company for the first time in so much detail. Just wanted to understand from you on the working capital side because in the last year published balance sheet, I could see that cash conversion cycle of the core operating -- core working capital, which is debtors, inventory and payables, that was around 500-odd days of sales. So what is the other part which you're saying has come down to 125 days on the working capital net basis now. So that is what I wanted to understand.

Ekta Soni: So, Sir, which year's balance sheet or financial year you are referring?

Aashish Uppanlawar: This is March '25 on screener, I could see that the core working capital is around 500.

Ashok Jain: On balance date, but you should take as an average inventory days because we procured the raw material for 20 days for the whole year. So at the end of the balance sheet it's seem high, but the average is still around 150 days, 160 days, 90 days because once we bought the inventory, it is gradually monthly reduce the inventory level. So we keep around 150 days inventory as you can take it.

Aashish Uppanlawar: Okay. On a regular basis, you're saying 150 days of inventory is there already?

Ashok Jain: Yes. Inventory and other things reduce.

Aashish Uppanlawar: Okay. So on net basis it comes to about 125 days...

Ashok Jain: Right now 120 days because sir the inventory which is at the end of balance sheet comes to revenue next year.

Aashish Uppanlawar: And you mentioned something that the working capital cycle would further improve because of the new product, is it new product that you...

Ashok Jain: Yes.

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Aashish Uppanlawar: So how is it likely to move maybe over the next couple of years?

Ashok Jain: So you can take 90 to 100 days working capital cycle days going forward after this new capacity, it will be reduced around 10, 20 days more. So 2 to 3 months we required the inventory approximately.

Aashish Uppanlawar: Okay. And lastly, I mean, since it's a brief call your margins, I mean, if I look at history, it's gone from 25%, 28%. Again, it came down to 15%. And now it's again -- I mean, over years, it's come down to again, 25%, 27%. So is there a cycle like that or because you mentioned that these margins are sustainable. So what is the change that has happened all these years?

Ekta Soni: So because the new -- we have come up with our new capex

line in the last year 2024 July. And

the utilization has come up well from the plant and that's why we can see the better margins. Also, we have improved the product mix. We have improved the share of value-added products. And because of the operational excellences and the economic leverage, we can report a very good margins. Those margins, which was related to a couple of years back, which was around 16%, 17%. So that was on a low utilization basis, which was there and we were coming up with a new project. So the margins which we are reporting now are sustainable on that level of 25% to 27%.

Aashish Uppanlawar: Sure. Thank you so much. I will take it in detail maybe one-on-one meeting maybe some time. Thank you so much.

Ekta Soni: Thank you, sir.

Moderator: Thank you. Our next question is from the line of Jainam Doshi from Kriis PMS. Please go ahead.

Jainam Doshi: Congratulations on an excellent set of numbers. I just wanted to understand like the price of cocoa has corrected by 60% in a year. And I'm aware that we are like not directly related to the commodity. But if the price of cocoa has come down, is it necessary for the price of cocoa butter itself as a commodity per se to come down in the same proportion or does the metrics work other way?

Ekta Soni: So you're asking for cocoa butter or cocoa butter equivalent?

Jainam Doshi: For the cocoa butter?

Ekta Soni: So that is a commodity that is linked to cocoa beans and it will act accordingly. We can tell you for cocoa butter equivalent.

Jainam Doshi: So if you could throw some light on the cocoa butter equivalents also, then that would be helpful?

Ekta Soni: Yes. Though, we are maintaining our prices because it had gone to \$25,000, \$30,000 of cocoa butter price at one point during the last 2 years. But our prices were still sustainable because we were doing a cost plus margin basis model. And today also it is the same. We are doing that particular model only for our products and also for cocoa butter equivalent. So there is that no impact on our pricing model, whether the commodity prices are getting increasing or reducing.

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Jainam Doshi: Okay. Got it. So next would be like the EU deforestation rules that have been like postponed until December 2026. So like does it have any impact on our sourcing of raw materials or is it only pertaining to the cocoa?

Ekta Soni: So that is only related to, I guess, cocoa because that regulation applies for cocoa beans, I guess. So there is nothing which is there for our raw material base we are like buying from the forest. It is not a farm product or a crop product, which we are buying. So -and we are not cutting trees and buying our thing. It's a forest wasted products what we are buying from the deepest forest of India and West Africa. So hence, there is no impact of that regulation in our business.

Jainam Doshi: Right. Got it. So the current mix of value-added products, as you mentioned is around 75%. So how do we see this mix inching up like in next 1 or 2 years going ahead?

Ekta Soni: So we intend to do approximately 85%, 90% of our sales with respect to value-added going forward, our core products, the soft fats, which is also going to be converted into a value-added product. So the idea and the intent approximately to do 90%, 95% of the business towards value-added product.

Jainam Doshi: Okay. And with the total capacities coming on stream in next 3, 4 years, do we see like clocking a revenue of around INR 4,500 crores, INR 5,000 crores based on the capex and the turns which we have launched?

Ekta Soni: So the asset turn, what we have said is right for the project which we have announced forward related integration project and we can see a very good growth going forward for the next 5 years. So this capex will suffice our growth for the next 5 years. So you can have that calculation accordingly.

Jainam Doshi: Okay

. Got it. Thank you. All the best.

Moderator: Thank you. Our next question is from the line of Darshil Jhaveri from Crown Capital. Please go ahead.

Darshil Jhaveri: Hello. Good evening. Thank you so much for taking my question. Firstly, congratulations on a great set of results. Hopefully, I'm audible.

Ekta Soni: Yes, sir.

Darshil Jhaveri: Yes. Hi, sir. So I just wanted to ask in regards to like our capex, our capex is going to come in phased manner online. So will it come like in FY '28 or how will it come online in first place?

Ekta Soni: Yes. So there are four projects which will be commencing in a phased manner. So we intend to commence all our production capacity approximately by the financial year FY'28. So over the next 2 odd years, 3 years, all the capacity will be commenced. And as and when the capacity starts getting commercialized, we are going to update you on that particular capacity.

Darshil Jhaveri: Okay. So ma'am, in FY'27, that is the next year, whatever revenue growth we can have is from the debottlenecking, right? So any kind of guidance that we can give for what FY '27 can be in

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terms of revenue because there will be a 30% increase in capacity, right? So can we assume a commensurate increase in revenue?

Ekta Soni: We, of course, are having good growth with respect to the capacity and we will have ample of room 30% in the new capacity, 15% still available in the existing capacity. So almost 40% to 45% growth is still there to be done in the next 1 or 2 years. So we are looking for, again, a good number for the coming year as well for a good growth.

Darshil Jhaveri: Can we quantify it like in a percentage range term also, that would also be okay?

Ekta Soni: So you can take approximately range on and above 30% that should come.

Ashok Jain: We will update you on that.

Darshil Jhaveri: Okay. Fair enough. Fair enough, ma'am. And the capex would be like, as you said, FY'28, so that will be first phase, second phase or like how would it be like full might we get completed

by FY'28, '29, right? Like that would be -- if we could have some more detail on that, like how much would Phase 1 be kind of like?

Ekta Soni: So Phase 1 manner would be -- we have started doing our projects in West Africa, and we have bought land here in India. We have identified land in Burkina Faso, and we are already in the verge of ordering all the equipment and related things for all the capacities. So all will go simultaneously parallelly each other. So we can have the capacities coming and rolling maybe next 1, 1.5 years, we can have 1, 2 capacities ready and maybe in the next 2 or 3 years, we can have all our capacities ready.

Darshil Jhaveri: Okay. Fair enough. Thank you so much. That's it from side. All the best.

Ekta Soni: Thank you.

Moderator: Our next question is from the line of Janhvi Shah from Share India. Please go ahead.

Janhvi Shah: By the way, congratulations on the good set of numbers. I had a bit of technical questions on the capex that you announced. I didn't understand as to exactly where does this solvent fractionation plant sit and same with this CBE one. Is it helpful for the existing plant? I understand this is entirely a new product that we are launching. And for that, we need this. So is either of these useful in the already CBE in the plant that we already have?

Ekta Soni: Is a total new capacity. We actually have sufficient capacity for an existing facility of 52,000 tons. So all the new capacities or the projects which we have announced is for the new product and production of our stearin fats and cocoa butter equivalent specialty fats and butters. So that kind of production.

Janhvi Shah: And how is CBA different from CBE first? And second, for these 2 plants, our raw materials are going to be different. You mentioned that. How are they different? Like we are converting soft fat to hard fat.

So we'll use the only that we are already produced and maybe we'll get some more from elsewhere. But at the same time...

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Ekta Soni: Yes, that is right. So we are going to do a captive consumption of our olein product as well, as well as along with our olein product, we can also have some soft fraction being quoted through other sources. So the idea of that CBE is to have a diversified raw material base and the products, which can be offered to all our clients because it has got the same applications and acceptability of the product in the food market, and it has also got a huge demand.

So that is why we have diversified our raw material base and the working capital also will be reduced significantly in that particular business, because we are going to use the captive consumption of our olein and as well as some of the soft fractions through some other sources.

Janhvi Shah: Okay. So for this, we wouldn't need the refinery or the first 2, 3 stages. We just require the solvent fractionation. We'll get the only put that and we will get the hard part out.

Ekta Soni: Yes. So we will need the CBA facility. We will need the fractionation and we will need the refinery. So we will not be needing the selling and the extraction facility in this.

Janhvi Shah: And that's why the cycle is lower.

Ekta Soni: Yes.

Janhvi Shah: Okay. And so like right now, we are at a capacity of 52,000 MTPA at the end of the year. We are looking at a capacity for CBE at 75,000 MTPA, which will come online, I think, in the next 2 to 3 years. Do we have that demand from the market?

Ekta Soni: Yes, of course, we have that demand visibility for the products because there is a huge demand supply gap in the current industry for the products which we are manufacturing because all these products are very niche and the applications are very formulated and solution based on the customer applications. So of course, like we have been expanding more than 10 times we have expanded in the past.

And because of the demand only and because of the visibility only, we have been expanding. And these projects we have taken keeping that in the sense also that will help us diversify the raw material base and have a better product portfolio in the basket of Manorama.

Janhvi Shah: Thank you so much. And sorry, just one last question. Any of these projects will have like a margin implication for us, it will improve our margins?

Ekta Soni: Yes, of course, that is the reason we are taking all these steps towards increasing and our margin trajectory.

Janhvi Shah: Any guidance for the same?

Ekta Soni: You should take current as a sustainable margin. So any improvement we are going to guide you further. So we'll be there every quarter. So we'll be communicating to you quarter wise only.

Janhvi Shah: Thank you so much.

Ekta Soni: Thank you.

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Moderator: Ladies and gentlemen, due to time constraint, we take that as a last question. I would now like to hand the conference over to the management for closing comments.

Ashish Saraf: I sincerely thank all the participants for joining us for the Manorama Industries Q3 and 9M FY'26 Earnings Conference Call. Our company is strengthening its reputation as a trustworthy and leading provider dedicated to addressing the increasing demand for sustainable cocoa butter equivalent, cocoa butter alternatives, specialty fats, stearin and butters for the whole world. Business is business. Business always has risks, and we are trying with a sustainable way to overcome all the challenges being thrown at us.

We strive to be the preferred supplier of specialty fats and butters, for both our global and domestic customers by focusing on research and development cutting-edge technology, and expanding our international presence and national presence by enhancing our capacity, backed by a

strong balance sheet. I thank all our stakeholders and everybody for reposing their faith on us, and they are giving us their trust and considering us for their presence. Thank you. Thank you very much.

Moderator: Thank you. On behalf of Manorama Industries Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2026

May 16, 2025

To,

The Manager

Listing Department

BSE Limited ("BSE")

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Symbol: MANORAMA

ISIN: INEOOYMO01036 Manorama

Industries Limited

KHASRA No. - 2449-2610,

Parswani Road, Near

Birkoni Industrial Area,

Mahasamund (C.G.)- 493445

National Stock Exchange of India Limited ("NSE")

Subject: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of Q4 & F.Y. 2025-2026 Results Earnings

Conference Call held on Tuesday, May 12, 2026.

Dear Sir/Madam,

In reference to our intimation dated May 06, 2026, and pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we would like to inform you that the Company had organised an Earnings Conference Call with respect to Q4 & F.Y. 2025-2026 Results on Tuesday, May 12, 2026 at 01:00 P.M. (IST).

A copy of transcript of Q4 & F.Y. 2025-2026 earnings conference call is enclosed herewith and the same has also been uploaded on the Company's website at https://manoramagroup.co.in/investors-company-announcements#analyst_meet

This is for your information and records.

Thanking You,

For Manorama Industries Limited /- -

Deepak Sharma

Company Secretary and Compliance Officer

Membership No: A48707 ¥

Corporate Office:

F-6, Anupam Nagar, Raipur-492007, Chhattisgarh, India

E-mail: info@manoramagroup.co.in Tel.: +91-771-2283071, 2282457

Telefax: +91-771-4056958 CIN: L15142MH2005PLC243687 GSTIN: 22AAECM3726C1Z1 Certifications:

TS0 9001, ISO 14001 & ISO 45001, Certified Company Manufacturing & Supplying different products

Certified for RSPO, Kosher, Halal (MUI), EcoVadis Committed badge certified & Sedex SMETA 4-Pillar Certified A

Government of India Recognized Star Export House

MSME ZED GOLD Registered Office:

701,7th Floor, Bonanza Building,

Sahar Plaza, Complex

Andheri Kurla Road, Andheri 'Mumbai-400059, Maharashtra, India

Tel. 02249743611, 02267088148 WWW.manoramagroup.co.in

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MANORAMA INDUSTRIES LIMITED

"Manorama Industries Limited

Q4 and FY 26 Earnings Conference Call"

May 12,2026

MANORAMA

INI IMITED

MANAGEMENT: MR. ASHISH SARAF — CHAIRMAN & MANAGING
DIRECTOR — MANORAMA INDUSTRIES LIMITED

MR. ASHOK JAIN — DIRECTOR & CHIEF FINANCIAL
OFFICER — MANORAMA INDUSTRIES LIMITED

MR. PANKAJ RATHI - DGM ACCOUNTS & FINANCE —
MANORAMA INDUSTRIES LIMITED

MRS. EKTA SONI — ASSOCIATE VICE PRESIDENT,
INVESTOR RELATIONS — MANORAMA INDUSTRIES
LIMITED

MR. DEEPAK SHARMA — COMPANY SECRETARY &
COMPLIANCE OFFICER — MANORAMA INDUSTRIES
LIMITED

MODERATOR: MR. HIRAL KENIYA-EY LLP

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Moderator: Ladies and gentlemen, good day, and welcome to the Manorama Industries Limited Q4 and FY 26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone. I now hand the conference over to Mr. Hiral Keniya from EY. Thank you, and over to you, sir.

Hiral Keniya: 'Thank you, Shailendra. Good afternoon, everyone. On behalf of Manorama Industries Limited, I welcome you all to the company's Q4 and FY 26 conference call to discuss the performance of the company and to answer your questions, we have with us the management team comprising of Mr. Ashish Saraf, Chairman and Managing Director; Mr. Ashok Jain, Director and Chief Financial Officer; Mr. Pankaj Rathi, DGM, Accounts and Finance; Mrs. Ekta Soni, AVP, Investor Relations

; and Mr. Deepak Sharma, Company Secretary and Compliance Officer.

Before we proceed this call, I would like to draw your attention to the fact that today's discussion may contain forward-looking statements that are subject to various risks, uncertainties and other factors, which will be beyond management's control. We kindly request to bear in mind that there might be uncertainties while interpreting such statements. Please note that this conference is being recorded.

We would now like to start the session with opening remarks from the management team.

Afterwards, we will open the floor for an interactive Q&A session. I would now hand over the conference call to Ashish Ji for his opening remarks, Thank you, and over to you, sir.

Ashish Saraf: Thank you, Hiral Ji. Good afternoon, friends. On behalf of the entire Manorama Industries team, I extend a warm welcome to our Q4 and FY 2026 earnings conference call. We sincerely thank each of our investors, stakeholders, analysts for your continued trust and participation. Your deep confidence in our long-term vision is a source of great motivation for us, and we remain committed to delivering a sustained and quality value as we enter the next phase of our growth journey and as we have done in our last many years of performance.

FY 2026 has been a year of exceptional performance. Manorama Industries has delivered an exceptional performance in 2026. Despite these headwinds, we have reported a strong year-on-year revenue growth of 76.1% with stand-alone revenues reaching INR 1,358 crores. This excellence in performance is a testament to the resilience of our integrated value chain, the global relevance of our specialty fats and cocoa butter equivalents and the sustained and growing demand we continue to witness across the food and cosmetic sectors worldwide through our scientific and high-tech products, which are being used all over the world. We aim to maintain this momentum supported by sustained demand visibility, improved operational efficiency and enhanced manufacturing capacity. We plan to reach to every human on this earth. During FY 26, we undertook capacity upgrades to power this next phase of growth. Our solvent fractionation plant 2 increased installed capacity by 30% from 25,000 tons per annum to 32,500 tons per annum as part of an overall debottlenecking initiative. For Solvent

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fractionation plant 1 of 15,000 metric tons, a similar debottlenecking initiative will be taken in this fiscal year.

Through strategic capital expenditure commitment of approximately INR 460 crores over the next two to three years, this investment program spans setting up of a new solvent fractionation manufacturing facility for Sal, Shea, Palm, Mango and other exotic seeds and ESOS. Establishment of a new facility for cocoa butter alternatives, expansion of our refining capabilities with additional 200 tons per day refinery, commissioning of raw material processing units in Burkina Faso, West Africa.

These initiatives reflect our focus in the long-term global opportunity and our commitment to deepening our competitiveness, ensuring reliable long-term supply and reinforcing the foundation for sustained growth. Our financial remains healthy as of March 31, 2026. Working capital cycle improved to approximately 125 days in FY 26 compared to 151 days in FY 125. Net cash flow from operating activities stood at INR 259 crores, ROCE of 33.6% and ROE of

40.3%. At Manorama Industries, our aim is clear to strengthen every growth lever within our integrated value chain from procurement and processing to high-tech innovation with scientific global customer partnerships based on research and deep tech development. With that, I will now hand over to our Chief Financial Officer, Mr. Ashok Jain to walk you through the financial and operational highlights for the quarter and the full year.

Thank you all.

Ashok Jain: Thank you, Ashish Sir, and good afternoon, everyone. I will take you through our financial performance for the Q4 and FY 2025-26.

Full financial year '25-26 financial highlights.

Manorama Industries delivered excellent financial performance in FY '25-26 with all key metrics reflecting operational execution and business momentum.

Stand-alone revenue INR 1,357 crores, up 76.1% year-on-year driven by volume growth and improved product mix.

EBITDA INR 367.7 crores with an EBITDA margin of 27.1%, reflecting focused product mix optimization and disciplined cost management.

Profit after tax INR 233.2 crores, translating to a PAT margin of 17.2%.

Operating cash flow INR 259.4 crore.

Our performance of Q4, FY '25-26 is as follows:

Stand-alone revenue INR 382.3 crore,

EBITDA INR 1029 crores with a margin of 26.9%.

Profit after tax INR 59.5 crores, translating to a margin of 15.6%.

Foreign exchange position and mark-to-market

During the quarter, due to adverse currency fluctuation, resulted in the company recognizing a mark-to-market provision of INR 17.05 crores on a stand-alone basis on forward contract entered into accordance with the as per foreign exchange hedging policy. The cumulative mark-to-market provision for the financial year stand at INR 23.3 crores. The company also recorded

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foreign exchange income INR 9.47 crores during the quarter. Consequently, the net foreign exchange loss for the quarter amounted to INR 7.58 crores on a stand-alone basis.

Balance sheet and return ratios:

The company's stand-alone balance sheet continues to reflect financial strength and discipline.

Net debt and equity ratio is 0.38:1 as of 31st March 2026.

Return on equity 40.3% as of 31st March 2026.

Return on capital employed, ROCE, 33.6% as on 31st March 2026.

The Working capital days also reduced to 125 days for FY 25-26 from 151 days in FY 24-25, reflecting continued focus on working capital efficiency.

Capital allocation and strategic outlook:

Our ongoing capacity, debottlenecking and expansion, along with strategic capex investment across India and Africa. We are fully aligned with our long-term ambition to our global footprint and strengthen our position in the specialty fats and butter market.

We will continue to allocate capital with discipline prioritizing investment that generate high return and strengthen our competitive moat globally.

That concludes our remarks. We will open the floor for question and answers. Thank you.

Moderator Thank you very much, we will now begin the question and answer session. Anyone who wishes to ask a question may press star and 1 on their telephone. If you wish to remove your cell from question queue, you may press star and 2. Participants are requested to use handset while asking a question. Ladies and Gentlemen, we will wait for a moment while the question queue assembles.

The first question is from the line of Mr. Akash from Sahasrar Capital.

Akash: Hello, Congrats to the team Manorama on the fantastic result. The question that I had was regarding the processing plant capex that we are doing in Burkina Faso. Like, what is the capex? What will be the capacity and how will it help us in the margin expansion?

Ekta Soni: Hi. Thank you for the question. The Burkina Faso project, which is a backward integration, part of the project for the company's next capex plan. So, we are envisaging these expenses or capex amount of around INR 120 odd crores towards our Burkina Faso project, which should be eliminating our logistic costs, which we currently buy on the seeds perspective. Going forward, it will be on the butter perspective, which is approximately 45%-60% of the raw material.

Accordingly, we are going to save the logistic cost, freight cost on our seed import from West African countries. And also it is going to improve the efficiency and the yield

old format also on

the butter content, So, we are very hopeful of making a sustainable margin, and it should reflect in our numbers going forward

Moderator: 'The next question is from Akhil Parekh from 360 One Capital.

Akhil Parekh: Thanks for the opportunity and congratulations on extremely good set of numbers and one kind of standout in the result has been your working capital improvement and operating cash

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Ekta Soni:

Akhil Parekh:

Ekta Soni:

Akhil Parekh:

Ekta Soni:

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flow generation, so given that we are going to go in capex mode again for next one, two years, how do we see this whole operating cash flow and free cash flow generation? And second is the working capital, is this working capital kind of sustainable for next few years or we might see some pressure basically as we move ahead. Yes, that is my first question?

The company has delivered a very strong positive operating cash flow also of approximately around INR 260 crores during the year, which is actually a significant achievement and an important milestone for the business. Yes, we are going to spend the capex of around INR 460 crores over the next two to three years, but that will be held in a phased manner. Our ongoing capacity, which is there and yet to be fully utilized, and we expect a better operational efficiency in the coming years.

We are not expecting any downward pressure on the margin from the current level. Anything adverse, which we'll be, you know, updating to our shareholders accordingly on a quarter-to-quarter basis. We have generated a very good operating cash flow also and the management considers this to be one of the key highlights in the performance, and we remain confident of maintaining this working capital days and inventory days which we have reported this quarter. Sure. Is very good to hear. We maintained a margin guidance of 25%-27% and the cash conversion cycle which we clocked in FY 26, broadly should be in line for next one, two years basically.

Yes. The company aims to maintain, all the financial parameters going forward as well. Any headwinds, we will be updating you, on a quarter-to-quarter basis. As of now, we are likely aiming to maintain and sustain these levels.

Second, on the growth guidance, like, how should one look at it, top-line growth for next couple of years, given that the capacity additions which we are doing and margins you have already highlighted, if on top-line growth, if you can share some color?

Yes. See, the outlook for FY 27 remains strongly positive on the top-line front as well. It is, you know, driven clearly by the structural growth levers already which are there in the motion.

So if we talk about the structural levers, there is capacity expansion in terms of debottlenecking. So our existing capacity are in the mode of pre-debottlenecking, for which one plant we already have done the debottlenecking and the output has been increased to 30% on our 25,000 metric ton plant and we have been continuously increasing the value-added portion on our product mix as well. Overall, the financial year 2027 is expected to be a very good growth year for revenues for the company, with growth primarily volume-led driven and some price realization benefit also structurally driven by the capacity expansion.

Also we are diversifying globally also, getting into the global market, international market also with our increasing value-added product mix. We are very hopeful and confident of having a very good strong growth year for FY 27 as well.

Sure. Just to I mean, if you can give a broad range, like is it fair to assume 25% plus growth can continue given that we have grown at almost 60% CAGR for last 3 years and now our base is also high. Would 25%-30% will be a right metric in terms of growth rate?

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Ekta Soni:

Akhil Parekh:

Ekta Soni:

Moderator

or:

Bharat Sheth:

Ekta Soni:

Bharat Sheth:

Ekta Soni: Manorama Industries Limited

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That is the company aim also. We see our capacity also to be fully utilized. The company is totally driven by and working very hard to achieve the growth which you have mentioned currently. We are very confident on the business balance to achieve that kind of a growth given

our coming capacities which will be there. We are very hopeful and constructive on the growth as well.

Sure. Just one last question, if I can squeeze in. Given that we are doing backward integration in Burkina Faso, right? We all know there are certain political currency and those kind of risk involved in Africa. Anything you can share, like what are your thoughts on it and how are we hedged against those kind of risks basically?

See, for that, it's a government-backed project also because we have signed an MoU, Memorandum of Understanding, with the government of Burkina Faso. Anything politically will be not affecting the project what we are going to put up there. It is going to, also, you know, put the money into the livelihood of the forest dwellers of West Africa.

Given the parlance metrics of the business, if the political uncertainty or insecurity, it does not really affect our operation in Africa. It is a government-backed project for which we have already signed the MoU with government of Burkina Faso. We are being very clear on it as well. We have done some meaningful upgrades and status we have done in that project as well.

The next question is from Mr. Bharat Sheth from Quest Investment Advisors Private Limited. Congratulations, whole Manorama team for excellent performance. So just to get some sense that this working capital despite our inventory has gone up reasonably high. So I have some idea whether it finished goods or raw material? And how should we look despite we have generated good free cash flow. So how should we look at it in future and then going further? So basically, sir, 45%-50% is the raw material cost in our business. And whatever inventory we report in the current fiscal year towards the end of this balance sheet year is the base to generate the revenue of the coming year. Currently, the company's total inventory stood at approximately INR 710 crores. The inventory is well aligned with the scale of operations, and it supports the integrated global supply chain and expanding business requirements.

The breakup of the inventory is, out of this INR 710 crores of inventory, raw material inventory is around INR 420 crores. The finished goods inventories are around INR 260 crores. The others co-products and WIPs, the work-in-progress products are around INR 30 crores. This is the breakup of our inventory levels.

Sorry, I missed your earlier remark. I joined little later. That, this capex that is around INR 400+ crores that we have announced, if you can give little broader color and how do we think that can, I mean, help us in improving a top line as well as EBITDA side, if you can give more color?

So sir, we have been making progress on this INR 460 crores. So if I can explain for this project, we already have spent around INR 52 crores out of which INR 16 crores is the work in progress towards capex investment. And we already have acquired the land also for Indian

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Bharat Sheth:

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Ekta Soni: Manorama Industries Limited

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plant. The project 1 is a forward integration process, which includes the CBA plant and the solvent fractionation 3 plant of 75,000 tons. This will convert our soft fractions olein into the hard fractions. This is the one project which will include the CBA plant, fractionation plant, and also the refinery plant of 90,000 metric tons per annum.

So this forward integration, if you can give

me. Sorry, you are saying - please continue. ..

Sir, because these projects are at different stage of implementation and ramp-up and the company is focused on maintaining the disciplined capital allocation also because we have given our earlier communication towards we are expecting more than 6x of asset turn on our forward integration project, which is around INR 330-340 Crores of the total capex amount. And that - this forward integration is what you said something I missed it, sorry.

It's a CBA ESOS plant and the solvent fractionation 3 plant along with the refinery plant - it is there on our outcome also. If you want to have more details on it, you can go through the presentation uploaded with respect to the capex announced also.

And this forward integration is a more value accretive or in EBITDA term or if you can, when

it's very high, I mean, asset turnover. How do we think about it?

The idea and the intention and the aim, of course, is to create a better accretive numbers in terms of top lines and margins. We can comment you that it will be having the same kind of potential margins in the business which we are reporting currently, or even it could be potentially better once we ramp up, get into a fully optimized product, get into a better product mix as well.

That we are going to communicate to you and update you quarter-to-quarter, because these projects are being set up in a phased manner. But these projects what we are setting up are going to be giving a good accretive on terms of value margins and also top lines as well.

Okay, great. When do we expect that, to commission those, phase manner, I mean, project? All our projects are targeted to be commissioned by the financial year 128, in that particular way. That is how we are targeting it to spend. It is like two-three year window, we are targeting to complete it.

Is it fair understanding. .2

Mr. Bharat Sheth Sir, if we can request you to come in back in the queue.

Just want to understand the cash flow part of it. I mean, funding part.

Mr. Bharat Sir, please go ahead, ma'am.

From a financial strength perspective, yes, we have a nice cash Fixed Deposit of around INR 130 crores. We already have spent INR 52 crores on the project, and we are providing, as of now, the internal funding support for the planned expansion program. Anything, if we are

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targeting for any external financing, we will update you accordingly, but as of now, we have started funding our project through internal accruals...

Moderator: The next question is from Kushal Shah from Nexus Equity Growth Fund.

Kushal Shah: I mean, congratulations for the wonderful set of numbers once again. There are two questions.

The first one is on the growth part. Basically, ma'am, you just mentioned, you know, that we do have a capex program which is spread across next two, three years. Of course, FY 27 growth will be taken care of with the current debottlenecking capacity with which we have increased.

What about, ma'am, FY '28? As I can understand, this entire capex will be commissioned together. I mean, the growth for the business beyond FY '27. From where we can expect the growth to come for FY '28? Because capex will commission FY 28, you will witness in FY '20 and '30, but for FY 28, just wanted to understand, how do you plan to grow?

Ekta Soni: First of all, you need to understand company from a long-term perspective, not a quarter-to-quarter thing. It's not a thing that there will be there. Of course, the company is very poised and fuelled for the growth, given the capacity we have. Existing capacity are on a utilization level of 85% of 40,000 tons. We have said that we have debottlenecking capacity on 40,000 tons, which will take our capacity to 52,000 tons per annum.

This is the input capacity. We are upgrading our value-added product mix also. Currently, we see the current fiscal year

and the coming fiscal year are very good for the growth, given our utilization is still yet to be there on an optimized level, and we expect a price realization growth also of 5%-10%.

If you calculate all the metrics, there is a clear output which is visible of a 30% volume accretive growth and 5%-10% could be our price realization benefit also. On top of that, we are yet to utilize our 15% capacity of existing plant as well. So, this math is clearly visible, for you to calculate how the turnover will be looking in the next two years as well, along with our further capex plans.

Kushal Shah: I think, you know, we do have significant portion in export. On the recent West Asia war, do we face any impact, you know, because on the side of shipments, logistics, et cetera? What is the situation over there?

Ekta Soni: This is you're talking, from the war standpoint of view?

Kushal Shah: Yes, ma'am... From the war standpoint.

Ekta Soni: Okay. The ongoing geopolitical tension including Iran, U.S., Russia, Ukraine or some, you know, the tariff, are expected to have a near-term indirect impact, not only on our industry, but a broader industry environment as a whole. It will be primarily through higher energy prices or maybe elevated freight costs and currency volatility. But however, from a business fundamental perspective on Manorama Industries, the company remains largely insulated from any direct substantial impact.

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Its key raw materials which we are importing or having indigenous like Sal, Mango, or Shea are not sourced from the affected regions. The company also has a very minimal revenue

exposure to these geographics. That's what, like, for example, there may be some short-term macro pressure, such as some input cost inflation on freight costs or anything, but that does not materially impact the company's core business model or the long-term growth trajectory. But there could be some minor impact maybe here and there, but we are, despite all the headwinds which is there on a geopolitical tension of Russia-Ukraine war or U.S -Iran conflict, the company has reported a sustainable margin despite all the headwinds, and we are going to aim to maintain and sustain this level also.

Kushal Shah: Yes, ma'am. I mean, wonderful to hear that. Ma'am, on the, I mean, on the capex side, I mean, just referring to your previous participant's conversation. As you just mentioned that, you know, the capex plan and the funding mix. You have, I mean, you have internal accruals roughly around INR 100 to INR 120 crores every year. Along with that, you have debt available also. What about the QIP, which you have taken the approval of up to INR 500 crores? I mean, how exactly do you plan to fund the entire capex?

Ekta Soni: See, sir, basically the funding of the capex is one thing, the QIP resolution is another thing. I's not, it will give you a very true thing to, you know, combine both these things. capex is one thing, which we already have started doing it through our internal accruals. We have good internal cash flows as well. In terms of QIP, this is an approved enabling resolution. In relation, it could be a potential fundraise, maybe through a permissible modes and instruments and we are currently evaluating various options, and we can, you know, make appropriate disclosure in accordance with the applicable law. As and when any specific transaction related parameters, which including structure, size or timings or other terms are finalized. We will keep updating you on QIP as well.

Kushal Shah: Okay, perfect. Just last question from my side.

Moderator: Sir, Kushal Shah, please back into the queue, Ladies and gentlemen, in order to ensure that the management is able to address questions from all participants, please limit your questions to two per participant. Should you have a follow-up question, we would request you to re-join

in the queue.

We have the next question from Mr. Harshil Solanki from Equitree Capital. Please go ahead.

Harshil Solanki: Hi, team. Good afternoon. I had three questions. First, if you can help me with what was the percentage of raw material we purchased from Manorama Africa for FY 26 and FY 27. For FY 127 we would have already bought our raw materials.

Ekta Soni: It like, you are asking from the West Africa how much shea nuts we have sourced or how the breakup is requested by you. If you can clear your question, please.

Harshil Solanki: Yes. The promoter entity which is there, Manorama Africa Limited, what is the percentage of total RM we have bought? Because last year it was 60%. For '26 and '27, I want to understand.

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Ashok Jain:

Harshil Solanki:

Ashok Jain:

Harshil Solanki:

Ashok Jain:

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Ashok Jain:

Ekta Soni:

Harshil Solanki:

Ekta Soni: Manorama Industries Limited

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Around 20%-25%, we bought the raw material from Manorama Africa Limited this financial year 25-26.

For 127, what would it be?

It will be ~ depends on the - which will be same line of procurement will be continued.

Okay, understood. CFO sir, just one question to you as well. Our gross margins have fallen from 48% to 43% on a consol basis quarter-on-quarter. Whereas, on a standalone basis, they have remained the same on a QOQ basis. Can you highlight why this difference is arising. There's a 5% difference on a consol basis.

If you see the gross margin in consol basis, this all subsidiary companies just, we have newly incorporated, this financial year. We are going to streamline all this operation. The Company has expanded to global footprint with established nine subsidiaries across different countries and marking important strategic step towards building a diversified international presence.

As this is the first year of operation for most of these entities, initial setup related cost, including employee cost, establishment expenses, and other operating overheads have been higher. This has temporarily impacted consolidated margin. However, these costs are largely one time or transitional in nature and are expected to normalize as operation is scaled up. This investment phase was necessary to support long-term business expansion.

T get your point on the operating cost. But why are the gross margin impacted? Because the employee cost and operating cost would come below gross margin.

'This is the primarily influenced by the freight cost, and other related production cost, which we are for making the product. This is just started the operation to subsidiary companies. Going forward, we see a good number in also subsidiaries. The chemical input cost and other products led to the increase in the cost of production. We are confident to maintain going forward all subsidiary companies also healthy financials as well.

Just to add to the point sir has made, anything between the 45%-50% level of gross margin is normal in the parlance of the business model. This we have repeated and emphasized on the past as well. Anything between this range is considered to be a normal gross profit margin from a company's point of view.

Got it, ma'am. I'll take it offline. I have one more question. We had posted revised results.

'What was the error, and why did we have to revise our results, if you can highlight?

This revised financial statement file has been uploaded inadvertently. It's been submitted to assure accuracy and completeness of the reported information. The revision is purely corrective in nature. Inadvertently, because of the technical issue, the wrong file was uploaded earlier. The company remains committed to maintaining high standards of transparency and timely disclosure that is why we have submitted the revised file, soon as once we have uploaded the technically wrong file in the stock exchange.

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For any financial correctness of the matter, you can please consider the revised financials and those numbers for your further questions, please.

Moderator: 'The next question is from the line of Ms. Shwetha from Ithought. Please go ahead.

Shwetha: My first question is regarding the total fractionation output for FY '26. In that, if you could share the stearin and olein split up, that would also help.

Ekta Soni: For the fractionation output, around 85% stands the utilization on a full year basis. Out of which we can just share you the volume for our products, main value-added product of stearin and CBE. Stearin volume was around 8,000 reported on a full year metric ton, and CBE volume has been reported around 7,500 metric ton for full year.

Shwetha: Ma'am, this 85% utilization includes the debottleneck capacity, right?

Ekta Soni: No, this doesn't include our debottlenecking facility.

Shwetha: Okay. Regarding the arrangement with Dekel in Brazil, I just want to understand what is the like commercial agreement. Is it like a royalty or revenue share model or some tolling fee?

Could you just throw some light on that?

Ekta Soni: No, it's a cost model thing there. It's a processing cost which the company needs to pay them for processing of the per ton of our goods. There is no agreement in terms of profit sharing which is there with the Dekel agreement. It's just the processing facility which is there.

Shwetha: Okay. Just the processing cost.

Ekta Soni: Yes, just the processing cost.

Shwetha: Okay. In Q3, the contribution was minimal is what you had said. Maybe for FY '26, what is the actual volume in Dekel?

Ekta Soni: See, we have just started the Dekel operation. It has been the first quarter we can say, or the first year of operation in the present through our own processing facility. We are still sealing up. A better number guidance maybe we can give you going forward of this. It's just that we have just started with our Dekel operations currently.

Shwetha: Okay, ma'am. I'll follow up this next quarter or something. Thank you.

Moderator: A reminder to all participants, please limit your questions to two per participant. Should you have a follow-up question, we would request you to rejoin the queue.

The next question is from Kumar Saumya from Ambit Capital. Please go ahead. Kumar Saumya, the line is open.

Kumar Saumya: Yes. Hi. Good afternoon, sir. My question is on the Dekel. Do we pay the entire year's processing cost upfront at the start of the year, or we pay it as we process it?

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'We pay as we process on per metric ton. For just, to give you an example, if we are processing 100 tons per month or per day, We are going to pay them accordingly post the processing. There is no cost which is uploaded upfront on those Dekel amangement.

Okay. Subsidiary, if you sce, this quarter we had INR 9 crores of revenue against which we had INR 5 crores of loss. I was assuming that INR 14 crores delta is coming from Dekel

We have just started the minimal volume in Latin America for our own facility. Largely those things are there. We ar stabilizing in terms of operational cost as well. Maybe the correct way will be to look on the consol level in terms of LATAM and other subsidiaries in the coming year.

Okay. In the subsequent quarter, things will start to cover up as the ramp up. Yes. Is that right? Yes, that is right.

Sccondly, Ekta, on our long-term goals, the plans that we have, say, more than INR3,500 crores of revenue by FY '30, with the upcoming capacity. Are those plans on track and are we confident in achicving those revenue numbers, whatever we are guiding for the long-term basis?

Yes, Sir, definitely. We are very confident on whatever plans we hav

e going forward in terms

of our capex outline. Because if you see, we arc adding another 75,000 of our solvent fractionation capacity. Along with that, we arc also putting a backward integration process. We are visionary doing this because we want a very integrated value chain where we just docs not scale up our revenue terms, but we have a very healthy operational efficiency as well, which should result in both top line and bottom line as well.

The internals, our target is very strong on these numbers, but as a guidance, whatever we have given in the past, we are still very confident on achieving that. The past records, we are very like confident to maintain and do that. Just to add, on one morc thing, that the company has done this year, like we are targeting a capex of INR 460 crores to be spent on two-three years. But if you see today, the reported financials FY 126, we have achieved a significant financial milestone underscoring the strength and scalability of this business model, because the annual cash profit, which include our PAT and depreciations stood at INR 258.77 crores which has already exceeded our gross block of INR 250 crores. This indicates us, you know, capital efficiancy, what the company can do going forward with the planned capex.

Working capital improvement was really commendable.

Thank you so much, sir. That has been the stress on working cashflow as well. And the company has done a meaningful improvement in that parlance as well.

Just one last question from my side. With the backward integration, as in the processing facility in Africa, does that improve the process yicld of those seeds because youll be immediately processing it rather than bringing it to India? Is that understanding ri

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Yes. It should improve there. When we are crushing and processing the sceds immediately, it will definitely have a better yicld compared to what we currently process after 60 days.

Yes. The fat output would be better than what we have today.

Yes. Along with that, we arc also going to save on the logistic cost as well. That is a very good scenario to having a processing facility in Burkina Faso for the sceds.

Yes. Oil we'll have to bring it to India, right?

Of course, the butters we will be bringing to India for further value addition process here, like fractionation and everything. The first part of the seeds will be done there only. Our current facility here in India can also optimize our plant on the other Indian exotic seeds, which are Sal and Mango. It s a dual benefit if we are putting up Burkina Faso plant there. First, it will be a very helpful nature for shea nut once we do there.

Other, the existing processing facility which we have of 90,000 tons of solvent extraction

facility here in India will be used and will be a better optimized for Indian exotic seeds like Sal and Mango kernels and other.

From what I understand, you mean the freight cost as a percentage of raw material when it was seed, now it will be so that will be better now.

Yes, along with the quality.

Thank you, sir. Participants, we request you to please limit your questions two per participant.

We have the next question from Mr. Jainam Doshi from Kriis PMS. Please go ahead.

Good afternoon. Just two things. One is by the end of FY 126, we have added 7,500 tons capacity to the solvent fractionation plant. By when are we expecting the balance 4,500 tons to be added? What is the utilization we are expecting for this incremental 12,000, both for this year as well as the next year, just to understand on that?

Yes, we are expecting that also to be streamlined in this financial year only. We will update you once that also has been done. Utilization, we are expecting o

f 52,000 tons of around 85%-

90% for this fiscal year as well. We will update you what utilization we have reached maybe end of this year of the total increased capacity of 52,000 metric ton.

Some data points, like just wanted to understand, in terms of value, what is the CBE contribution to the total revenues and what is the total value-added product mix to our total sales?

CBE has contributed around 30% to our top line. Along with our value-added product stearin, it is around 70%-75% to it. If you see 30% today what we have done with CBE, it was 10% two years ago. The company has also done a very remarkable improvement on improving the product mix for our specialty fats and butters as well.

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Great, Just the last thing, what has been the total volume growth for s, like, compared to last year?

Volume growth of this financial year '25, '26, around 80%-90% and 5%-10% is the price growth.

Price growth. Okay.

Approximately.

Thank you. The next question is from Shrenik Mehta from IndoAlps Wealth.

Hi. I have one comment and two questions. One comment about, why we are reporting only the standalone results when it comes to the newspaper release or the presentation. Why don't we give the consolidated picture? Is it because the consolidated number is looking weaker than the standalone number?

Sir, we just need to want to clarify that in the newspaper we give both standalone and consolidated figures. It is just not that because it is a regulatory requirement which we need to follow for both standalone and consolidated numbers. There is a standalone number only, which is reported — which is related to the newspaper publication. For press release, there is no regulatory requirement which is there to put up a consolidated number. Because if you see in the past, the subsidiary has been recently formed from company's point of view.

This has been in the first year of operation. So maybe coming forward we can, you know, start a practice of giving a consolidated number in press release as well because this has been our past practices of giving a standalone number on press release because there's no regulatory requirement which is there to give consolidated number on press release, but in newspapers there is both reported numbers.

Sir, in the seven audited African subsidiaries, we posted INR 13.5 crores losses for FY 26, out of which almost INR 6 crores came in Q4 itself. Is this implying a loss run rate that has doubled in the final quarter? You know, you've just announced INR 350 crores in Burkina Faso. Can you tell us for FY 126, the subsidiary loss is coming because of what? Is it the startup cost? Is it the Forex translation loss? Is it the operating losses in the trading P&L on these entities?

Sir, we have already tried to answer this question in our earlier, which was raised, but we are going to repeat the answer for you as well. The company has expanded its subsidiaries in nine geography. We are running nine subsidiaries, which the current fiscal FY '26 has been the first year of our operation. It is very diversified, not only restricted to West African countries, but

we have our operation in LATAM region as well and other geographics as well. Because this year has been first year of our operation, there has been an initial setup related cost, operational costs, employee costs, establishment expenses, other operating overheads are also there. This when once you start the company, you have to take this operational cost which is there.

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Going forward, once you see these numbers will be stabilized, and this is kind of a nat

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one time and transitional in nature. There is not something that has been going in terms of losses. This you need to understand, sir.

In the end, the consolidated EPS has grown by only 6% compared to ... almost more than 150% growth that we saw in the previous three quarters.

'That is right. You have to see on a consol level, also including a standalone. If you only talk about consolidated balance sheet, the consolidated EBITDA margin level is around 26% compared to 27% in standalone. The company is doing fairly well on terms of both, but if you see, we have to bear the expenses and cost to set up our companies there. So that is the understanding we also expect our, you know, shareholders to have once we are doing this. Yes, as long as it's on-time expense and, you know, you believe that the margins will come back, it seems good. The other question that I had was about the INR 23.3 crores cumulative month-to-month hit on the forwards in FY '26. You have a 57% export revenue. What is the hedge ratio policy, and has it been recalibrated after this year's experience?

Sir, because, see, these are the scenarios which are there for a time. We cannot say that this will be sustained for a lifetime. But yes, we follow a prudent and structured foreign exchange risk management policy, which minimizes the impact of currency volatility on our earnings and cash flow. Around a 60% of our company's net foreign exchange is currently hedged through forward contracts. It also provides earning visibility and protects against any adverse currency movements.

But for the remaining unhedged 40% exposure, the company retains the flexibility to benefit from any favorable movement, which can also be there in the currency rates going forward.

'That is the practice which company does, but it doesn't harm the company's core level of business in terms of that, but for anything which is there on currency level, we are having a very prudent risk management policy which covers both and protects us on any volatility. We can also get benefit out of our unhedged exposure which is there, because we have a natural hedge also in terms of import and export.

'The next question is from Koushik M from Ashika Group.

Hi, Sir. I just wanted to understand couple of things. Most of my questions got answered. Yes, we did debottlenecking, right? Currently our capacity should be around almost around 52,000 metric tons. In the presentation we mentioned it is 47,500 metric tons. Can I understand what's the reason?

Yes. To give you a better clarification of this, we have two solvent fractionation plants.

Solvent fractionation 1 plant is of 15,000 tons. Solvent fractionation 2 plant is of 25,000 tons.

'The debottlenecking of 30% has been done on 25,000 solvent fractionation plant. That is how the result is the total fractionation is 47,500,

Got it. The new debottlenecking of addition, 52,000 tons will not be any cost. There is no any cost in it. Okay.

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Not much. It costs under INR 8 crores-INR 10 crores for both the plants.

Now can I understand one more thing? Like, in the meanwhile of the conversation only, you 'mentioned that we will be doing a volume growth of 20%-30% plus, and the price also will be hiked by another 5%. That means that, for the next year, when it comes to FY '27, this year current running year, the run rate should be very good, is what you are clearly mentioning. Can I understand on this, what kind of volumes will be done? Or like not volumes, or at least fractionation. How much utilization that you are thinking in this financial year? Or getting something ...?

We are targeting and aiming to utilize around 85%- 90%, 85% of plant on our 52,000 tons full capacity. That is the kind of utilization we are targeting

for this fiscal year.

52,000 tons, 80% is what you are mentioning. That means that is 41,600 we are talking about. Yes. Then we will update you quarter-to-quarter how has been the progress on it.

Perfect. Just for a clarity purpose only. Still, I understand this closely by looking at from so long. Cocoa prices is no relation with our CBE prices. Still in this recent quarter, we have a margin dip that I understand that it is coming through the African companies and the setoffs. Is it going back to normalization situation? Can I understand it will go back to 27%, 28% or like 25% to 30%.

Sir, since we always have guided you on our sustainable margins range earlier, which was around 25%-27%. The company is well within that range even in the consol level, which we have reported 26% of EBITDA margin there also. There is no significant margin dip which we, the company, has reported, be it on consol level or be it on standalone number. There could be a minor range which you have to take into consideration of around 45%-50% on gross margin level and 25%-27% on EBITDA level.

This has been the management stance in our various past track records for our guidance purpose. Anything well within this range should be considered normally from a business point of view. Of course, we are there working on many levers to improve the margins going forward, but then we will update you once we have the visibility of the same.

Last question from my end.

'Thank you, sir. Mr. Kaushik, we will request you to come in the queue, sir. The next question is from Mr. Sumant Kumar from Motilal Oswal.

Yes, hi. My question is, for FY 26, we have seen a 230 basis margin expansion. Is this all because of better product mix, value-added product mix, or efficiency of the manufacturing plant? Mix of both.

Thank you for the question. To answer it, yes, it is a mix of both. We have, if you see our value-added product mix in terms of CBE was around 10% one, two years back. It is now 30% today. So that also has resulted in the improved metrics on our financial, and also the higher

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Sumant Kumar

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Ekta Soni:

Divyansh Thakur:

Ekta Soni:

Divyansh Thakur:

Ashok Jain:

Divyansh Thakur

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utilization of our plant has resulted into this. So there is a combination of all practices which has been attributing to these levels.

Okay. One suggestion, can we include in our PPT OER oil extraction ratio? Okay. I have seen all the palm oil company used to show that number.

Sorry, oil extraction.

Yes, ratio. Yes, OER

OER. Okay. We will see this internally to see what is OER, and we will take the actions accordingly as per company's policy.

Okay. Thank you.

Thank you. The next question is from Divyansh Thakur from Fintecst Capital

Thank you for the opportunity, and congratulations on a great set of numbers. So, most of my questions have already been answered, but I just wanted to get clarity on the margin side. You mentioned that 25%-27% is a sustainable margin going ahead. Is it a yearly guidance or is it a quarter-to-quarter?

Sir, we from business point of view, we will request all our shareholders. Of course, we understand that you have a quarterly metrics to compare and do it. But from our side, we try to focus on our yearly metrics that is there. We try to maintain on quarter-to-quarter basis, but whatever guidance we try to give, we will request our shareholders to take on year-on-year basis.

Okay. Thank you, ma'am. Also, the remaining 4,500 metric ton debottlenecking is expected to be happening in this quarter or the coming quarters going ahead?

'That is underway, sir. once we have implemented that, then we will, you know, share the disclosure of that. But that is underway of doing it. We will update you once it is done.

Okay. Just the last question

, ma'am. What is our Middle East exposure that you had mentioned? I missed that in the call.

Middle East exposure only 2%-3% of total revenue.

Okay. Thank you so much, and all the best.

Thank you. Ladies and gentlemen, due to time constraint, this will be the last question for today. I now hand the conference over to management for closing comments. Over to you.

My dear friends and stakeholders, on behalf of the entire management team, I would like to sincerely thank all participants for joining Manorama Industries Q4 and FY 2026 Earnings Conference Call. As we all know, business is business and there is always a risk, but our last many years of performance is proven and is on your record

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Manorama Industries continues to solidify its position as a reliable supplier, committed to meeting the fast-growing global demand for sustainable cocoa butter equivalents, specialty fats, stearin, and exotic butters. We are executing with focus and conviction on a clear laid-down strategy.

Expansion of manufacturing capacity to address growing demand for our specialty fat products and value-added, scientifically made, and jointly collaborated with customers, specialty fats.

Investment in research and development, which is key to our success, to expand specialty fat formulations and application-specific products.

Centering our sourcing capabilities in key raw material regions with robust supply chains.

Expanding global market presence through international subsidiaries and strategic partnerships. Optimization of operational efficiency across the whole integrated value chain.

Our target is to make every human on this earth somewhere our customer. We remain committed to becoming the partner of choice for both international and domestic customers, delivering quality, reliability, sustainability and trust at every level of our operations.

We look forward to continued engagement with our investor and analyst community, and remain available for follow-up discussions. I thank all our stakeholders, our suppliers, our tribal families, our Manorama team members, and every person associated with Manorama.

Thank you once again for your time, for your trust, and your continued support, Thank you.

Moderator: Thank you. On behalf of EY, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

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